THE SALE OF GOODS ACT, 1930

Unit 1 : FORMATION OF THE CONTRACT OF SALE

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1.0 INTRODUCTION

- Sale of Goods Act, 1930 is an Act to define and amend the law relating to the sale of goods.
- It extends to the whole of India.
- It came into force on 1st July, 1930.

1.1 SCOPE OF THE ACT

- The provisions of the Act are applicable to the contracts related to the sale of goods which means movable properties.
- The Act is not applicable for the sale of immovable properties like land, shop or house etc.
- The general provisions of the Indian Contract Act, 1872 apply to a Contract of Sale of Goods in so far as they are not inconsistent with the express provisions of the Sale of Goods Act.
- The expressions used but not defined in the Sales of Goods Act, 1930 and defined in the Indian Contract Act, 1872 have the meanings assigned to them in that Act.

1.2 DEFINITIONS

(A) Buyer and Seller:

- **Section 2(1):- Buyer**

  'Buyer' means a person who buys or agrees to buy goods.

→ Not only the person who buys but also the one who agrees to buy is a buyer.

- **Section 2(13):- Seller**

  'Seller' means a person who sells or agrees to sell goods.

→ Not only the person who sells but also the person who agrees to sell is a seller.

(B) Goods and other related terms:

- **Section 2(7):- Goods**

  'Goods' means every kind of movable property other than actionable claims and money;

and includes stock and shares, growing crops, grass, and things attached to or forming part of the land, which are agreed to be severed before sale or under the contract of sale.

→ 'Actionable claims' are claims, which can be enforced only by an action or suit, e.g., debt. A debt is not a movable property or goods.

→ Even the Fixed Deposit Receipts (FDR) are considered as goods under Section 176 of the Indian Contract Act read with Section 2(7) of the Sales of Goods Act.

→ "Goods" include both tangible goods and intangible goods like goodwill, copyrights, patents, trademarks etc.

→ Stock and shares, gas, steam, water, electricity are also considered to be goods.

▪ Classification of Goods

(i) Section 6(1):- Existing Goods

Existing Goods are goods as are in existence at the time of the contract of sale, i.e., those owned or possessed or acquired by the seller at the time of contract of sale.

The existing goods may be of following kinds:

(a) Specific goods means goods identified and agreed upon at the time a contract of sale is made [Section 2(14)].

Example

1: Any specified and finally decided goods like a Samsung Galaxy S7 Edge, Whirlpool washing machine of 7 kg etc.

2: 'A' had five cars of different models. He agreed to sell his 'Santro' car to 'B' and 'B' agreed to purchase the same car. In this case, the sale is for specific goods as the car has been identified and agreed at the time of the contract of sale.

(b) Ascertained Goods are those goods which are identified in accordance with the agreement after the contract of sale is made.

When from a lot or out of large quantity of unascertained goods, the number or quantity contracted for is identified, such identified goods are called ascertained goods.

Example

3: A wholesaler of cotton has 100 bales in his godown. He agrees to sell 50 bales and these bales were selected and set aside. On selection, the goods becomes ascertained. In this case, the contract is for the sale of ascertained goods, as the cotton bales to be sold are identified and agreed after the formation of the contract. It may be noted that before the ascertainment of the goods, the contract was for the sale of unascertained goods.

(c) Unascertained goods are the goods which are not specifically identified or ascertained at the time of making of the contract.

They are indicated or defined only by description or sample.

Example

4: If A agrees to sell to B one packet of salt out of the lot of one hundred packets lying in his shop, it is a sale of unascertained goods because it is not known which packet is to be delivered. As soon as a particular packet is separated from the lot, it becomes ascertained or specific goods.

5: X has ten horses. He promises to sell one of them but does not specify which horse he will sell. It is a contract of sale of unascertained goods.

(ii) Section 2(6):- Future Goods

Future goods means goods to be manufactured or produced or acquired by the seller after making the contract of sale.

A contract for the sale of future goods is always an agreement to sell.

It is never actual sale because a person cannot transfer what is not in existence.

Example

6: 1,000 quintals of potatoes to be grown on A's field, is not illegal, though the actual sale of future goods is not possible. This is an example of agreement to sell.

7: P agrees to sell to Q all the milk that his cow may yield during the coming year. This is a contract for the sale of future goods.

8: T agrees to sell to S all the oranges which will be produced in his garden this year. It is contract of sale of future goods, amounting to 'an agreement to sell.'

(iii) Section 6(2):- Contingent Goods

The acquisition of which by the seller depends upon an uncertain contingency (uncertain event) are called 'contingent goods'.

Contingent goods also operate as 'an agreement to sell' and not a 'sale'

Like the future goods, in the case of contingent goods also, the property does not pass to the buyer at the time of making the contract.

Example

9: A agrees to sell to B a Picasso painting provided he is able to purchase it from its present owner. This is a contract for the sale of contingent goods.

10: P contracts to sell 50 pieces of particular article provided the ship which is bringing them reaches the port safely. This is an agreement for the sale of contingent goods.

THEORY QUESTIONS

Question 1: **(MTP-Nov. 18-3 Marks)**

What short note on Existing goods under Sales of Goods Act, 1930.

Question 2: **(PEQ - Nov.18 – 4 Marks)**

Differentiate between Ascertained and Unascertained Goods with example.

CASE BASED QUESTIONS

Question 1: **(SM) (MTP-Nov 20-4 Marks, RTP-Nov.19)**

Classify the following transactions according to the types of goods they are:

(a) A wholesaler of cotton has 100 bales in his godown. He agrees to sell 50 bales and these bales were selected and set aside.

(b) A agrees to sell to B one packet of sugar out of the lot of one hundred packets lying in his shop.

(c) T agrees to sell to S all the apples which will be produced in his garden this year.

Answer:

(a) A wholesaler of cotton has 100 bales in his godown. So, the goods are existing goods. He agrees to sell 50 bales and these bales were selected and set aside. On selection, the goods becomes ascertained. In this case, the contract is for the sale of ascertained goods, as the cotton bales to be sold are identified and agreed after the formation of the contract.

(b) If A agrees to sell to B one packet of sugar out of the lot of one hundred packets lying in his shop, it is a sale of existing but unascertained goods because it is not known which packet is to be delivered.

(c) T agrees to sell to S all the apples which will be produced in his garden this year. It is contract of sale of future goods, amounting to 'an agreement to sell'.

(C) Section 2(2):- Delivery

- Delivery means voluntary transfer of possession from one person to another.

As a general rule, delivery of goods may be made by doing anything, which has the effect of putting the goods in the possession of the buyer, or any person authorized to hold them on his behalf.

- Forms of delivery:

(i) Actual delivery:

- When the goods are physically delivered to the buyer.
- Actual delivery takes place when the seller transfers the physical possession of the goods to the buyer or to a third person authorised to hold goods on behalf of the buyer.
- This is the most common method of delivery.

(ii) Constructive delivery:

- When it is effected without any change in the custody or actual possession of the thing as in the case of delivery by attornment (acknowledgement)
- Constructive delivery takes place when a person in possession of the goods belonging to the seller acknowledges to the buyer that he holds the goods on buyer's behalf.

Example

11: Where a warehouseman holding the goods of A agrees to hold them on behalf of B, at A's request.

(iii) Symbolic delivery:

- When there is a delivery of a thing in token of a transfer of something else,
- Delivery of goods in the course of transit may be made by handing over documents of title to goods, like bill of lading or railway receipt or delivery orders or the key of a warehouse containing the goods is handed over to buyer.
- Where actual delivery is not possible, there may be delivery of the means of getting possession of the goods.

❖ **Section 2(3):- Deliverable State**

Goods are said to be in a deliverable state when they are in such a condition that the buyer would, under the contract, be bound to take delivery of them.

Example

12: When A contracts to sell timber and make bundles thereof, the goods will be in a deliverable state after A has put the goods in such a condition.

THEORY QUESTIONS

Question 1: **(MTP-Nov.19, RTP-May18 & May-18-4 Marks)**

Explain the term "Delivery and its form" under the Sale of Goods Act, 1930.

(D) Section 2(4):- Document of title to goods

- Includes bill of lading, dock-warrant, warehouse keeper's certificate, wharfingers' certificate, railway receipt, multimodal transport document, warrant or order for the delivery of goods and any other document
- used in the ordinary course of business
- as proof of the possession or control of goods or
- is for authorizing or purporting to authorize, either by endorsement or by delivery,
- the possessor of the document to transfer or receive goods thereby represented.

Example

13: Bill of lading, dock warrant, warehouse keeper's certificate, wharfinger's certificate, railway receipt, warrant, an order of delivery of goods.

- Any other document which has the above characteristics also will fall under the same category.
- Though a bill of lading is a document of title, a mate's receipt is not; it is regarded at law as merely an acknowledgement for the receipt of goods.
- A document amounts to a document of title only where it shows an unconditional undertaking to deliver the goods to the holder of the document.
- However, there is a difference between a 'document showing title' and 'document of title'.
- A share certificate is a 'document' showing title but not a document of title. It merely shows that the person named in the share certificate is entitled to the share represented by it, but it does not allow that person to transfer the share mentioned therein by mere endorsement on the back of the certificate and the delivery of the certificate.

(E) Section 2(9):- Mercantile Agent

- It means an agent who in the customary course of business has, as such agent, authority either to sell goods or to consign goods for the purpose of sale or to buy goods or to raise money on the security of the goods.

Example

14: Such kind of agents are auctioneers or brokers, etc.

(F) Section 2(11):- Property

- Property means the general property and not merely a special property.
- 'Property' here means 'ownership' or general property.
- In every contract of sale, the ownership of goods must be transferred by the seller to the buyer, or there should be an agreement by the seller to transfer the ownership to the buyer.
- Note that the 'general property' in goods is to be distinguished from a 'special property'.
- It is quite possible that the general property in a thing may be in one person and a special property in the same thing may be in another e.g., when an article is pledged.
- The general property in a thing may be transferred, subject to the special property continuing to remain with another person i.e., the pledgee who has a right to retain the goods pledged till payment of the stipulated dues.

Example

15: If A who owns certain goods pledges them to B, A has general property in the goods, whereas B has special property or interest in the goods to the extent of the amount of advance he has made.

(G) Section 2(8):- Insolvent

- A person is said to be insolvent when he ceases to pay his debts in the ordinary course of business,
- Cannot pay his debts as they become due,
- Whether he has committed an act of insolvency or not.

(H) Section 2(10):- Price

- Price means the money consideration for a sale of goods.
- It is the value of goods expressed in monetary terms.
- It is the essential requirement to make a contract of sale of goods.

(I) Section 2(12):- Quality of goods

- includes their state or condition.

1.3 SALE AND AGREEMENT TO SELL- Section 4

- **Section 4(1)**

  A contract of sale of goods is a contract whereby the seller transfers or agrees to transfer the property in goods to the buyer for a price.

  There may be a contract of sale between one part-owner and another.

- **Section 4(2)**

  A contract of sale may be absolute or conditional.

- **Section 4(3)**

  Where under a contract of sale, the property in the goods is transferred from the seller to the buyer, the contract is called a sale,

  but where the transfer of the property in the goods is to take place at a future time or subject to some condition thereafter to be fulfilled, it is called an agreement to sell.

Example

16: X agrees with Y on 10th October, 2020 that he will sell his car to Y on 10th November, 2020 for a sum of Rs. 3 lakhs. It is an agreement to sell.

- **Section 4(4)**

  An agreement to sell becomes a sale when the time elapses or the conditions are fulfilled subject to which the property in the goods is to be transferred.

ESSENTIALS OF CONTRACT OF SALE

The following elements must co-exist so as to constitute a contract of sale of goods under the Sale of Goods Act, 1930:

(i) There must be at least two parties, the seller and the buyer and the two must be different persons. A person cannot be both the seller and the buyer and sell his goods to himself.

(ii) The subject matter of the contract must necessarily be goods covering only movable property. It may be either existing goods, owned or possessed by the seller or future goods.

(iii) A price in money (not in kind) should be paid or promised. But there is nothing to prevent the consideration from being partly in money and partly in kind.

(iv) A transfer of property in goods from seller to the buyer must take place. The contract of sale is made by an offer to buy or sell goods for a price by one party and the acceptance of such offer by other.

(v) A contract of sale may be absolute or conditional.

(vi) All other essential elements of a valid contract must be present in the contract of sale, e.g. free consent of parties, competency of parties, legality of object and consideration etc.

THEORY QUESTIONS

Question 1: **(MTP-June19-4 Marks, RTP-May-20 & 21)**

State briefly the essential element of a contract of sale under the Sale of Goods Act, 1930. Examine whether there should be an agreement between the parties in order to constitute a sale under the said Act.

1.4 DISTINCTION BETWEEN SALE AND AN AGREEMENT TO SELL

Basis of difference	Sale	Agreement to sell
Transfer of property	The property in the goods passes to the buyer immediately.	Property in the goods passes to the buyer on future date or on fulfillment of some condition.
Nature of contract	It is an executed contract i.e. contract for which consideration has been paid.	It is an executory contract i.e. contract for which consideration is to be paid at a future date.
Remedies for breach	The seller can sue the buyer for the price of the goods because of the passing of the property therein to the buyer.	The aggrieved party can sue for damages only and not for the price, unless the price was payable at a stated date.
Liability of parties	A subsequent loss or destruction of the goods is the liability of the buyer.	Such loss or destruction is the liability of the seller.
Burden of risk	Risk of loss is that of buyer since risk follows ownership.	Risk of loss is that of seller.
Nature of rights	Creates Jus in rem	Creates Jus in personam.
Right of resale	The seller cannot resell the goods.	The seller may sell the goods since ownership is with the seller.
In case of insolvency of seller	The official assignee will not be able to take over the goods but will recover the price from the buyer.	The official assignee will acquire control over the goods but the price will not be recoverable.
In case of insolvency of buyer	The official assignee will have control over the goods.	The official assignee will not have any control over the goods.

THEORY QUESTIONS

Question 1: **(MTP-June 19-4 Marks)**

Explain the difference between Sale and Agreement to sell under the Sale of Goods Act, 1930.

1.5 SALE DISTINGUISHED FROM OTHER SIMILAR CONTRACTS

(i) Sale and Hire Purchase:

Basis of difference	Sale	Hire- Purchase
Time of passing property	Property in the goods is transferred to the buyer immediately at the time of contract.	The property in goods passes to the hirer upon payment of the last instalment.
Position of the party	The position of the buyer is that of the owner of the goods.	The position of the hirer is that of a bailee till he pays the last instalment.

Termination of contract	The buyer cannot terminate the contract and is bound to pay the price of the goods.	The hirer may, if he so likes, terminate the contract by returning the goods to its owner without any liability to pay the remaining instalments.
Burden of Risk of insolvency of the buyer	The seller takes the risk of any loss resulting from the insolvency of the buyer.	The owner takes no such risk, for if the hirer fails to pay an instalment, the owner has right to take back the goods.
Further Transfer of title	The buyer can pass a good title to a bona fide purchaser from him.	The hirer cannot pass any title even to a bona fide purchaser.
Resale	The buyer in sale can resell the goods.	The hire purchaser cannot resell unless he has paid all the instalments.

(ii) Sale and Bailment

Basis of difference	Sale	Bailment
Transfer of property	The property in goods is transferred from the seller to the buyer. So, it is transfer of general property.	There is only transfer of possession of goods from the bailor to the bailee for any of the reasons like safe custody, carriage etc. So, it is transfer of special property.
Return of goods	The return of goods in contract of sale is not possible.	The bailee must return the goods to the bailor on the accomplishment of the purpose for which the bailment was made.
Consideration	The consideration is the price in terms of money.	The consideration may be gratuitous or non-gratuitous.

(iii) Sale and contract for work and labour:

- A contract of sale of goods is one in which some goods are sold or are to be sold for a price.
- But where no goods are sold, and there is only the doing or rendering of some work of labour, then the contract is only of work and labour and not of sale of goods.

Example

17: Where gold is supplied to a goldsmith for preparing an ornament or when an artist is asked to paint a picture.

THEORY QUESTIONS

Question 1: **(PEQ - Dec.21- 6 Marks)**

Distinguish between 'Sale' and 'Hire Purchase' under the Sale of Goods Act, 1930.

1.6 CONTRACT OF SALE HOW MADE - Section 5

Section 5(1)

- a contract of sale is made by
- an offer to buy or sell goods
- for a price and
- the acceptance of such offer.
- The contract may provide for the immediate delivery of the goods or
- immediate payment of the price or both,
- or for the delivery or payment by instalments,
- or that the delivery or payment or both shall be postponed.

Section 5(2)

- Subject to the provisions of any law for the time being in force,
- a contract of sale may be made in writing or by word of mouth,
- or partly in writing and partly by word of mouth
- or may be implied from the conduct of the parties.

Example

18: R agrees to deliver his old motorcycle valued at Rs.25000 to S in exchange for a new motorcycle and agrees to pay the difference in cash, it is a Contract of Sale.

CASE BASED QUESTIONS

Question 1: **(SM)**

A agrees to buy a new TV from a shop keeper for Rs. 30,000 payable partly in cash of Rs. 20,000 and partly in exchange of old TV set. Is it a valid Contract of Sale of Goods? Give reasons for your answer.

Answer :

It is necessary under the Sales of Goods Act, 1930 that the goods should be exchanged for money. If the goods are exchanged for goods, it will not be called a sale. It will be considered as barter. However, a contract for transfer of movable property for a definite price payable partly in goods and partly in cash is held to be a contract of Sale of Goods.

In the given case, the new TV set is agreed to be sold for Rs. 30,000 and the price is payable partly in exchange of old TV set and partly in cash of Rs. 20,000. So, in this case, it is a valid contract of sale under the Sales of Goods Act, 1930.

1.7 SUBJECT MATTER OF CONTRACT OF SALE - Section 6-8

→ **Section 6:- Existing or Future goods**

(1) The goods which form the subject matter of a contract of sale may be either existing goods that are acquired, owned or possessed by the seller, or future goods.

(2) There may be a contract for the sale of goods the acquisition of which by the seller depends upon a contingency which may or may not happen.

Example

19: A contract for sale of certain cloth to be manufactured by a certain mill is a valid contract. Such contacts are called contingent contracts.

(3) Whereby a contract of sale the seller purports to effect a present sale of future goods, the contract operates as an agreement to sell the goods.

→ Section 7:- Goods perishing before making of contract

- Where there is a contract for the sale of specific goods,
- the contract is void if the goods without the knowledge of the seller have, at the time when the contract was made,
- perished or become so damaged as no longer to answer to their description contract.

Example

20: A agrees to sell B 50 bags of wheat stored in the A's godown. Due to water logging, all the goods stored in the godown were destroyed. At the time of agreement, neither parties were aware of the fact. The agreement is void

→ Section 8:- Goods perishing before sale but after agreement to sell

- Where there is an agreement to sell specific goods, and
- subsequently the goods without any fault on the part of the seller or buyer
- perish or become so damaged as no longer to answer to their description in the agreement
- before the risk passes to the buyer,
- the agreement is thereby avoided or becomes void.

Perishing of future goods:-

If the future goods are specific, the destruction of such goods will amount to supervening impossibility and the contract shall become void.

THEORY QUESTIONS

Question 1: **(RTP- May-18 & Nov. 20)**

Describe the consequences of "destruction of goods" under the Sale of Goods Act, 1930, where the goods have been destroyed after the agreement to sell but before the sale is affected.

Answer:

Destruction of Goods-Consequences: In accordance with the provisions of the Sale of Goods Act, 1930 as contained in Section 7, a contract for the sale of specific goods is void if at the time when the contract was made; the goods without the knowledge of the seller, perished or become so damaged as no longer to answer to their description in the contract, then the contract is void ab initio. This section is based on the rule that where both the parties to a contract are under a mistake as to a matter of fact essential to a contract, the contract is void.

In a similar way Section 8 provides that an agreement to sell specific goods becomes void if subsequently the goods, without any fault on the part of the seller or buyer, perish or become so damaged as no longer to answer to their description in agreement before the risk passes to the buyer. This rule is also based on the ground of impossibility of performance as stated above.

It may, however, be noted that section 7 and 8 apply only to specific goods and not to unascertained goods. If the agreement is to sell a certain quantity of unascertained goods, the perishing of even the whole quantity of such goods in the possession of the seller will not relieve him of his obligation to deliver the goods.

CASE BASED QUESTIONS

Question 1: **(SM)**

A agrees to sell to B 100 bags of sugar arriving on a ship from Australia to India within next two months. Unknown to the parties, the ship has already sunk. Does B have any right against A under the Sale of Goods Act, 1930?

Answer :

In this case, B, the buyer has no right against A the seller. Section 8 of the Sales of Goods Act, 1930 provides that where there is an agreement to sell specific goods and the goods without any fault of either party perish, damaged or lost, the agreement is thereby avoided. This provision is based on the ground of supervening impossibility of performance which makes a contract void.

So, all the following conditions required to treat it as a void contract are fulfilled in the above case:
(i) There is an agreement to sell between A and B
(ii) It is related to specific goods
(iii) The goods are lost because of the sinking of ship before the property or risk passes to the buyer.
(iv) The loss of goods is not due to the fault of either party.

Question 2: **(MTP-Nov 18 & 19-3 Marks)**

A agrees to sell B 50 bags of wheat stored in the A's godown. Due to water logging, all the goods stored in the godown were destroyed. At the time of agreement, neither parties were aware of the fact. State as per the provisions of Sale of Goods Act,1930 Whether such agreement is valid?

Answer:

Goods perishing before making of contract (Section 7):

Where there is a contract for the sale of specific goods, the contract is void if the goods without the knowledge of the seller have, at the time when the contract was made, perished or become so damaged as no longer to answer to their description contract.

Based on the abovementioned provisions such an agreement is void.

1.8 ASCERTAINMENT OF PRICE- Section 9 & 10

→ Section 9:- Ascertainment of price

(1) The price in a contract of sale may be fixed by the contract or may be left to be fixed in manner thereby agreed or may be determined by the course of dealing between the parties.

(2) Where the price is not determined in accordance with the foregoing provisions, the buyer shall pay the seller a reasonable price. What is a reasonable price is a question of fact dependent on the circumstances of each particular case.

→ Section 10:- Agreement to sell at valuation

(1) Where there is an agreement to sell goods on the terms that the price is to be fixed by the valuation of third party and such third party cannot or does not make such valuation, the agreement is thereby avoided:

Provided that, if the goods or any part thereof have been delivered to, and appropriated by, the buyer, he shall pay a reasonable price therefore.

(2) Where such third party is prevented from making the valuation by the fault of the seller or buyer, the party not in fault may maintain a suit for damages against the party in default.

- **Analysis**

Section 10 provides for the determination of price by a third party. Where there is an agreement to sell goods on the terms that price has to be fixed by the third party and he either does not or cannot make such valuation, the agreement will be void. In case the third party is prevented by the default of either party from fixing the price, the party at fault will be liable to the damages to the other party who is not at fault. However, a buyer who has received and appropriated the goods must pay a reasonable price for them in any eventuality.

Example

21: P is having two bikes. He agrees to sell both of the bikes to S at a price to be fixed by the Q. He gives delivery of one bike immediately. Q refuses to fix the price. As such P ask S to return the bike already delivered while S claims for the delivery of the second bike too. In the given instance, buyer S shall pay reasonable price to P for the bike already taken. As regards the Second bike, the contract can be avoided.

CASE BASED QUESTIONS

Question 1: **(SM)**

X contracted to sell his car to Y. They did not discuss the price of the car at all. X later refused to sell his car to Y on the ground that the agreement was void being uncertain about price. Can Y demand the car under the Sale of Goods Act, 1930?

Answer:

Payment of the price by the buyer is an important ingredient of a contract of sale. If the parties totally ignore the question of price while making the contract, it would not become an uncertain and invalid agreement. It will rather be a valid contract and the buyer shall pay a reasonable price.

In the give case, X and Y have entered into a contract for sale of car but they did not fix the price of the car. X refused to sell the car to Y on this ground. Y can legally demand the car from X and X can recover a reasonable price of the car from Y.

MULTIPLE CHOICE QUESTIONS

1. A contract for the sale of goods where property would pass to the buyer on payment of total price would be;
   (a) sale (b) agreement to sell
   (c) hire-purchase contract. (d) sale on approval.

2. The term "goods" under Sale of Goods Act, 1930 does not include
   (a) goodwill. (b) actionable claims.
   (c) stocks and shares. (d) harvested crops.

3. A contract for the sale of "future goods" is
   (a) sale (b) agreement to sell. (c) void. (d) hire-purchase contract.

4. The sale of Goods Act, 1930 deals with the
   (a) movable goods only. (b) immovable goods only.
   (c) both movable and immovable goods. (d) all goods except ornaments.

5. Under Sale of Goods Act, 1930 the terms "Goods" means every kind of movable property and it includes
   (a) stock and share. (b) growing crops, grass
   (c) both (a) and (b). (d) none of the above

6. The Sale of Goods Act, 1930 deals with
   (a) sale (b) mortgage. (c) pledge. (d) all of the above.

7. Which one of the following is true?
   (a) the provisions of Sale of Goods were originally with the Indian Contract Act, 1872.
   (b) the Sale of Goods Act, 1930 deals with mortgage.
   (c) the Sale of Goods Act restricts the parties to modify the provisions of law.
   (d) none of the above.

8. Goods which are in existence at the time of the Contract of Sale is known as
   (a) present Goods. (b) existing Goods.
   (c) specific Goods. (d) none of the above.

9. Which of the following is not a form of delivery?
   (a) constructive delivery. (b) structured delivery.
   (c) actual delivery. (d) symbolic delivery.

10. Which one of the following is/are document of title to goods?
    (a) railway receipt. (b) wharfinger's certificate.
    (c) warehouse keeper's certificate. (d) all of the above

11. Which one of the following is not true?
    (a) document showing title is different from document of title.
    (b) bill of lading is a document of title to goods.
    (c) specific goods can be identified and agreed upon at the time of the Contract of Sale.
    (d) none of the above.

12. Mercantile Agent is having an authority to
    (a) sell or consign goods. (b) raise money on the security of goods.
    (c) sell or buy goods. (d) any of the above.

13. Contract of Sale is
(a) executory Contract. (b) executed Contract.
(c) both of the above. (d) none of the above.

14. In which form of the contract, the property in the goods passes to the buyer immediately:
(a) agreement to sell. (b) hire purchase.
(c) sale (d) instalment to sell.

15. In case of hire purchase the hirer can pass title to a bona fide purchaser.
(a) true. (b) false.

16. In a contract of sale, the agreement may be expressed or implied from the conduct of the parties.
(a) true. (b) false.

17. In a contract of sale, subject matter of contract must always be money.
(a) true. (b) false.

18. If a seller handed over the keys of a warehouse containing the goods to the buyer results in
(a) constructive delivery (b) actual delivery
(c) symbolic delivery (d) none of the above

19. If A agrees to deliver 100 kg of sugar to B in exchange of 15 mts of cloth, then it is
(a) Contract of sale. (b) Agreement to sell.
(c) Sale on Approval. (d) Barter.

20. In a hire-purchase agreement, the hirer
(a) has an option to buy the goods. (b) must buy the goods.
(c) must return the goods. (d) is not given the possession of goods.

21. A agrees to deliver his old car valued at Rs. 80,000 to B, a car dealer, in exchange for a new car, and agrees to pay the difference in cash it is
(a) Contract of sale. (b) Agreement to sell.
(c) Exchange. (d) Barter.

22. Legally, a contract of sale includes
(a) sale. (b) agreement to Sell. (c) barter. (d) both (a) and (b)

23. The Sale of Goods Act, 1930 came into force on
(a) 15th March, 1930. (b) 1st July, 1930.
(c) 30th July, 1930. (d) 30th June, 1930.

24. The person who buys or agrees to buy goods is known as
(a) consumer. (b) buyer. (c) both (a) and (b) (d) none of the above.

25. Voluntary transfer of possession by one person to another is popularly known as
(a) transfer. (b) possession. (c) delivery. (d) none of the above.

26. If X commissioned Y, an artist, to paint a portrait of A for 200 dollars & Y uses his own canvas & paint then it is
(a) Contract of sale. (b) Contract of work & materials
(c) Sale on approval. (d)Hire-Purchase agreement.

27. The property in the goods means the
(a) possession of goods. (b) custody of goods.
(c) ownership of goods. (d) both (a) and (b)

28. The goods are at the risk of a party who has the
(a) Ownership of goods. (b) Possession of goods.
(c) Custody of goods. (d) both (b) and (c)

29. In case of sale of standing trees, the property passes to the buyer when trees are
(a) felled and ascertained. (b) not felled but earmarked.
(c) counted and ascertained. (d) both (b) and (c)

30. In case the delivery of goods is delayed due to the fault of party, the goods shall be at the risk of defaulting party even though the ownership is with the other party.
(a) True, if there is a provision to this effect.
(b) False, as it is against the general rule.

31. Which of the following modes of delivery of goods is considered effective for a valid contract of sale?
(a) Actual delivery (b) symbolic delivery.
(c) Constructive delivery. (d) all of these.

Answers to MCQs

1	(b)	2.	(b)	3.	(b)	4.	(a)	5.	(c)
6.	(a)	7.	(a)	8.	(b)	9.	(b)	10.	(d)
11.	(d)	12.	(d)	13.	(c)	14.	(c)	15.	(b)
16.	(a)	17.	(b)	18.	(c)	19.	(d)	20.	(a)
21.	(a)	22.	(d)	23.	(b)	24.	(b)	25.	(c)
26.	(b)	27.	(c)	28.	(a)	29.	(a)	30.	(a)
31.	(d)								

THE SALE OF GOODS ACT, 1930

Unit 2 : CONDITIONS & WARRANTIES

Section Overview:

Section :11	Stipulations – Conditions & Warranties
Section :12	Difference between condition & warranty
Section :13	When condition treated as warranty
Section :14	Implied undertakings as to title
Section :15	Sale by description
Section :16	Implied conditions as to quality/fitness
Section :17	Sale by sample

2.1 STIPULATION AS TO TIME - Section 11

- Unless a different intention appears from the terms of the contract,
- Stipulation as to time of payment are not deemed to be of the essence of a contract of sale.
- Whether any other stipulation as to time is of the essence of the contract or not depends on the terms of the contract.

2.2 INTRODUCTION - CONDITIONS AND WARRANTIES - Section 12

- At the time of selling the goods,
- a seller usually makes certain statements or representations.
- with a view to induce the intending buyer to purchase the goods.
- Such representations are generally about the nature and quality of goods, and about their fitness for buyer's purpose.
- When these statements or representations do not form a part of the contract of sale,
- They are not relevant and have no legal effects on the contract.
- But when these form part of the contract of sale and the buyer relies upon them,
- They are relevant and have legal effects on the contract of sale.
- A representation which forms a part of the contract of sale and affects the contract, is called a stipulation.
- However, every stipulation is not of equal importance.
- Some of these may be very vital while others may be of somewhat lesser significance.
- The more significant stipulations contained in a contract of sale of goods have been called as "Conditions",
- while the less significant stipulation have been given the name "Warranties".

Condition and warranty – Section 12

Section 12(1):- A stipulation in a contract of sale with reference to goods which are the subject thereof may be a condition or a warranty.

Section 12(2):- "A condition is a stipulation essential to the main purpose of the contract, the breach of which gives rise to a right to treat the contract as repudiated".

Example

1: P wants to purchase a car from Q, which can have a mileage of 20 km/litre. Q pointing at a particular vehicle says "This car will suit you." Later P buys the car but finds out later on that this car only has a top mileage of 15 km/ litre. This amounts to a breach of condition because the seller made the stipulation which forms the essence of the contract. In this case, the mileage was a stipulation that was essential to the main purpose of the contract and hence its breach is a breach of condition.

Section 12(3):- "A warranty is a stipulation collateral to the main purpose of the contract, the breach of which gives rise to a claim for damages but not to a right to reject the goods and treat the contract as repudiated".

Section 12(4):- Whether a stipulation in a contract of sale is a condition or a warranty depends in each case on the construction of the contract. A stipulation may be a condition, though called a warranty in the contract.

Example

2: Ram consults Shyam, a motor-car dealer for a car suitable for touring purposes to promote the sale of his product. Shyam suggests 'Maruti' and Ram accordingly buys it from Shyam. The car turns out to be unfit for touring purposes. Here, the term that the 'car should be suitable for touring purposes' is a condition of the contract. It is so vital that its non-fulfilment defeats the very purpose for which Ram purchases the car. Ram is therefore entitled to reject the car and have refund of the price.

Let us assume, Ram buys a new Maruti car from the show room and the car is guaranteed against any manufacturing defect under normal usage for a period of one year from the date of original purchase and in the event of any manufacturing defect there is a warranty for replacement of defective part if it cannot be properly repaired.

After six months, Ram finds that the horn of the car is not working, here in this case he cannot terminate the contract. The manufacturer can either get it repaired or replaced it with a new horn. Ram gets a right to claim for damages, if any, suffered by him but not the right of repudiation.

Difference between conditions and warranties:

Point of differences	Condition	Warranty
Meaning	A condition is a stipulation essential to the main purpose of the contract.	A warranty is a stipulation collateral to the main purpose of the contract.
Right in case of breach	The aggrieved party can repudiate the contract or claim damages or both in the case of breach of condition.	The aggrieved party can claim only damages in case of breach of warranty.
Conversion of stipulations	A breach of condition may be treated as a breach of warranty.	A breach of warranty cannot be treated as a breach of condition.

CASE BASED QUESTIONS

Question 1: **(MTP-Nov.18 & 19- 3 Marks)**

Ram consults Shyam, a motor-car dealer for a car suitable for touring purposes to promote the sale of his product. Shyam suggests 'Maruti' and Ram accordingly buys it from Shyam. The car turns out to be unfit for touring purposes. What remedy Ram is having under of Sale of Goods Act, 1930?

Question 2: **(SM)**

X consults Y, a motor-car dealer for a car suitable for touring purposes to promote the sale of his product. Y suggests 'Santro' and X accordingly buys it from Y. The car turns out to be unfit for touring purposes. What remedy X is having now under the Sale of Goods Act, 1930?

2.3 WHEN CONDITION TO BE TREATED AS WARRANTY- Section 13

Section 13(1):

- Where a contract of sale is subject to any condition to be fulfilled by the seller,
- the buyer may waive the condition or
- elect to treat the breach of the condition as a breach of warranty and
- not as a ground for treating the contract as repudiated.

Example

3: A agrees to supply B 10 bags of first quality sugar @ Rs. 625 per bag but supplies only second quality sugar, the price of which is Rs. 600 per bag. There is a breach of condition and the buyer can reject the goods. But if the buyer so elects, he may treat it as a breach of warranty, accept the second quality sugar and claim damages @ Rs. 25 per bag.

Section 13(2):

- Where a contract of sale is not severable and
- the buyer has accepted the goods or part thereof,
- the breach of any condition to be fulfilled by the seller can only be treated as a breach of warranty
- and not as a ground for rejecting the goods and treating the contract as repudiated,
- unless there is a term of the contract, express or implied, to that effect.

Section 13(3):

- Nothing in this section shall affect the case of any condition or warranty fulfillment of which is excused by law by reason of impossibility or otherwise.

THEORY QUESTIONS

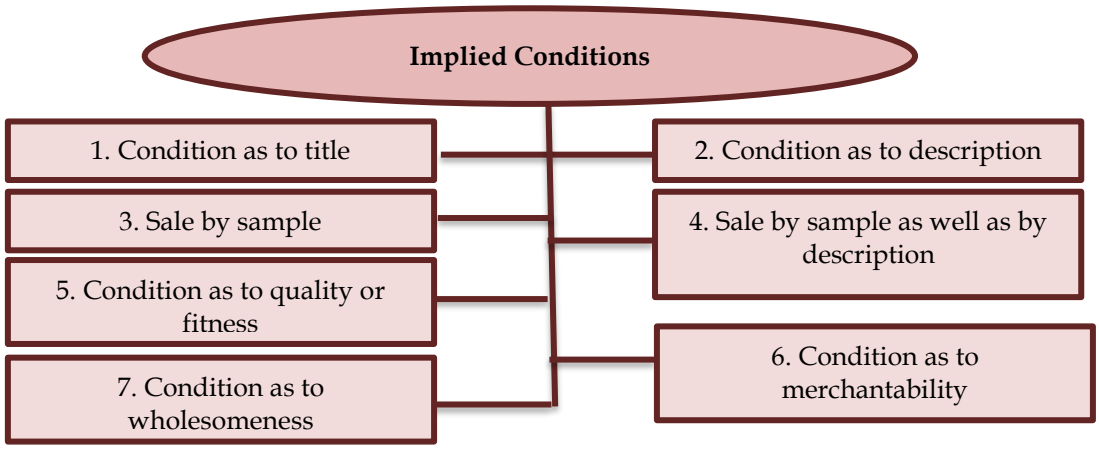
Question 1: **(MTP-May 21-4 Marks) (RTP-Nov.20 & May-21)**
Distinguish between a 'Condition' and a 'Warranty' in a contract of sale. When shall a 'breach of condition' be treated as 'breach of warranty' under the provisions of the Sale of Goods Act, 1930? Explain.

Question 2: **(PEQ-MAY-25-4 Marks)**
Sometime breach of condition will be treated as breach of warranty as a result of which buyer losses his right to rescind. State the circumstance where a contract cannot be avoided even on account of breach of condition.

2.4 EXPRESS AND IMPLIED CONDITIONS AND WARRANTIES- Section 14-17

Express conditions are those, which are agreed upon between the parties at the time of contract and are expressly provided in the contract.

Implied conditions, are those, which are presumed by law to be present in the contract. It should be noted that an implied condition may be negated or waived by an express agreement.



(i) Section 14(a):- Condition as to title

- In every contract of sale,
- unless there is an agreement to the contrary,
- the first implied condition on the part of the seller is that
  (a) in case of a sale, he has a right to sell the goods, and
  (b) in the case of an agreement to sell, he will have right to sell the goods at the time when the property is to pass.
- If the seller's title turns out to be defective, the buyer must return the goods to the true owner and recover the price from the seller.

Example

4: A purchased a tractor from B who had no title to it. After 2 months, the true owner spotted the tractor and demanded it from A.
Held that A was bound to hand over the tractor to its true owner and that A could sue B, the seller without title, for the recovery of the purchase price

5: If A sells to B tins of condensed milk labelled 'C.D.F. brand', and this is proved to be an infringement of N Company's trade mark, it will be a breach of implied condition that A had the right to sell. B in such a case will be entitled to reject the goods or take off the labels, and claim damages for the reduced value. If the seller has no title and the buyer has to make over the goods to the true owner, he will be entitled to refund of the price.

CASE BASED QUESTIONS

Question 1: **(PEQ-JAN-25-3 Marks)**

A purchases a motorcycle from B and uses it for some time. It turns out that the motorcycle sold by B to A was a stolen one and had to be returned to a rightful owner. A brings action against B for the return of the price. Will he succeed? Examine this with reference to the provisions of the Sale of Goods Act, 1930.

Answer :

As per Section 27 of the Sale of Goods Act, 1930, "no one can transfer a better title than they themselves have." This means that a person who is not the owner of goods cannot convey ownership unless authorized by the true owner.

Also, Section 14(a) imposes an implied condition in every contract of sale that the seller has the right to sell the goods means he should be the real owner. If the seller's title turns out to be defective, the buyer must return the goods to the true owner and recover the price from the seller.

In the instant case, A will succeed in his action against B for the return of the price, as B had no title to sell the stolen motorcycle, and the sale was in breach of the implied condition.

(ii) Section 15:- Sale by description

- Where there is a contract of sale of goods by description,
- there is an implied condition that the goods shall correspond with the description.
- This rule is based on the principle that "if you contract to sell peas, you cannot compel the buyer to take beans."
- The buyer is not bound to accept and pay for the goods which are not in accordance with the description of goods.

Example

6: A at Kolkata sells to B twelve bags of "waste silk" on its way from Murshidabad to Kolkata. There is an implied condition that the silk shall be such as is known in the market as "Waste Silk". If it not, B is entitled to reject the goods.

7: A ship was contracted to be sold as "copper-fastened vessel" but actually it was only partly copper-fastened. Held that goods did not correspond to description and hence could be returned or if buyer took the goods, he could claim damages for breach.

The Act, however, does not define 'description'.

(i) where the class or kind to which the goods belong has been specified, e.g., 'Egyptian cotton', "java sugar", etc., and

(ii) where the goods have been described by certain characteristics essential to their identification, e.g., jute bales of specified shipment, steel of specific dimension, etc.

(iii) Section 17:- Sale by sample:

In a contract of sale by sample, there is an implied condition that

(a) the bulk shall correspond with the sample in quality;

(b) the buyer shall have a reasonable opportunity of comparing the bulk with the sample,

Example

8: In a case of sale by sample of two parcels of wheat, the seller allowed the buyer an inspection of the smaller parcel but not of the larger parcel. In this case, it was held that the buyer was entitled to refuse to take the parcels of wheat.

(c) the goods shall be free from any defect rendering them un-merchantable, which would not be apparent on reasonable examination of the sample.

- This condition is applicable only with regard to defects, which could not be discovered by an ordinary examination of the goods.
- If the defects are latent, then the buyer can avoid the contract.
- This simply means that the goods shall be free from any latent defect i.e. a hidden defect.

Example

9: A company sold certain shoes made of special sole by sample for the French Army. The shoes were found to contain paper not discoverable by ordinary inspection. Held, the buyer was entitled to the refund of the price plus damages.

CASE BASED QUESTIONS

Question 1: **(SM) (PEQ – Nov-19-6 Marks)**

Mrs. Geeta went to the local rice and wheat wholesale shop and asked for 100 kgs of Basmati rice. The Shopkeeper quoted the price of the same as Rs. 125 per kg to which she agreed. Mrs. Geeta insisted that she would like to see the sample of what will be provided to her by the shopkeeper before she agreed upon such purchase.

The shopkeeper showed her a bowl of rice as sample. The sample exactly corresponded to the entire lot.

The buyer examined the sample casually without noticing the fact that even though the sample was that of Basmati Rice but it contained a mix of long and short grains.

The cook on opening the bags complained that the dish if prepared with the rice would not taste the same as the quality of rice was not as per requirement of the dish.
Now Mrs. Geeta wants to file a suit of fraud against the seller alleging him of selling mix of good and cheap quality rice. Will she be successful?
Explain the basic law on sale by sample under Sale of Goods Act 1930?
Decide the fate of the case and options open to the buyer for grievance redressal as per the provisions of Sale of Goods Act 1930?
What would be your answer in case Mrs. Geeta specified her exact requirement as to length of rice?

Answer:

(i) As per the provisions of Sub-Section (2) of Section 17 of the Sale of Goods Act, 1930, in a contract of sale by sample, there is an implied condition that:
(a) the bulk shall correspond with the sample in quality;
(b) the buyer shall have a reasonable opportunity of comparing the bulk with the sample.
In the instant case, in the light of the provisions of Sub-Clause (b) of Sub-Section (2) of Section 17 of the Act, Mrs. Geeta will not be successful as she casually examined the sample of rice (which exactly corresponded to the entire lot) without noticing the fact that even though the sample was that of Basmati Rice but it contained a mix of long and short grains.

(ii) Sale by Sample: (Section 17 of the Sale of Goods Act, 1930): As per the provisions of Sub-Section (1) of section 17 of the Sale of Goods Act, 1930, a contract of sale is a contract for sale by sample where there is a term in the contract, express or implied, to that effect.
As per the provisions of Sub-Section (2) of section 17 of the Sale of Goods Act, 1930, in a contract of sale by sample, there is an implied condition that:
(a) that the bulk shall correspond with the sample in quality;
(b) that the buyer shall have a reasonable opportunity of comparing the bulk with the sample.
(c) that the goods shall be free from any defect, rendering them unmerchantable, which would not be apparent on reasonable examination of the sample.

(iii) In the instant case, the buyer does not have any option available to him for grievance redressal.

(iv) In case Mrs. Geeta specified her exact requirement as to length of rice, then there is an implied condition that the goods shall correspond with the description. If it is not so, the seller will be held liable.

Question 2: **(PEQ - July-21-6 Marks)**

Mr. Das, a general store owner went to purchase 200 kg of Basmati Rice of specific length from a whole seller. He saw the samples of rice and agreed to buy the one for which the price was quoted as Rs.150 per kg. While examining the sample Mr. Das failed to notice that the rice contained a mix of long and short grain of rice.
The whole seller supplied the required quantity exactly the same as shown in the sample. However, when Mr. Das sold the rice to one of his regular customers she complained that the rice contained two different qualities of rice and returned the rice.
With reference to the provisions of the Sales of Goods Act, 1930, discuss the options open to Mr. Das for grievance redressal. What would be your answer in case Mr. Das specified his exact requirement as to length of rice?

(iv) Section 15:- Sale by sample as well as by description

- Where the goods are sold by sample as well as by description
- the implied condition is that the bulk of the goods supplied shall correspond both with the sample and the description.
- In case the goods correspond with the sample but do not tally with description or vice versa or both,
- the buyer can repudiate the contract.

Example

10: A agreed with B to sell certain oil described as refined sunflower oil, warranted only equal to sample. The goods tendered were equal to sample but contained a mixture of hemp oil. B can reject the goods.

CASE BASED QUESTIONS

Question 1: **(SM)**

Certain goods were sold by sample by A to B, who in turn sold the same goods by sample to C and C by sample sold the goods to D. The goods were not according to the sample. Therefore, D who found the deviation of the goods from the sample rejected the goods and gave a notice to C. C sued B and B sued A. Advise B and C under the Sale of Goods Act, 1930.

Answer:

In the instant case, D who noticed the deviation of goods from the sample can reject the goods and treat it as a breach of implied condition as to sample which provides that when the goods are sold by sample the goods must correspond to the sample in quality and the buyer should be given reasonable time and opportunity of comparing the bulk with the sample. Whereas C can recover only damages from B and B can recover damages from A. For C and B it will not be treated as a breach of implied condition as to sample as they have accepted and sold the goods according to Section 13(2) of the Sales of Goods Act, 1930.

(v) Section 16(1):- Condition as to quality or fitness

- Ordinarily, there is no implied condition as to the quality or fitness of the goods sold for any particular purpose.
- However, the condition as to the reasonable fitness of goods for a particular purpose may be implied
  - if the buyer had made known to the seller the purpose of his purchase and
  - relied upon the skill and judgment of the seller to select the best goods and
  - the seller has ordinarily been dealing in those goods.
- This implied condition will not apply if the goods have been sold under a trademark or a patent name.
- In some cases, the purpose may be ascertained from the conduct of the parties or form the nature of the goods sold. Where the goods can be used for only one purpose, the buyer need not tell the seller the purpose for which he requires the goods.

Example

11: A' bought a set of false teeth from 'B', a dentist. But the set was not fit for 'A's mouth. 'A' rejected the set of teeth and claimed the refund of price. It was held that 'A' was entitled to do so as the only purpose for which he wanted the set of teeth was not fulfilled.

12: 'A' went to 'B's shop and asked for a 'Merrit' sewing machine. 'B' gave 'A' the same and 'A' paid the price. 'A' relied on the trade name of the machine rather than on the skill and judgement of the seller 'B'. In this case, there is no implied condition as to fitness of the machine for buyer's particular purpose.

As a general rule, it is the duty of the buyer to examine the goods thoroughly before he buys them in order to satisfy himself that the goods will be suitable for his purpose for which he is buying them. This is known as rule of caveat emptor which means "Let the buyer beware".

CASE BASED QUESTIONS

Question 1: **(MTP-Nov.19-3 Marks)**

For the purpose of making uniform for the employees, Mr. Yadav bought dark blue coloured cloth from Vivek, but did not disclose to the seller the purpose of said purchase. When uniforms were prepared and used by the employees, the cloth was found unfit. However, there was evidence that the cloth was fit for caps, boots and carriage lining. Advise Mr. Yadav whether he is entitled to have any remedy under the sale of Goods Act, 1930?

Answer:

- Fitness of Cloth: As per the provision of Section 16(1) of the Sale of Goods Act, 1930, an implied condition in a contract of sale that an article is fit for a particular purpose only arises when the purpose for which the goods are supplied is known to the seller, the buyer relied on the seller's skills or judgement and seller deals in the goods in his usual course of business.

- In this case, the cloth supplied is capable of being applied to a variety of purposes, the buyer should have told the seller the specific purpose for which he required the goods. But he did not do so.
- Therefore, the implied condition as to the fitness for the purpose does not apply. Hence, the buyer Mr. Yadav will not succeed in getting any remedy from the seller under the Sale of Goods Act, 1930.

Question 2: **(PEQ-SEP-25-3 Marks)**

For the purpose of making uniforms for the employees, VK bought dark blue coloured cloth from PK. But did not disclose to the PK the purpose of the said purchase. When uniforms were prepared and used by the employees, the cloth was found unfit. However, there was evidence that the cloth was fit for caps and boots. Advise VK whether he is entitled to have any remedy, as per the provisions of the Sale of Goods Act, 1930.

Answer :

According to Section 16(1) of the Sale of Goods Act, 1930, normally in a contract of sale, there is no implied condition or warranty as to quality or fitness for any particular purpose of goods supplied.

The general rule is that of "Caveat Emptor" that is "let the buyer beware".

But where the buyer expressly or impliedly makes known to the seller the particular purpose for which the goods are required and also relies on the seller's skill and judgement and that this is the business of the seller to sell such goods in the ordinary course of his business, the buyer can make the seller responsible.

In the given case, VK purchased the dark blue coloured cloth from PK without informing him i.e. uniforms would be prepared and used by employees. Therefore, VK cannot make PK responsible on the ground that cloth was found unfit.

VK cannot treat it as a breach of implied condition as to fitness and quality and has no right to recover damages from PK.

In view of the above, VK will not succeed in getting any remedy as per the provisions of the Sale of Goods Act, 1930.

Question 3: **(SM) (RTP-May21)**

Mrs. G bought a tweed coat from P. When she used the coat, she got rashes on her skin as her skin was abnormally sensitive. But she did not make this fact known to the seller i.e. P. Mrs. G filled a case against the seller to recover damages. Can she recover damages under the Sale of Goods Act, 1930?

Answer:

According to Section 16(1) of Sales of Goods Act, 1930, normally in a contract of sale there is no implied condition or warranty as to quality or fitness for any particular purpose of goods supplied. The general rule is that of "Caveat Emptor" that is "let the buyer beware". But where the buyer expressly or impliedly makes known to the seller the particular purpose for which the goods are required and also relies on the seller's skill and judgement and that this is the business of the seller to sell such goods in the ordinary course of his business, the buyer can make the seller responsible.

In the given case, Mrs. G purchased the tweed coat without informing the seller i.e. P about the sensitive nature of her skin. Therefore, she cannot make the seller responsible on the ground that the tweed coat was not suitable for her skin. Mrs. G cannot treat it as a breach of implied condition as to fitness and quality and has no right to recover damages from the seller.

Question 4: **(RTP-May21, Jan.21- 6Marks)**

Mr. T was a retailer trader of fans of various kinds. Mr. M came to his shop and asked for an exhaust fan for kitchen. Mr. T showed him different brands and Mr. M approved of a particular brand and paid for it. Fan was delivered at Mr. M's house; at the time of opening the packet he found that it was a table fan. He informed Mr. T about the delivery of the wrong fan. Mr. T refused to exchange the same, saying that the contract was complete after the delivery of the fan and payment of price.

(i) Discuss whether Mr. T is right in refusing to exchange as per provisions of the Sale of Goods Act, 1930?

(ii) What is the remedy available to Mr. M?

Answer :

According to Section 15 of the Sale of Goods Act, 1930, where the goods are sold by sample as well as by description, the implied condition is that the goods supplied shall correspond to both with the sample and the description. In case, the goods do not correspond with the sample or with description or vice versa or both, the buyer can repudiate the contract.

Further, as per Section 16(1) of the Sales of Goods Act, 1930, when the buyer makes known to the seller the particular purpose for which the goods are required and he relies on the judgment or skill of the seller, it is the duty of the seller to supply such goods as are reasonably fit for that purpose.

(i) In the given case, Mr. M had revealed Mr. T that he wanted the exhaust fan for the kitchen. Since the table fan delivered by Mr. T was unfit for the purpose for which Mr. M wanted the fan, therefore, T cannot refuse to exchange the fan.

(ii) When one party does not fulfill his obligation according to the agreed terms, the other party may treat the contract as repudiated or can insist for performance as per the original contract. Accordingly, the remedy available to Mr. M is that he can either rescind the contract or claim refund of the price paid by him or he may require Mr. T to replace it with the fan he wanted.

Question 5: **(PEQ - Dec.21-3 Marks)**

TK ordered timber of 1 inch thickness for being made into drums. The seller agreed to supply the required timber of 1 inch. However, the timber supplied by the seller varies in thickness from 1 inch to 1.4 inches. The timber is commercially fit for the purpose for which it was ordered. TK rejects the timber. Explain with relevant provisions of the Sale of Goods Act, 1930 whether TK can reject the timber.

Answer:

Condition as to quality or fitness [Section 16(1) of the Sale of Goods Act, 1930]:

The condition as to the reasonable fitness of goods for a particular purpose may be implied if the buyer had made known to the seller the purpose of his purchase and relied upon the skill and judgment of the seller to select the best goods and the seller has ordinarily been dealing in those goods.

There is implied condition on the part of the seller that the goods supplied shall be reasonably fit for the purpose for which the buyer wants them, provided the following conditions are fulfilled:

(a) The buyer should have made known to the seller the particular purpose for which goods are required.

(b) The buyer should rely on the skill and judgement of the seller.

(c) The goods must be of a description dealt in by the seller, whether he be a manufacturer or not.

In the instant case, as the timber supplied by the seller is commercially fit for the purposes for which it was ordered, it means the implied condition on the part of the seller is fulfilled.

Hence, TK cannot reject the timber.

Alternatively, the above answer can also be provided as under:

According to Section 15 of the Sale of Goods Act, 1930 where there is a contract for the sale of goods by description, there is an implied condition that the goods shall correspond with the description. The buyer is not bound to accept and pay for the goods which are not in accordance with the description of goods.

Thus, it has to be determined whether the buyer has undertaken to purchase the goods by their description, i.e., whether the description was essential for identifying the goods where the buyer had agreed to purchase. If that is required and the goods tendered do not correspond with the description, it would be breach of condition entitling the buyer to reject the goods.

In the instant case, as the timber supplied by seller varies in thickness from 1 inch to 1.4 inches, it does not correspond with the description ordered by TK i.e. of 1 inch, TK may reject the timber.

Question 6: **(PEQ-SEP-25-3 Marks)**

Ms. S visits an electronic store and asks for a laptop suitable for high-end graphic design work. The salesman recommends a specific model, assuring her that it will meet her needs. Relying on this advice, Ms. S purchases the laptop. However, after using it, she realises that the laptop lacks the necessary processing power and graphics capability for her work.

Can Ms. S take legal action against the seller under the Sale of Goods Act, 1930? Justify your answer.

Answer :

Fitness as to Quality or Use [Section 16 (1) of the Sale of Goods Act, 1930]

According to Section 16(1) of the Sale of Goods Act, 1930 there is implied condition on the part of the seller that the goods supplied shall be reasonably fit for the purpose for which the buyer wants them, provided the following conditions are fulfilled:

1. The buyer should have made known to the seller the particular purpose for which goods are required.
2. The buyer should rely on the skill and judgement of the seller.

3. The goods must be of a description dealt in by the seller, whether he be a manufacturer or not.

In some cases, the purpose may be ascertained from the conduct of the parties or from the nature of the goods sold. Where the goods can be used only for one purpose, the buyer need not tell the seller the purpose for which he requires the goods.

In the instant case, Ms. S clearly informed the Seller that she needed a laptop for high end graphic design work. The Seller recommended a model, creating an implied condition that it would be suitable for that purpose. The laptop failed to meet the required performance standards, breaching the implied condition of fitness.

Ms. S can take legal action against the seller. The seller breached the implied condition as to fitness for purpose, since the laptop recommended was not suitable for high-end graphic design work.

(vi) Section 16(2):- Condition as to Merchantability

- Where goods are bought by description from a seller who deals in goods of that description (whether he is the manufacturer or producer or not),
- there is an implied condition that the goods shall be of merchantable quality.

  There are two requirements for this condition to apply:

  (a) Goods should be bought by description.

  (b) The seller should be a dealer in goods of that description.

  Provided that, if the buyer has examined the goods, there shall be no implied condition as regards defects which such examination ought to have revealed.

  The expression "merchantable quality", though not defined, nevertheless connotes goods of such a quality and in such a condition a man of ordinary prudence would accept them as goods of that description. It does not imply any legal right or legal title to sell.

Example

13: If a person orders motor horns from a manufacturer of horns, and the horns supplied are scratched and damaged owing to bad packing, he is entitled to reject them as unmerchantable.

14: A bought a black velvet cloth from C and found it to be damaged by white ants. Held, the condition as to merchantability was broken.

CASE BASED QUESTIONS

Question 1: **(RTP-May20)**

Mr. Amit was shopping in a self-service Super market. He picked up a bottle of cold drink from a shelf. While he was examining the bottle, it exploded in his hand and injured him. He files a suit for damages against the owner of the market on the ground of breach of condition. Decide under the Sale of Goods Act, 1930, whether Mr. Amit would succeed in his claim?

Answer :

Essentials of Sale: The problem as given in the question is based on Section 16(2) of the Sale of Goods Act, 1930, which states that where goods are bought by description from a seller who deals in goods of that description (whether he is the manufacturer or producer or not), there is an implied condition that the goods shall be of merchantable quality. Though the term 'merchantable quality' is not defined in the Act, it means that in the present case, the bottle must be properly sealed. In other words, if the goods are purchased for self-use, they should be reasonably fit for the purpose for which it is being used.

In the instant case, on an examination of the bottle of cold drink, it exploded and injured the buyer. Applying the provision of Section 16(2), Mr. Amit would succeed in claim for damages from the owner of the shop.

Question 2: **(PEQ-JAN-25-3 Marks)**

Adarsh visited an authorized car showroom and purchased a car of his choice without conducting a detailed inspection. After making the payment and taking delivery of the car, he discovered a defect in the engine that could not have been detected even with a reasonable inspection. With reference to the provisions of the Sale of Goods Act, 1930, advise, whether Adarsh can invoke the implied condition of merchantability and repudiate the contract due to the defect in the car.

Answer :

Condition as to Merchantability [Section 16(2) of the Sale of Goods Act, 1930]: Where goods are bought by description from a seller who deals in goods of that description (whether he is the manufacturer or producer or not), there is an implied condition that the goods shall be of merchantable quality.

There are two requirements for this condition to apply:

(a) Goods should be bought by description.

(b) The seller should be a dealer in goods of that description.

Provided that, if the buyer has examined the goods, there shall be no implied condition as regards defects which such examination ought to have revealed.

The expression "merchantable quality", though not defined, nevertheless connotes goods of such a quality and in such a condition a man of ordinary prudence would accept them as goods of that description. It does not imply any legal right or legal title to sell.

In the instant case, the defect in the engine could not have been detected even with a reasonable inspection.

Therefore, Adarsh can invoke the implied condition of merchantability and is entitled to repudiate the contract due to the defect in the car.

Question 3: **(PEQ-JAN-26-7 Marks)**

Raj is a manufacturer of talcum powder. Vikas purchased a talcum powder from Raj and after using it, he suffered from skin irritation due to a chemical residue available in talcum powder. Vikas plead that Raj is responsible for his suffering. Raj denied his liability on the basis that he was in no way responsible for the bad selection of the buyer (caveat emptor). Examine under the provisions of the Sale of Goods Act, 1930.

(i) Whether Raj would be held responsible?

(ii) Whether your answer would be different if Raj is only a trader of the talcum powder of a popular brand sold in a sealed container if it is a sale by description?

Answer :

(i) Whether Raj would be held responsible?

According to Section 16(1) of the Sale of Goods Act, 1930, there is an implied condition that the goods shall be reasonably fit for the purpose for which they are purchased, provided the buyer makes the purpose known to the seller and relies on the seller's skill or judgment.

In the instant case, Raj is the manufacturer. As a manufacturer of talcum powder, there is an implied condition that the product is fit for human skin usage. Since the powder contained a chemical residue that caused skin irritation, it was not of merchantable quality, meaning it was not fit for its ordinary purpose (application to the body).

The chemical residue constitutes a "latent defect" (not discoverable by ordinary inspection), making the product unmerchantable and unfit for use. Therefore, the doctrine of caveat emptor (let the buyer beware) does not apply here because the defect was not discoverable by ordinary inspection, and the seller (as manufacturer) is liable for the fitness of the product.

Raj, the manufacturer of the talcum powder, is responsible for the skin irritation of Vikas. Raj cannot deny liability based on the buyer's selection because the product was not of "merchantable quality," which is an implied condition in sale of goods. Vikas can claim damages from Raj for the skin irritation caused by the defective talcum powder.

(ii) If Raj is only a Trader: Section 16(2) of the Sale of Goods Act, 1930 states that where goods are bought by description from a seller who deals in goods of that description (whether he is the manufacturer or not), there is an implied condition that the goods shall be of "merchantable quality".

Even if Raj is merely a trader selling a popular brand in a sealed container, the goods must still be merchantable (i.e., fit for use). A product that causes skin irritation due to chemical residue is not of merchantable quality. The seller is liable for latent defects in the goods even if they are sold in a sealed container, as the seller is expected to sell goods that are fit for consumption/use.

Raj is still responsible for selling goods of unmerchantable quality, even if he is just a trader.

(vii) Condition as to wholesomeness:

In the case of eatables and provisions, in addition to the implied condition as to merchantability, there is another implied condition that the goods shall be wholesome.

Example

15: A supplied F with milk. The milk contained typhoid germs. F's wife consumed the milk and was infected and died. Held, there was a breach of condition as to fitness and A was liable to pay damages.

THEORY QUESTIONS

Question 1: **(RTP- May-18)**

Explain the "condition as to Merchantability" and "condition as to wholesomeness" under the Sale of Goods Act, 1930.

CASE BASED QUESTIONS

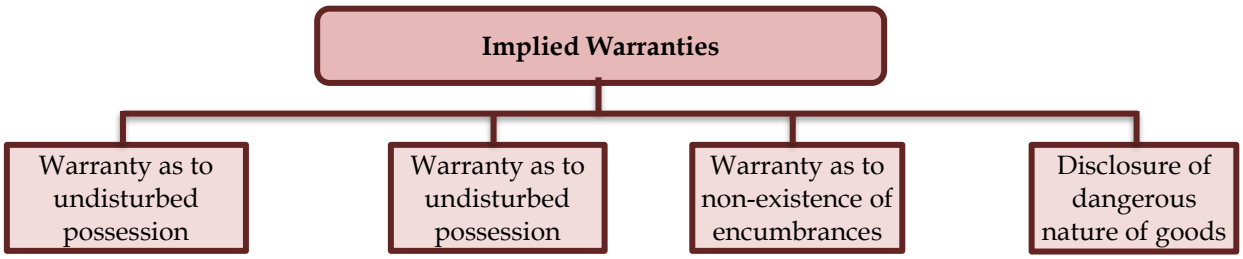
Question 1: **(SM)**

A person purchased bread from a baker's shop. The piece of bread contained a stone in it which broke buyer's tooth while eating. What are the rights available to the buyer against the seller under the Sale of Goods Act, 1930?

Answer:

This is a case related to implied condition as to wholesomeness which provides that the eatables and provisions must be wholesome that is they must be fit for human consumption. In this case, the piece of bread contained a stone which broke buyer's tooth while eating, thereby considered unfit for consumption. Hence, the buyer can treat it as breach of implied condition as to wholesomeness and can also claim damages from the seller.

Implied Warranties:



The examination of Sections 14 and 16 of the Sale of Goods Act, 1930 discloses the following implied warranties:

1. Section 14(b):- Warranty as to undisturbed possession

- An implied warranty that the buyer shall have and enjoy quiet possession of the goods.
- That is to say, if the buyer having got possession of the goods, is later on disturbed in his possession, he is entitled to sue the seller for the breach of the warranty.

Example

16: X buys a laptop from Y. After the purchase, X spends some money on its repair and uses it for some time. Unknown to the parties, it turns out that the laptop was stolen and was taken from X and delivered to its rightful owner. Y shall be held responsible for a breach and X is entitled to damages of not only the price but also the cost of repairs.

2. Section 14(c):- Warranty as to non-existence of encumbrances

An implied warranty that the goods shall be free from any charge or encumbrance in favour of any third party not declared or known to the buyer before or at the time the contract is entered into.

Example

17: X buys a laptop from Y. After the purchase, X spends some money on its repair and uses it for some time. Unknown to the parties, it turns out that the laptop was stolen and was taken from X and delivered to its rightful owner. Y shall be held responsible for a breach and X is entitled to damages of not only the price but also the cost of repairs.

3. Section 16 (3):- Warranty as to quality or fitness by usage of trade

- An implied warranty as to quality or fitness for a particular purpose may be annexed or attached by the usage of trade.
- Regarding implied condition or warranty as to the quality or fitness for any particular purpose of goods supplied, the rule is 'let the buyer beware' i.e., the seller is under no duty to reveal unflattering truths about the goods sold, but this rule has certain exceptions.

4. Disclosure of dangerous nature of goods:

Where the goods are dangerous in nature and the buyer is ignorant of the danger, the seller must warn the buyer of the probable danger. If there is a breach of warranty, the seller may be liable in damages.

THEORY QUESTIONS

Question 1: **(MTP-June19, May-21-6 Marks) (RTP-Nov.19)**

What are the implied conditions in a contract of 'Sale by sample' under the Sale of Goods Act, 1930? State also the implied warranties operatives under the said Act.

Answer :

The following are implied conditions in a contract of sale by sample in accordance with Section 17 of the Sale of Goods Act, 1930;

(a) that the bulk shall correspond with the sample in quality;

(b) that the buyer shall have a reasonable opportunity of comparing the bulk with the sample.

(c) that the goods shall be free from any defect, rendering them unmerchantable, which would not be apparent on a reasonable examination of the sample.

Implied Warrants:

1. Warranty as to undisturbed possession [Section 14(b)]: An implied warranty that the buyer shall have and enjoy quiet possession of the goods. That is to say, if the buyer having got possession of the goods, is later on disturbed in his possession, he is entitled to sue the seller for the breach of the warranty.
2. Warranty as to non-existence of encumbrances [Section 14(c)]: An implied warranty that the goods shall be free from any charge or encumbrance in favour of any third party not declared or known to the buyer before or at the time the contract is entered into.
3. Warranty as to quality or fitness by usage of trade [Section 16(3)]. An implied warranty as to quality or fitness for a particular purpose may be annexed by the usage of trade.
4. Warranty to disclose dangerous nature of goods: Where a person sells goods, knowing that the of the danger, he must warn the buyer of the probable danger, otherwise he will be liable in damages.

Question 2: **(RTP-May-20)**

What is an Implied Warranty and state the various types of Implied Warranties.

CASE BASED QUESTIONS

Question 1: **(PEQ-JAN-26-7 Marks)**

With reference to the provisions of the Sale of Goods Act, 1930 what is the major difference between condition and warranty? Examine the following cases and comment whether it is a 'Breach of Condition' or 'Breach of Warranty' by quoting the relevant provisions of the Sale of Goods Act, 1930:

(i) Ashutosh purchased a second hand laptop from Sudhir for Rs. 10,000/-. After a month, Ashutosh came to know that Sudhir was not the true owner of the laptop. Actually Mahindra (a friend of Sudhir) was the true owner of the laptop, who unknowingly left his laptop at the Sudhir's residence. As a result Ashutosh's position became awkward. What would be course of action available to Ashutosh in this regard?

(ii) Anita ordered to purchase an Italian couch from a prominent e-commerce platform. When the order was delivered, it was found that the couch was not Italian as narrated on the e-commerce platform. What would be course of action available to Anita in this regard?

(iii) Rishabh purchased a car costing Rs. 7 lakh by availing bank loan which is hypothecated in favour of the bank. Due to some medical emergency, Rishabh took another loan of Rs. 5 Lakhs from his friend Sandeep on the basis of security of his car. When the fact of bank loan came to knowledge of Sandeep, Rishabh denied paying the loan amount to Sandeep. What would be course of action available to Sandeep in this regard?

Answer:

Major difference between a Condition and Warranty under the Sale of Goods Act, 1930:

The following are the major differences between a 'Condition' and a 'Warranty' as per the provisions of the Sale of Goods Act, 1930.

Point of Differences	Condition	Warranty
Meaning	A condition is a stipulation essential to the main purpose of the contract.	A warranty is a stipulation collateral to the main purpose of the contract.
Rightin case of breach	The aggrieved party can repudiate the contract or claim damages or both in the case of breach of condition.	The aggrieved party can claim only damages in case of breach of warranty.
Conversion of stipulations	A breach of condition may be treated as a breach of warranty.	A breach of warranty cannot be treated as a breach of condition.

(i) This is a case of 'Breach of Warranty' as to undisturbed possession.

As per Section 14(b) of the Sale of Goods Act, 1930, if the buyer having got possession of the goods, is later on disturbed in his possession, he is entitled to sue the seller for the breach of the warranty.

Therefore, Sudhir shall be held responsible for a breach and Ashutosh is entitled to sue Sudhir, the seller without title, for the recovery of the purchase price.

Alternative Answer (i)

This is a case of 'Breach of Condition' as to Title.

As per Section 14(a) of the Act, the condition implied is that the seller has the right to sell the goods (means he should be the real owner) at the time when the property is to pass.

If the seller's title/ownership turns out to be defective, the buyer must return the goods to the true owner and recover the price from the seller.

In the given case, Sudhir has no right to sell as he was not the actual owner of laptop even though he sold the laptop to Ashutosh for consideration of Rs. 10,000/-. As the title of Sudhir turned out to be defective, Ashutosh should return the laptop to Mahendra and recover the full price paid from Sudhir.

Thus, Sudhir has breached the implied condition as to title.

Therefore, Sudhir shall be held responsible for a breach and Ashutosh is entitled to sue Sudhir, the seller without title, for the recovery of the purchase price.

(ii) This is a case of breach of condition of 'Sale by Description'.

As per Section 15 of the Act, where there is a contract of sale of goods by description, there is an implied condition that the goods shall correspond with the description.

The buyer is not bound to accept and pay for the goods which are not in accordance with description.

Therefore, Anita is entitled to reject the Couch as it was not Italian as narrated on the e-commerce platform and ask for refund if already paid.

(iii) This is a case of 'Breach of Warranty' as to Non-existence of Encumbrances.

As per Section 14(c) of the Act, there is an implied warranty that the goods shall be free from any charge or encumbrance in favour of any third party not declared or known to the buyer before or at the time the contract is entered into.

In the given case the car was already hypothecated in favour of a bank. However, Rishabh took another loan of Rs. 5 Lakhs from his friend Sandeep on the basis of security of his car, without informing him about hypothecation of car.
Therefore, Sandeep may file a suit against Rishabh for recovery of the money with interest. It may be noted that Sandeep can file a Civil Suit on a Competent Court to recover damages. The claim would be for loss suffered due to breach of Warranty and not the ownership of the Car.

2.5 CAVEAT EMPTOR

- In case of sale of goods, the doctrine 'Caveat Emptor' means 'let the buyer beware'.
- The seller is in no way responsible for the bad selection of the buyer.
- The seller is not bound to disclose the defects in the goods which he is selling.
- It is the duty of the buyer to satisfy himself before buying the goods that the goods will serve the purpose for which they are being bought.
- If the goods turn out to be defective or do not serve his purpose or if he depends on his own skill or judgment, the buyer cannot hold the seller responsible.

Example

18: A sold pigs to B. These pigs being infected, caused typhoid to other healthy pigs of the buyer. It was held that the seller was not bound to disclose that the pigs were unhealthy. The rule of the law being "Caveat Emptor".

19: A purchases a horse from B. A needed the horse for riding but he did not mention this fact to B. The horse is not suitable for riding but is suitable only for being driven in the carriage. Caveat emptor rule applies here and so A can neither reject the horse nor can claim compensation from B.

Exceptions: The doctrine of Caveat Emptor is, however, subject to the following exceptions:

1. Section 16 (1):- Fitness as to quality or use

- Where the buyer makes known to the seller the particular purpose for which the goods are required,
- so as to show that he relies on the seller's skill or judgment and the goods are of a description which is in the course of seller's business to supply, it is the duty of the seller to supply such goods as are reasonably fit for that purpose.

Example

20: An order was placed for some trucks to be used for heavy traffic in a hilly country. The trucks supplied by the seller were unfit for this purpose and broke down. There is a breach of condition as to fitness.

In Priest vs. Last, P, a draper, purchased a hot water bottle from a retail chemist, P asked the chemist if it would stand boiling water. The Chemist told him that the bottle was meant to hold hot water. The bottle burst when hot water was poured into it and injured his wife. It was held that the chemist shall be liable to pay damages to P, as he knew that the bottle was purchased for the purpose of being used as a hot water bottle.
Where the article can be used for only one particular purpose, the buyer need not tell the seller the purpose for which he required the goods. But where the article can be used for a number of purposes, the buyer should tell the seller the purpose for which he requires the goods, if he wants to make the seller responsible.
In Bombay Burma Trading Corporation Ltd. vs. Aga Muhammad, timber was purchased for the express purpose of using it as railways sleepers and when it was found to be unfit for the purpose, the Court held that the contract could be avoided.

2. Section 16(1):- Goods purchased under patent or brand name

In case where the goods are purchased under its patent name or brand name, there is no implied condition that the goods shall be fit for any particular purpose.

3. Section 15:- Goods sold by description

Where the goods are sold by description there is an implied condition that the goods shall correspond with the description.

If it is not so, then seller is responsible.

4. Section 16(2):- Goods of Merchantable Quality

- Where the goods are bought by description from a seller who deals in goods of that description there is an implied condition that the goods shall be of merchantable quality.
- The rule of Caveat Emptor is not applicable.
- But where the buyer has examined the goods, this rule shall apply if the defects were such which ought to have not been revealed by ordinary examination.

5. Section 17:- Sale by sample

Where the goods are bought by sample, this rule of Caveat Emptor does not apply if the bulk does not correspond with the sample.

6. Section 15:- Goods by sample as well as description

Where the goods are bought by sample as well as description, the rule of Caveat Emptor is not applicable in case the goods do not correspond with both the sample and description or either of the condition.

7. Section 16(3):- Trade Usage

An implied warranty or condition as to quality or fitness for a particular purpose may be annexed by the usage of trade and if the seller deviates from that, this rule of Caveat Emptor is not applicable.

Example

21: : In readymade garment business, there is an implied condition by usage of trade that the garments shall be reasonably fit on the buyer

8. Seller actively conceals a defect or is guilty of fraud

- Where the seller sells the goods by making some misrepresentation or fraud and the buyer relies on it or
- when the seller actively conceals some defect in the goods so that the same could not be discovered by the buyer on a reasonable examination,
- then the rule of Caveat Emptor will not apply.
- In such a case the buyer has a right to avoid the contract and claim damages.

THEORY QUESTIONS

Question 1: **(MTP- Nov.18, June 19-6 Marks) (RTP - May18)**

What do you understand by "Caveat-Emptor" under the Sale of Goods Act, 1930? What are the exceptions to this rule?

Question 2: **(Nov.18 & Nov.20- 6 Marks)**

What is the Doctrine of "Caveat Emptor"? What are the exceptions to the Doctrine of "Caveat Emptor"?

Question 3: **(MTP-Nov 18-6 Marks)**

"It is for buyer to make a proper selection or choice of goods. If the goods turned to be defective he cannot hold the seller liable." Discuss.

CASE BASED QUESTIONS

Question 1: **(SM) (MTP-May-21-6 Marks, May-19-6Marks)**

M/s Woodworth & Associates, a firm dealing with the wholesale and retail buying and selling of various kinds of wooden logs, customized as per the requirement of the customers. They dealt with Rose wood, Mango wood, Teak wood, Burma wood etc.

Mr. Das, a customer came to the shop and asked for wooden logs measuring 4 inches broad and 8 feet long as required by the carpenter. Mr. Das specifically mentioned that he required the wood which would be best suited for the purpose of making wooden doors and window frames. The Shop owner agreed and arranged the wooden pieces cut into as per the buyers requirements.

The carpenter visited Mr. Das's house next day, and he found that the seller has supplied Mango Tree wood which would most unsuitable for the purpose. The carpenter asked Mr. Das to return the wooden logs as it would not meet his requirements.

The Shop owner refused to return the wooden logs on the plea that logs were cut to specific requirements of Mr. Das and hence could not be resold.

(a) Explain the duty of the buyer as well as the seller according to the doctrine of "Caveat Emptor'.

(b) Whether Mr. Das would be able to get the money back or the right kind of wood as required serving his purpose?

Answer:

(a) Duty of the buyer according to the doctrine of "Caveat Emptor": In case of sale of goods, the doctrine 'Caveat Emptor' means 'let the buyer beware'. When sellers display their goods in the open market, it is for the buyers to make a proper selection or choice of the goods. If the goods turn out to be defective he cannot hold the seller liable. The seller is in no way responsible for the bad selection of the buyer. The seller is not bound to disclose the defects in the goods which he is selling.

Duty of the seller according to the doctrine of "Caveat Emptor": The following exceptions to the Caveat Emptor are the duties of the seller:

1. Fitness as to quality or use
2. Goods purchased under patent or brand name
3. Goods sold by description
4. Goods of Merchantable Quality
5. Sale by sample
6. Goods by sample as well as description
7. Trade usage
8. Seller actively conceals a defect or is guilty of fraud

(b) As Mr. Das has specifically mentioned that he required the wood which would be best suited for the purpose of making wooden doors and window frames but the seller supplied Mango tree wood which is most unsuitable for the purpose. Mr. Das is entitled to get the money back or the right kind of wood as required serving his purpose. It is the duty of the seller to supply such goods as are reasonably fit for the purpose mentioned by buyer. [Section 16(1) of the Sale of Goods Act, 1930]

MULTIPLE CHOICE QUESTIONS

1. A stipulation which is essential to the main purpose of the contract is called-
   (a) Warranty (b) Guarantee (c) Condition (d) Indemnity

2. Breach of condition gives the aggrieved party-
   (a) Right to sue for damages
   (b) Right to repudiate the contract
   (c) Both (a) and (b)
   (d) None of these

3. Condition may be treated as a warranty when there is -
   (a) Waiver of condition by the buyer
   (b) Buyer elects to treat breach of condition as a breach of warranty
   (c) Acceptance of goods by the buyer in case of non-severable of contract of sale
   (d) All of the above

4. The doctrine of Caveat Emptor does not apply, when
   (a) the goods are bought by sample.
   (b) the goods are bought by sample as well as description.
   (c) The exact purpose is known to the seller and is a regular dealer
   (d) All of the above

5. Which of the following is not an implied condition in a contract of sale?
   (a) condition as to title.
   (b) condition as to description
   (c) condition as to free from encumbrance.
   (d) condition as to sample.

6. The conditions and warranties may be in the form of
   (a) express.
   (b) implied.
   (c) either (a) or (b).
   (d) none of the above.

7. Which one of the following is not an implied warranty
   (a) warranty as to undisturbed possession.
   (b) warranty as to existence of encumbrance.
   (c) disclosure of dangerous nature of goods.
   (d) warranty as to quality or fitness by usage of trade.

8. In case of goods sold by sample, the goods should correspond with the sample other wise
   (a) buyer can reject the goods.
   (b) buyer cannot reject the goods.
   (c) contract is automatically terminated.
   (d) seller is liable to punishment.

9. M, a shopkeeper, sold a Television set to N, who purchased it in good faith. The set had some manufacturing defect and it did not work after a few days in spite of repairs. In this case, the television was not merchantable as it was not fit for ordinary purpose
   (a) the buyer has no right to reject the television.
   (b) the buyer has the right to reject the television and to have refund of the price.
   (c) both [(a) & (b)].
   (d) none of the above.

10. Where the buyer is deprived to goods by their true owner, then the buyer
    (a) may recover the price for breach of the condition as to title.
    (b) can not recover the price for breach of the condition as to title.
    (c) either (a) or (b)
    (d) none of the above.

11. Where goods are bought by description from a seller who deals in goods of that description, what is the implied condition?
(a) That goods shall be of merchantable equality
(b) That the buyer shall have reasonable opportunity of comparing the bulk with the sample
(c) The goods shall be of excellent quality
(d) The goods shall be free from defects

12. A warranty is stipulation
(a) Essential to the main purpose of the contract
(b) Collateral to the main purpose of the contract
(c) Very important to the seller
(d) Very important to the buyer

13. In a sale by sample and description, there is an implied condition
(a) That bulk of the goods correspond with the sample
(b) That bulk of goods must correspond to the description as well as the sample thereof
(c) The bulk of goods must correspond either to the description or to the sample
(d) The bulk of goods must correspond to the description only

Answers to MCQs

1.	(c)	2.	(c)	3.	(d)	4.	(d)	5.	(c)
6.	(c)	7.	(d)	8.	(a)	9.	(b)	10.	(a)
11.	(a)	12.	(b)	13.	(b)				

THE SALE OF GOODS ACT, 1930

Unit 3 : TRANSFER OF OWNERSHIP AND DELIVERY OF GOODS

Section Overview:

Section :18	Goods must be ascertained for property transfer
Section :19	Property passes when parties intend
Section :20	Specific goods in deliverable state
Section :21	When goods put into deliverable state
Section :22	When price ascertainment needed before delivery
Section :23	Sale of unascertained goods
Section :24	Goods sent on approval or sale-or-return basis
Section :25	Reservation of right of disposal
Section :26	Risk follows ownership unless agreed
Section :27	Sale by person not the owner
Section :28	Sale by mercantile agent
Section :29	Sale by one of joint owners
Section :30	Sale by seller in possession after sale
Section :31	Duties of seller & buyer
Section :32	Payment and delivery are concurrent
Section :33	Delivery: modes & rules
Section :34	Part delivery
Section :35	Buyer right to examine goods
Section :36	Time of delivery
Section :37	Delivery of wrong quantity
Section :38	Delivery by instalments
Section :39	Delivery to carrier or wharfinger
Section :40	Risk after delivery to buyer
Section :41	Buyer's duty to accept goods
Section :42	Acceptance of goods
Section :43	Buyer not bound to return rejected goods
Section :44	Buyer's liability for refusing delivery

INTRODUCTION

- Sale of goods involves transfer of ownership of property from seller to buyer.
- It is essential to determine the time at which the ownership passes from the seller to the buyer.

IMPORTANCE OF THE TIME OF TRANSFER:

- The general rule is that risk prima facie passes with the property.
- In case where goods are lost or damaged, the burden of loss will be borne by the person who is the owner at the time when the goods are lost or damaged.
- Where the goods are damaged by the act of the third party, it is the owner who can take action.
- Suit for price by the seller can be filed only when the property has passed to the buyer.

3.1 PASSING OF PROPERTY- Section 18-26

- Passing of property implies passing of ownership.
- If the property has passed to the buyer, the risk in the goods sold is that of buyer and not of seller, though the goods may still be in the seller's possession.

The rules regarding transfer of property in goods from the seller to the buyer depend on two basic factors:

(a) Identification of Goods:

- **Section 18** provides that where there is a contract of sale for unascertained goods, the property in goods cannot pass to the buyer unless and until the goods are ascertained.
- The buyer can get the ownership right on the goods only when the goods are specific and ascertained.

(b) Intentions of parties:

- **Section 19(1):** The property in goods is transferred to the buyer at such time as the parties to the contract intend it to be transferred.
- **Section 19(2):** further provides that for the purpose of ascertaining the intention of the parties regard shall be:
  - (i) To the terms of the contract
  - (ii) To the conduct of the parties and
  - (iii) To the circumstances of the case

The primary rules determining the passing of property from seller to buyer are as follows:

Passing of property
- Specific or Ascertained Goods
- Passing of Unascertained Goods
- Goods sent on approval or "on sale or return"
- Transfer of property in case of reservation of right to disposal

A. Section 19:- Property (Specific or ascertained goods) passes when intended to pass

- **Section 19(1):** Where there is a contract for the sale of specific or ascertained goods, the property in them is transferred to the buyer at such time as the parties to the contract intend it to be transferred.
- **Section 19(2):** For the purpose of ascertaining the intention of the parties, regard shall be had to the terms of the contract, the conduct of the parties and the circumstances of the case.
- **Section 19(3):** Unless a different intention appears, the rules contained in Sections 20 to 24 are rules for ascertaining the intention of the parties as to the time at which the property in the goods is to pass to the buyer.

Stages of goods while passing of property

1. Section 20:- Specific goods in a deliverable state

- Where there is an unconditional contract for the sale of specific goods in a deliverable state,
- the property in the goods passes to the buyer when the contract is made, and
- it is immaterial whether the time of payment of the price or the time of delivery of the goods, or both, is postponed.

Example

1: X goes into a shop and buys a television and asks the shopkeeper for its home delivery. The shopkeeper agrees to do it. The television immediately becomes the property of X.

CASE BASED QUESTIONS

Question 1: **(PEQ-JAN.25-4 Marks)**

MNO Limited, a supplier of electronic components, entered into a contract on August 1, 2023, with PQR Enterprises for the sale of 1000 units of microchips. The contract specifically identified the microchips by serial numbers and confirmed that they were in a deliverable state, stored in MNO Limited's warehouse. The contract stipulated that the goods would be delivered on September 1, 2023. On August 10, 2023, a flood occurred, damaged the warehouse and destroyed the entire stock of microchips, including the 1000 units intended for PQR Enterprises.

Examine, with reference to the provisions of the Sale of Goods Act, 1930 who shall suffer the loss? What will be your answer if the microchips are not specifically identified and marked for PQR Enterprises at the time of the contract?

Answer :

According to Section 18 of the Sale of Goods Act, 1930, where there is a contract of sale for unascertained goods, the property in goods cannot pass to the buyer unless and until the goods are ascertained. The buyer can get the ownership right on the goods only when the goods are specific and ascertained.

According to section 20 of the Sale of Goods Act, 1930, where there is an unconditional contract for sale of specific goods in deliverable state, the property in the goods passes to the buyer when the contract is made, and it is immaterial whether the time of payment of price or the time of delivery of the goods, or both, is postponed. Here, the condition is goods must be ready for delivery.

In the instant case, since the microchips were specifically identified and were in a deliverable state when the contract was formed on August 1, 2023, ownership (and risk) likely passed to PQR Enterprises on August 1, 2023. Therefore, PQR Enterprises will suffer the loss.

Goods are not specifically identified and ascertained:

If the microchips were not specifically identified and marked for PQR Enterprises at the time of the contract, MNO Limited will suffer the loss, as the risk would not have transferred to PQR Enterprises.

2. Section 21:- Specific goods to be put into a deliverable state

- Where there is a contract for the sale of specific goods and
- the seller is bound to do something to the goods for the purpose of putting them into a deliverable state,
- the property does not pass until such thing is done, and
- the buyer has notice thereof.

Example

2: Peter buys a laptop from an electronics store and asks for a home delivery. The shopkeeper agrees to it. However, the laptop does not have a Windows operating system installed. The shopkeeper promises to install it and call Peter before making the delivery. In this case, the property transfers to Peter only after the shopkeeper has installed the OS making the laptop ready for delivery and intimated the buyer about it.

CASE BASED QUESTIONS

Question 1: **(SM)**

X agreed to purchase 300 tons of wheat from Y out of a larger stock. X sent his men with the sacks and 150 tons of wheat were put into the sacks. Then there was a sudden fire and the entire stock was gutted. Who will bear the loss and why?

Answer :

According to Section 21 of the Sales of Goods Act, 1930, if the goods are not in a deliverable state and the contract is for the sale of specific goods, the property does not pass to the buyer unless:-

(i) The seller has done his act of putting the goods in a deliverable state and
(ii) The buyer has knowledge of it.

Sometimes the seller is required to do certain acts so as to put the goods in deliverable state like packing, filling in containers etc. No property in goods passes unless such act is done and buyer knows about it.

In the given case, X has agreed to purchase 300 tons of wheat from Y out of a larger stock. X sent his men (agent) to put the wheat in the sacks. Out of 300 tones only 150 tons were put into the sacks. There was a sudden fire and the entire stock was gutted. In this case, according to the provisions of law, 150 tons sale has taken place. So, buyer X will be responsible to bear the loss. The loss of rest of the wheat will be that of the seller Y.

The wheat which was put in the sacks fulfills both the conditions that are:-

The wheat is put in a deliverable state in the sacks.

The buyer is presumed to have knowledge of it because the men who put the wheat in the sacks are that of the buyer.

Question 2: **(PEQ - SEP - 25 - 4 Marks)**

X offered to sell Y a machine for Rs. 5,00,000/-. Y refused to buy it unless the machine is made into a running condition. X agreed to do the same but while the machine was being repaired, it was destroyed without the fault of any person. With reference to the relevant provisions of the Sale of Goods Act, 1930 examine whether X can recover the price from Y?

Answer :

According to the provisions of the Sale of Goods Act, 1930, in case of 'specific goods', the property shall pass on the formation of contract only if the goods are specific (Section 19).

Goods are in a deliverable state i.e. the seller has done all that he is required to do, to put the goods in such a state that the buyer shall be bound to take the delivery of the same (Section 20).

If the seller is bound to do something in respect of the goods to put them in a deliverable state and he is not yet done the same, then the possession of goods shall pass on to the buyer in the future, when the seller does what is required to do and brings the same to the knowledge of the buyer. (Section 21).

In the given case, the seller X was required to conduct repairs in respect of the machine before he buys the same. Thus, the possession of property intends to take place when the repairs are conducted by X and Y has the knowledge of the same. Since the machine is destroyed before repairs could be completed, the possession of property has not taken place.

The risk of loss vests with X and therefore cannot recover the price from Y.

3. Section 22:- Specific goods in a deliverable state, when the seller has to do anything thereto in order to ascertain price

- Where there is a contract for the sale of specific goods in a deliverable state,
- but the seller is bound to weigh, measure, test or do some other act or thing with reference to the goods
- for the purpose of ascertaining the price,
- the property does not pass until such act or thing is done, and
- the buyer has notice thereof.

Example

3: A sold carpets to the Company which were required to be laid. The carpet was delivered to the company's premises but was stolen before it could be laid. It was held that the carpet was not in deliverable state as it was not laid, which was part of the contract and hence, the property had not passed to the buyer company.

B. Section 18:- Goods must be ascertained

Where there is a contract for the sale of unascertained goods, no property in the goods is transferred to the buyer unless and until the goods are ascertained.

The rules in respect of passing of property of unascertained goods are as follows:

1. Section 23(1):- Sale of unascertained goods by description

- where there is a contract for the sale of unascertained or future goods by description and
- goods of that description in a deliverable state are unconditionally appropriated to the contract,
- either by the seller with the assent of the buyer, or
- by the buyer with the assent of the seller,
- the property in the goods thereupon passes to the buyer.
- Such assent may be express or implied and may be given either before or after the appropriation is made.

2. Section 23(2):- Delivery to the carrier

- Where, in pursuance of the contract, the seller delivers the goods to the buyer or to a carrier or other bailee (whether named by the buyer or not)
- for the purpose of transmission to the buyer,
- and does not reserve the right of disposal,
- he is deemed to have unconditionally appropriated the goods to the contract.

Example

4: A railway receipt of railway parcel is made out in the name of the buyer and is sent to him, the ownership in the goods passes from the seller to the buyer. In case the goods are subjected to accidental loss or by theft, the seller will not be liable.

5. M places an order for book with a book seller in Mumbai. He asks him to send the book by courier. Payment of the book was to be made by cheque. The seller sends the book by courier. The book is lost in the way. The seller wants the buyer to bear the loss. According to Section 23(2), it is an unconditional appropriation of goods because of which buyer M has become the owner of the goods. Therefore, he will bear the risk of loss of the book in the way.

THEORY QUESTIONS

Question 1: **(PEQ - May-18-6 Marks, PEQ - Nov.19-4 Marks)**

What is appropriation of goods under the Sale of Goods Act, 1930? State the essentials regarding appropriation of unascertained goods.

Answer:

Appropriation of goods: Appropriation of goods involves selection of goods with the intention of using them in performance of the contract and with the mutual consent of the seller and the buyer.

The essentials regarding appropriation of unascertained goods are:

(a) There is a contract for the sale of unascertained or future goods.
(b) The goods should conform to the description and quality stated in the contract.
(c) The goods must be in a deliverable state.
(d) The goods must be unconditionally (as distinguished from an intention to appropriate) appropriated to the contract either by delivery to the buyer or his agent or the carrier.
(e) The appropriation must be made by:
  (i) the seller with the assent of the buyer; or
  (ii) the buyer with the assent of the seller.
(f) The assent may be express or implied.
(g) The assent may be given either before or after appropriation.

Question 2: **(PEQ – JAN - 26 - 6 Marks)**

The Passing or transfer of property constitutes most important element and factor to decide legal rights and liabilities of seller and buyer. The primary rule determining the passing of property from seller to buyer depends on following. Explain after quoting relevant provisions of the Sale of Goods Act, 1930.

(i) Where the goods are ascertained

(ii) Where the goods are unascertained

CASE BASED QUESTIONS

Question 1: **(PEQ – JAN - 25 - 4 Marks)**

The Institute of Science, Pune (the buyer), placed an order for various chemicals worth Rs. 1,50,000 from a supplier in Delhi (the seller). The buyer made full advance payment, and the seller dispatched the consignment via a courier of his own choice, without reserving any right of disposal over the goods. The consignment was lost in transit, and now the buyer seeks a refund of the purchase price. With reference to the provisions of the Sale of Goods Act, 1930, assess the validity of the buyer's claim for a refund.

Answer :

Delivery of the goods to the carrier [Section 23(2) of the Sale of Goods Act, 1930]: Where, in pursuance of the contract, the seller delivers the goods to the buyer or to a carrier or other bailee (whether named by the buyer or not) for the purpose of transmission to the buyer, and does not reserve the right of disposal, he is deemed to have unconditionally appropriated the goods to the contract.

In the instant case, the Institute of Science, Pune placed an order for various chemicals worth Rs. 1,50,000 from a supplier in Delhi. The seller dispatched the consignment via a courier without reserving any right of disposal over the goods. The consignment was lost in transit. According to Section 23(2), it is an unconditional appropriation of goods because of which the Institute of Science, Pune (buyer) has become the owner of the goods. Therefore, it will bear the risk of loss of the consignment in the way.

Hence, the buyer's claim is not valid.

C. Section 24:- Goods sent on approval or "on sale or return"

When goods are delivered to the buyer on approval or "on sale or return" or other similar terms, the property therein passes to the buyer-

(a) When he signifies his approval or acceptance to the seller or does any other act adopting the transaction;

Example

6: P brought a musical instrument from a musical shop on a condition that he will purchase it, if he likes that instrument. After a week he has informed the shop owner that he has agreed to purchase the musical instrument. The ownership is transferred when he has decided to purchase the instrument as his own.

(b) if he does not signify his approval or acceptance to the seller but retains the goods without giving notice of rejection, then,

if a time has been fixed for the return of the goods, on the expiration of such time, and,

if no time has been fixed, on the expiration of a reasonable time; or

Example

7: A sends to B a water motor on approval or return in March, 2020. B to return it after trial in August, 2020. The water motor has not been returned within a reasonable time, and therefore, A is not bound to accept it and B must pay the price.

(c) he does something to the good which is equivalent to accepting the goods e.g. he pledges or sells the goods.

Example

8: 'A' delivered some jewellery to 'B' on sale or return basis. 'B' pledged the jewellery with 'C'. It was held that the ownership of the jewellery had been transferred to 'B' as he had adopted the transaction by pledging the jewellery with 'C'. In this case, 'A' has no right against 'C'. He can only recover the price of the jewellery from 'B'.

Sale for cash only or Return

It may be noted that where the goods have been delivered by a person on "sale or return" on the terms that the goods were to remain the property of the seller till they are paid for, the property therein does not pass to the buyer until the terms are complied with, i.e., cash is paid for.

Example

9: A' delivered his jewellery to 'B' on sale for cash only or return basis. It was expressly provided in the contract that the jewellery shall remain 'A's property until the price is paid. Before the payment of the price, 'B' pledged the jewellery with 'C'. It was held that at the time of pledge, the ownership was not transferred to 'B'. Thus, the pledge was not valid and 'A' could recover the jewellery from 'C'.

CASE BASED QUESTIONS

Question 1: **(SM) (MTP-June-19-6 Marks)**

Referring to the provisions of the Sale of Goods Act, 1930, state the circumstances under which when goods are delivered to the buyer "on approval" or "on sale or return" or other similar terms, the property therein passes to the buyer.

M/s PREETI owned a motor car which she handed over to Mr. JOSHI on sale or return basis. After a week, Mr. JOSHI pledged the motor car to Mr. GAJESH. Ms. PREETI now claims back the motor car from Mr. GAJESH. Will she succeed" Referring to the provisions of the Sale of Goods Act, 1930, decide and examine what recourse is available to Ms. PREETI.

Answer :

As per the provisions of section 24 of the sale of Goods Act, 1930, when goods are delivered to the buyer on approval on "on sale or return" or other similar terms, the property therein passes to the buyer-

(a) When the buyer signifies his approval or acceptance to the seller or does any other act adopting the transaction;

(b) If he does not signify his approval or acceptance to the seller but retains the goods without giving notice or rejection, then, if a time has been fixed for the return of the goods, on the expiration of such time, and, if no time has been fixed, on the expiration of reasons able time; or

(c) he does something to the good which is equivalent to accepting the goods e.g. he pledges or sells the goods.

Referring to the above provisions, we can analyse the situation given in the question. Since Mr. JOSHI, who had taken delivery of the Motor Car on sale or Return basis and pledged the Motor car to Mr. GAJESH, he has attracted the third condition that he has done something to the good which is equivalent to accepting the goods e.g. he pledges or sells the goods. Therefore, the property therein (Motor Car) passes to the Mr. JOSHI. Now in this situation, Ms. PREETI cannot claim back her Motor Car from Mr. GAJESH, but she can claim the price of the Motor Card from Mr. JOSHI only.

Question 2: **(SM)**

The buyer took delivery of 20 tables from the seller on sale or return basis without examining them. Subsequently, he sold 5 tables to his customers. The customer lodged a complaint of some defect in the tables. The buyer sought to return tables to the seller. Was the buyer entitled to return the tables to the seller under the provisions of the Sale of Goods Act, 1930?

Answer :

According to Section 24 of the Sales of Goods Act, 1930, in case of delivery of goods on approval basis, the property in goods passes from seller to the buyer:-

(i) When the person to whom the goods are given either accepts them or does an act which implies adopting the transaction.

(ii) When the person to whom the goods are given retains the goods without giving his approval or giving notice of rejection beyond the time fixed for the return of goods and in case no time is fixed after the lapse of reasonable time.

In the given case, seller has delivered 20 tables to the buyer on sale or return basis. Buyer received the tables without examining them. Out of these 20 tables, he sold 5 tables to his customer. It implies that he has accepted 5 tables out of 20.

When the buyer received the complaint of some defect in the tables, he wanted to return all the tables to the seller. According to the provisions of law he is entitled to return only 15 tables to the seller and not those 5 tables which he has already sold to his customer. These tables are already accepted by him so the buyer becomes liable under the doctrine of "Caveat Emptor".

Question 3: **(SM)**

A delivered a horse to B on sale and return basis. The agreement provided that B should try the horse for 8 days and return, if he did not like the horse. On the third day the horse died without the fault of B. A files a suit against B for the recovery of price. Can he recover the price?

Answer :

A delivered the horse to B on sale or return basis. It was decided between them that B will try the horse for 8 days and in case he does not like it, he will return the horse to the owner A. But on the third day the horse died without any fault of B. The time given by the seller A to the buyer B has not expired yet.

Therefore, the ownership of the horse still belongs to the seller A. B will be considered as the owner of the horse only when B does not return the horse to A within stipulated time of 8 days.

The suit filed by A for the recovery of price from B is invalid and he cannot recover the price from B. [Section 24]

Question 4: **(RTP-May21, Nov.20-6 Marks)**

Ms. R owns a two Wheeler which she handed over to her friend Ms. K on sale or return basis. Even after a week, Ms. K neither returned the vehicle nor made payment for it. She instead pledged the vehicle to Mr. A to obtain a loan. Ms. R now wants to claim the two Wheeler from Mr. A. Will she succeed?

(i) Examine with reference to the provisions of the Sale of Goods Act, 1930, what recourse is available to Ms. R?

(ii) Would your answer be different if it had been expressly provided that the vehicle would remain the property of Ms. R until the price has been paid?

Answer :

As per the provisions of Section 24 of the Sale of Goods Act, 1930, when goods are delivered to the buyer on approval or "on sale or return" or other similar terms, the property therein passes to the buyer-

(a) when the buyer signifies his approval or acceptance to the seller or does any other act adopting the transaction;

(b) if he does not signify his approval or acceptance to the seller but retains the goods without giving notice of rejection, then, if a time has been fixed for the return of the goods, on the expiration of such time, and, if no time has been fixed, on the expiration of a reasonable time; or

(c) he does something to the good which is equivalent to accepting the goods e.g. he pledges or sells the goods.

Referring to the above provisions, we can analyse the situation given in the question:

(i) In the instant case, Ms. K, who had taken delivery of the two wheeler on Sale or Return basis pledged the two wheeler to Mr. A, has attracted the third condition that she has done something to the good which is equivalent to accepting the goods e.g. she pledges or sells the goods. Therefore, the property therein (two wheeler) passes to Mr. A. Now in this situation, Ms. R cannot claim back her two wheeler from Mr. A, but she can claim the price of the two wheeler from Ms. K only.

(ii) It may be noted that where the goods have been delivered by a person on "sale or return" on the terms that the goods were to remain the property of the seller till they are paid for, the property therein does not pass to the buyer until the terms are complied with, i.e., price is paid for.

Hence, in this case, it is held that at the time of pledge, the ownership was not transferred to Ms. K. Thus, the pledge was not valid and Ms. R could recover the two wheeler from Mr. A.

D. Section 25:- Reservation of right of disposal

Section 25(1)

- Where there is a contract for the sale of specific goods or where goods are subsequently appropriated to the contract,
- the seller may, by the terms of the contract or appropriation,
- reserve the right of disposal of the goods until certain conditions are fulfilled.
- In such a case, notwithstanding the delivery of the goods to a buyer, or to a carrier or other bailee for the purpose of transmission to the buyer,
- The property in the goods does not pass to the buyer.
- until the conditions imposed by the seller are fulfilled.

Section 25(2)

- Where goods are shipped or delivered to a railway administration for carriage by railway and by the bill of lading or railway receipts, as the case may be,
- the goods are deliverable to the order of the seller or his agent,
- the seller is prima facie deemed to reserve the right of disposal.

Section 25(3)

- Where the seller of goods draws on the buyer for the price and
- transmits to the buyer the bill of exchange together with the bill of lading or, as the case may be, the railway receipt,
- to secure acceptance or payment of the bill of exchange,
- the buyer is bound to return the bill of lading or the railway receipt if he does not honour the bill of exchange; and,
- if he wrongfully retains the bill of lading or the railway receipt, the property in the goods does not pass to him.

Example

10: X sends furniture to a company by a truck and instructs the driver not to deliver the furniture to the company until the payment is made by company to him. The property passes only when the payment is made.

Note:-

It should be noted that Section 25 deals with "conditional appropriation" as distinguished from 'unconditional appropriation' dealt with under Section 23 (2).

3.2 RISK PRIMA FACIE PASSES WITH PROPERTY – Section 26

- unless otherwise agreed,
- the goods remain at the seller's risk until the property therein is transferred to the buyer,
- but when the property therein is transferred to the buyer, the goods are at the buyer's risk
- whether delivery has been made or not.
- It is provided that, where delivery has been delayed because of the fault of either buyer or seller,

- the goods are at the risk of the party in fault as regards any loss which might not have occurred but for such fault.
- Provided also that nothing in this section shall affect the duties or liabilities of either seller or buyer as bailee of the goods of the other party.

Example

11: A bids for an antique painting at a sale by auction. After the bid, when the auctioneer struck his hammer to signify acceptance of the bid, he hit the antique which gets damaged. The loss will have to be borne by the seller, because the ownership of goods has not yet passed from the seller to the buyer.

12: A contracted to sell 100 bales of cotton to B to be delivered in February. B took the delivery of the part of the cotton but made a default in accepting the remaining bales. Consequently, the cotton becomes unfit for use. The loss will have to be borne by the buyer. It should, however, be remembered that the general rule shall not affect the duties or liabilities of either seller or buyer as a bailee of goods for the other, even when the risk has passed.

As noted above, the risk (i.e., the liability to bear the loss in case property is destroyed, damaged or deteriorated) passes with ownership. The parties may, however, agree to the contrary. For instance, the parties may agree that risk will pass sometime after or before the property has passed from the seller to the buyer.

THEORY QUESTIONS

Question 1: **(PEQ - July-21- 4 Marks)**

"Risk Prima Facie passes with property." Elaborate in the context of the Sales of Goods Act, 1930.

Question 2: **(PEQ – MAY – 25 – 3 Marks)**

With reference to provisons of the Sale of Goods Act, 1930, answer the following:

(i) What do you mean by Reservation of right of disposal? State the circumstances under which right of disposal may be reserved.

CASE BASED QUESTIONS

Question 1: **(MTP-Nov. 19, June 19, May 21 -6 Marks) (RTP-May-20)**

Mr. Samuel agreed to purchase 100 bales of cotton from Mr. Varun, out of his large stock and sent his men to take delivery of the goods. They could pack only 60 bales. Later on, there was an accidental fire and the entire stock was destroyed including 60 bales that were already packed. Referring to the provisions of the Sale of Goods Act, 1930 explain as to who will bear the loss and to what extent?

Answer :

Section 26 of the Sale of Goods Act, 1930 provides that unless otherwise agreed, the goods remain at the seller's risk until the property therein is transferred to the buyer, but when the property therein is transferred to the buyer, the goods are at buyer's risk whether delivery has been made or not.

Further Section 18 read with Section 23 of the Act provides that in a contract for the sale of unascertained goods, no property in the goods is transferred to the buyer, unless and until the goods are ascertained and where there is contract for the sale of unascertained or future goods by description, and goods of that description and in a deliverable state are unconditionally appropriated to the contract, either by the seller with the assent of the buyer or by the buyer with the assent of the seller, the property in the goods thereupon passes to the buyer. Such assent may be express or implied. Applying the aforesaid law to the facts of the case in hand, it is clear that Mr. Samuel has the right to select the good out of the bulk and he has sent his men for same purpose.

Hence the problem can be answered based on the following two assumptions and the answer will vary accordingly.

(a) Where the bales have been selected with the consent of the buyer's representatives:

In this case, the property in the 60 bales has been transferred to the buyer and goods have been appropriated to the contract.

Thus, loss arising due to fire in case of 60 bales would be borne by Mr. Samuel. As regards 40 bales, the loss would be borne by Mr. Varun, since the goods have not been identified and appropriated.

(b) Where the bales have not been selected with the consent of buyer's representatives.

In this case the property in the goods has not been transferred at all and hence the loss of 100 bales would be borne by Mr. Varun completely.

Question 2:

Mr. S agreed to purchase 100 bales of cotton from V, out of his large stock and sent his men to take delivery of the goods. They could pack only 60 bales. Later on, there was an accidental fire and the entire stock was destroyed including 60 bales that were already packed. Referring to the provisions of the Sale of Goods Act, 1930 explain as to who will bear the loss and to what extent?

Question 3: **(PEQ - MAY – 25 - 7 Marks)**

S purchased a dress from a reputed showroom and made the payment in cash. The dress she purchased require some alteration. The shopkeeper assured S that it would take just one day to get the dress altered. It was agreed that once the dress was altered the shopkeeper would inform S through phone and she would collect the dress. Next day, by evening the dress was altered and kept ready to be delivered to S. The shopkeeper however forgot to inform S that the dress was ready.

In the meantime, a short circuit occurred near the delivery counter of the shop and some packets ready for delivery caught fire. After waiting for 10 days, when, S went to collect her dress she was informed that she came late and her dress was burnt in fire. S, then asked for refund of money what she paid. The shopkeeper refused, by saying that the dress was kept ready the very next day of purchase and the loss due to fire occurred after a week. He refused to bear the liability by saying that if S had collected the dress on time, it would not have been burnt. S insisted that she was waiting for a call from the shop and thus, entitled to claim the refund of cost of dress.

Examine, with reference to the provisions of the Sale of Goods Act, 1930, whether shopkeeper will be liable to refund the cost of dress to S?

Answer :

Specific goods to be put into a deliverable state (Section 21 of the Sale of Goods Act, 1930):

Where there is a contract for the sale of specific goods and the seller is bound to do something to the goods for the purpose of putting them into a deliverable state, the property does not pass until such thing is done and the buyer has notice thereof.

According to section 26, "unless otherwise agreed, the goods remain at the seller's risk until the property therein is transferred to the buyer, but when the property therein is transferred to the buyer, the goods are at the buyer's risk whether delivery has been made or not".

However, Section 26 also lays down an exception to the rule that 'risk follows ownership.' It provides that where delivery of the goods has been delayed through the fault of either buyer or seller, the goods are at the risk of the party in fault as regards any loss which might not have occurred but for such fault.

In the instant case, S had paid in full and purchased a specific dress but the dress required alteration, and it was agreed that the shopkeeper would inform S after alteration for collection. The ownership had already passed to S when she paid for the dress, subject to alteration. The delivery was conditional upon the shopkeeper informing S after alteration.

Even though the ownership may have passed to S, the seller (shopkeeper) failed to complete the delivery by not informing S. Under Section 26, when delivery is delayed due to the fault of the seller, the loss falls upon the party at fault.

Therefore, the shopkeeper is liable to refund the cost of the dress to S.

3.3 TRANSFER OF TITLE BY NON OWNERS – Section 27-30

Section 27:- Sale by person not the owner

- Subject to the provisions of this Act and of any other law for the time being in force,
- where goods are sold by a person who is not the owner thereof and
- who does not sell them under the authority or with the consent of the owner,
- the buyer acquires no better title to the goods than the seller had,
- unless the owner of the goods is by his conduct precluded from denying the seller's authority to sell.
- Provided that, where a mercantile agent is, with the consent of the owner, in possession of the goods or of a document of title to the goods, any sale made by him, when acting in the ordinary course of business of a mercantile agent, shall be as valid as if he were expressly authorised by the owner of the goods to make the same, provided that the buyer acts in good faith and has not at the time of the contract of sale notice that the seller has no authority to sell.

Analysis

- In general, the seller can sells only such goods of which he is the absolute owner.
- But sometimes a person may sell goods of which he is not the owner, then the question arises as to what is the position of the buyer who has bought the goods by paying price.
- The general rule regarding the transfer of title is that the seller cannot transfer to the buyer of goods a better title than he himself has.
- If the seller is not the owner of goods, then the buyer also will not become the owner i.e. the title of the buyer shall be the same as that of the seller.
- This rule is expressed in the Latin maxim "Nemo dat quod non habet" which means that "no one can give what he has not got".

Example

13: If A sells some stolen goods to B, who buys them in good faith, B will get no title to that and the true owner has a right to get back his goods from B.

14: P, the hirer of vehicle under a hire purchase agreement, sells them to Q. Q, though a bona fide purchaser, does not acquire the ownership in the vehicle. At the most he acquires the same right as that of the hirer.

If this rule is enforced rigidly then the innocent buyers may be put to loss in many cases. Therefore, to protect the interests of innocent buyers, a number of exceptions have been provided to this rule.

Exceptions: In the following cases, a non-owner can convey better title to the bona fide purchaser of goods for value.

(1) Proviso to Section 27:- Sale by a Mercantile Agent

A sale made by a mercantile agent of the goods for document of title to goods would pass a good title to the buyer in the following circumstances; namely;

(a) If he was in possession of the goods or documents with the consent of the owner;

(b) If the sale was made by him when acting in the ordinary course of business as a mercantile agent; and

(c) If the buyer had acted in good faith and has at the time of the contract of sale, no notice of the fact that the seller had no authority to sell.

CASE BASED QUESTIONS

Question 1: **(SM) (RTP- May 18, Nov.19, Nov - 20)**

J the owner of a Fiat car wants to sell his car. For this purpose, he hand over the car to P, a mercantile agent for sale at a price not less than Rs. 50,000. The agent sells the car for Rs. 40,000 to A, who buys the car in good faith and without notice of any fraud. P misappropriated the money also. J sues A to recover the Car. Decide giving reasons whether J would succeed.

Answer :

The problem in this case is based on the provisions of the Sale of Goods Act, 1930 contained in the proviso to Section 27. The proviso provides that a mercantile agent is one who in the customary course of his business, has, as such agent, authority either to sell goods, or to consign goods, for the purpose of sale, or to buy goods, or to raise money on the security of goods [Section 2(9)]. The buyer of goods from a mercantile agent, who has no authority from the principal to sell, gets a good title to the goods if the following conditions are satisfied:

(1) The agent should be in possession of the goods or documents of title to the goods with the consent of the owner.

(2) The agent should sell the goods while acting in the ordinary course of business of a mercantile agent.

(3) The buyer should act in good faith.

(4) The buyer should not have at the time of the contract of sale notice that the agent has no authority to sell.

In the instant case, P, the agent, was in the possession of the car with J's consent for the purpose of sale. A, the buyer, therefore obtained a good title to the car. Hence, J in this case, cannot recover the car from A.

(2) Section 28:- Sale by one of the joint owners

If one of several joint owners of goods has the sole possession of them by permission of the co-owners, the property in the goods is transferred to any person who buys them from such joint owner in good faith and has not at the time of the contract of sale notice that the seller has no authority to sell.

Example

15: A, B, and C are three brothers and joint owners of a T.V and VCR and with the consent of B and C, the TV and VCR was kept in possession of A. A sells the T.V and VCR to P who buys it in good faith and without notice that A had no authority to sell. P gets a good title to VCR and TV.

CASE BASED QUESTIONS

Question 1: **(SM)**

A, B and C were joint owner of a truck and the possession of the said truck was with B. X purchased the truck from B without knowing that A and C were also owners of the truck. Decide in the light of provisions of Sales of Goods Act 1930, whether the sale between B and X is valid or not?

Answer :

According to Section 28 of the Sales of Goods Act, sale by one of the several joint owners is valid if the following conditions are satisfied:-

(i) One of the several joint owners has the sole possession of them.

(ii) Possession of the goods is by the permission of the co-owners.

(iii) The buyer buys them in good faith and has not at the time of contract of sale knowledge that the seller has no authority to sell.

In the above case, A, B and C were the joint owners of the truck and the possession of the truck was with B. Now B sold the said truck to X. X without knowing this fact purchased the truck from B.

The sale between B and X is perfectly valid because Section 28 of the Sales of Goods Act provides that in case one of the several joint owners has the possession of the goods by the permission of the co-owners and if the buyer buys them in good faith without the knowledge of the fact that seller has no authority to sell, it will give rise to a valid contract of sale.

(3) Section 29:- Sale by a person in possession under voidable contract

A buyer would acquire a good title to the goods sold to him by a seller who had obtained possession of the goods under a contract voidable on the ground of coercion, fraud, misrepresentation or undue influence provided that the contract had not been rescinded until the time of the sale.

Example

16: X fraudulently obtains a diamond ring from Y. This contract is voidable at the option of Y. But before the contract could be terminated, X sells the ring to Z, an innocent purchaser. Z gets the good title and Y cannot recover the ring from Z even if the contract is subsequently set aside.

(4) Section 30(1):- Sale by one who has already sold the goods but continues in possession thereof

If a person has sold goods but continues to be in possession of them or of the documents of title to them, he may sell them to a third person, and if such person obtains the delivery thereof in good faith and without notice of the previous sale, he would have good title to them, although the property in the goods had passed to the first buyer earlier. A pledge or other disposition of the goods or documents of title by the seller in possession are equally valid.

Example

17: During IPL matches, P buys a TV set from R. R agrees to deliver the same to P after some days. In meanwhile R sells the same to S, at a higher price, who buys in good faith and without knowledge about the previous sale. S gets a good title.

CASE BASED QUESTIONS

Question 1: **(PEQ – SEP - 25 - 4 Marks)**

Mr. S was going through severe financial hardships. His wife suggested to take a gold loan. On 15th January 2025, he pledged his wife's jewellery worth Rs. 30 lakhs with one of his friend Mr. R and took a loan of Rs. 25 lakhs. On 17th January 2025, he sold total jewellery for Rs. 28 lakhs to M/s RL Jewellers Pitampura. The jeweller purchased it in good faith without knowing the fact that the jewellery was already pledged. After all this, Mr. S declared himself insolvent. When Mr. R came to know about this, he filed a suit against M/s RL Jewellers. But M/s RL Jewellers contended that they were unaware about pledge. With reference to provisions of the Sale of Goods Act, 1930 what is the remedial action available to Mr. R?

Answer :

According to Section 30(1) of the Sale of Goods Act, 1930, if a person has sold goods but continues to be in possession of them or of the documents of title to them, he may sell them to a third person, and if such person obtains the delivery thereof in good faith and without notice of the previous sale, he would have good title to them, although the property in the goods had passed to the first buyer earlier.

A pledge or other disposition of the goods or documents of title by the seller in possession are equally valid.

Therefore, in the instant case, RL Jewellers have got good title over the jewellery sold by Mr. S and Mr. R cannot take any action against RL Jewellers. However, Since Mr. S has violated the condition of pledge, he can claim only from the property of Mr. S as he has become insolvent.

(5) Section 30(2):- Sale by buyer obtaining possession before the property in the goods has vested in him

Where a buyer with the consent of the seller obtains possession of the goods before the property in them has passed to him, he may sell, pledge or otherwise dispose of the goods to a third person, and if such person obtains delivery of the goods in good faith and without notice of the lien or other right of the original seller in respect of the goods, he would get a good title to them.

However, a person in possession of goods under a 'hire-purchase' agreement which gives him only an option to buy is not covered within the section unless it amounts to a sale.

Example

18: A took a car from B on this condition that A would pay a monthly instalment of Rs. 5,000 as hire charges with an option to purchase it by payment of Rs. 1,00,000 in 24 instalments. After the payment of few instalments, A sold the car to C. B can recover the car from C since A had neither bought the car, nor had agreed to buy the car. He had only an option to buy the car.

(6) Effect of Estoppel

Where the owner is estopped by the conduct from denying the seller's authority to sell, the transferee will get a good title as against the true owner. But before a good title by estoppel can be made, it must be shown that the true owner had actively suffered or held out the other person in question as the true owner or as a person authorized to sell the goods.

Example

19: 'A' said to 'B', a buyer, in the presence of 'C' that he (A) is the owner of the horse. But 'C' remained silent though the horse belonged to him. 'B' bought the horse from 'A'. Here the buyer (B) will get a valid title to the horse even though the seller (A) had no title to the horse. In this case, 'C', by his own conduct, is prevented from denying 'A's authority to sell the horse. Here, 'C"s silence has induced 'B' to believe that 'A' is the owner of the horse.

(7) Section 54 (3):- Sale by an unpaid seller

Where an unpaid seller who had exercised his right of lien or stoppage in transit resells the goods, the buyer acquires a good title to the goods as against the original buyer.

(8) Sale under the provisions of other Acts

(i) Sale by an Official Receiver or Liquidator of the Company will give the purchaser a valid title.

(ii) Purchase of goods from a finder of goods will get a valid title under circumstances [Section 169 of the Indian Contract Act, 1872]

(iii) A sale by pawnee can convey a good title to the buyer [Section 176 of the Indian Contract Act, 1872]

THEORY QUESTIONS

Question 1: **(MTP-Nov.18-6 Marks)**

"Only owner of goods can transfer Title of goods : Discuss

Question 2: **(SM) (MTP-Nov.18, 19, 2018-6 Marks) (RTP-May 20)**

"Nemo Dat Quod Non Habet"–"None can give or transfer goods what he does not himself own." Explain the rule and state the cases in which the rule does not apply under the provisions of the Sale of Goods Act, 1930.

Question 3: **(PEQ - May-19- 6Marks)**

"A non-owner can convey better title to the bonafide purchaser of goods for value." Discuss the cases when a person other than the owner can transfer title in goods as per the provisions of the Sales of Goods Act, 1930?

Question 4: **(PEQ - Nov.20- 6Marks)**

Explain any six circumstances in detail in which non-owner can convey better title to Bona fide purchaser of goods for value as per the Sale of Goods Act, 1930.

3.4 PERFORMANCE OF THE CONTRACT OF SALE - Section 31-44

The performance of a contract of sale implies delivery of goods by the seller and acceptance of the delivery of goods and payment of price for them by the buyer in accordance of the terms of the contract.

Delivery of goods is of three types: [Already Discussed Earlier in Unit 1]

(a) Actual Delivery
(b) Symbolic delivery
(c) Constructive Delivery

Section 31:- Duties of seller and buyer

It is the duty of the seller to deliver the goods and of the buyer to accept and pay for them, in accordance with the terms of the contract of sale.

Section 32:- Payment and delivery are concurrent conditions

Unless otherwise agreed, delivery of the goods and payment of the price are concurrent conditions, that is to say, the seller shall be ready and willing to give possession of the goods to the buyer in exchange for the price, and the buyer shall be ready and willing to pay the price in exchange for possession of the goods.

Section 33-41:- Rules Regarding Delivery of goods

(i) Section 33:- Delivery

- Delivery of goods sold may be made by
- doing anything which the parties agree shall be treated as delivery or
- which has the effect of putting the goods in the possession of the buyer or of any person authorised to hold them on his behalf.

(ii) Section 34:- Effect of part delivery

- A delivery of part of goods, in progress of the delivery of the whole
- has the same effect, for the purpose of passing the property in such goods, as a delivery of the whole;
- but a delivery of part of the goods, with an intention of severing it from the whole, does not operate as a delivery of the remainder.

Example

20: Certain goods lying at wharf were sold in a lot. The seller instructed the wharfinger to deliver them to the buyer who had paid for them and the buyer, thereafter, accepted them and took away part. Held, there was delivery of the whole.

THEORY QUESTIONS

Question 1: **(MTP-Nov 18-2 Marks)**

What is the effect of part delivery under Sales of Goods Act, 1930.

Answer:

Effect of part delivery:

A delivery of part of goods, in progress of the delivery of the whole has the same effect, for the purpose of passing the property in such goods, as a delivery of the whole; but a delivery of part of the goods, with an intention of severing it from the whole, does not operate as a delivery of the remainder. (Section 34)

(iii) Section 35:- Buyer to apply for delivery

- Apart from any express contract, the seller of goods is not bound to deliver them until the buyer applies for delivery.

(iv) Section 36(1):- Place of delivery

- Whether it is for the buyer to take possession of the goods or for the seller to send them to the buyer is a question depending in each case on the contract, express or implied, between the parties.
- Apart from any such contract, goods sold are to be delivered at the place at which they are at the time of the sale, and
- goods agreed to be sold are to be delivered at the place at which they are at the time of the agreement to sell or
- if not then in existence, at the place at which they are manufactured or produced.

Section 36(2):- Time of delivery

- Where under the contract of sale, the seller is bound to send the goods to the buyer,
- but no time for sending them is fixed,
- the seller is bound to send them within a reasonable time.

Section 36(3):- Goods in possession of a third party

- Where the goods at the time of sale are in possession of a third person,
- there is no delivery unless and until such third person acknowledges to the buyer that he holds the goods on his behalf.
- Provided that nothing in this section shall affect the operation of the issue or transfer of any document of title to goods.

Section 36(4):- Time for tender of delivery

- Demand or tender of delivery may be treated as ineffectual
- unless made at a reasonable hour.
- What is reasonable hour is a question of fact.

Section 36(5):- Expenses for delivery

- The expenses of and incidental to putting the goods into a deliverable state must be borne by the seller in the absence of a contract to the contrary.

(v) Section 37:- Delivery of wrong quantity

Section 37 (1)

- Where the seller delivers to the buyer a quantity of goods less than he contracted to sell,
- the buyer may reject them,
- but if the buyer accepts the goods so delivered
- he shall pay for them at the contract rate.

Section 37 (2)

- Where the seller delivers to the buyer a quantity of goods larger than he contracted to sell,
- the buyer may accept the goods included in the contract and reject the rest,
- or he may reject the whole.

- If the buyer accepts the whole of the goods so delivered,
- he shall pay for them at the contract rate.

Example

21: A agrees to sell 1,000 quintals of wheat to B at Rs. 100 per quintal. A delivers 1,100 quintals. B may reject the whole lot or accept only 1,000 quintals and reject the rest or accept the whole lot and pay for them at the contract of sale.

Section 37 (3)

- Where the seller delivers to the buyer the goods he contracted to sell mixed with goods of a different description not included in the contract,
- the buyer may accept the goods which are in accordance with the contract and reject the rest, or
- may reject the whole.

Section 37 (4)

- The provisions of this section are subject to any usage of trade, special agreement or course of dealing between the parties.

(vi) Section 38:- Installment deliveries

- Unless otherwise agreed, the buyer is not bound to accept delivery in instalments.
- The rights and liabilities in cases of delivery by instalments and payments thereon may be determined by the parties of contract.

(vii) Section 39(1):- Delivery to carrier

- Subject to the terms of contract,
- the delivery of the goods to the carrier for transmission to the buyer,
- is prima facie deemed to be delivery to the buyer.

(viii) Section 40:- Deterioration during transit

- Where goods are delivered at a distant place,
- the liability for deterioration necessarily incidental to the course of transit will fall on the buyer,
- though the seller agrees to deliver at his own risk.

Example

22: P sold to Q a certain quantity of iron rods which were to be sent by proper vessel. It was rusted before it reached the buyer. The rust of the rod was so minimal and was not effecting the merchantable quality and the deterioration was not necessarily incidental to its transmission. It was held that Q was bound to accept the goods.

(ix) Section 41:- Buyer's right to examine the goods

- Where goods are delivered to the buyer, who has not previously examined them,
- he is entitled to a reasonable opportunity of examining them in order to ascertain whether they are in conformity with the contract.
- Unless otherwise agreed, the seller is bound, on request, to afford the buyer a reasonable opportunity of examining the goods.

Section 42:- Rule related to Acceptance of Delivery of Goods

- The buyer is deemed to have accepted the goods when he intimates to the seller that he has accepted them,
- or when the goods have been delivered to him and he does any act in relation to them which is inconsistent with the ownership of the seller,
- or when, after the lapse of a reasonable time, he retains the goods without intimating to the seller that he has rejected them.

Section 43:- Buyer not bound to return rejected goods

- Unless otherwise agreed,
- where goods are delivered to the buyer and he refuses to accept them, having the right so to do,
- he is not bound to return them to the seller,
- but it is sufficient if he intimates to the seller that he refuses to accept them.

Section 44:- Liability of buyer for neglecting or refusing delivery of goods

- When the seller is ready and willing to deliver the goods and requests the buyer to take delivery,
- and the buyer does not within a reasonable time after such request take delivery of the goods,
- he is liable to the seller for any loss occasioned by his neglect or refusal to take delivery and
- also for a reasonable charge for the care and custody of the goods.
- Provided further that nothing in this section shall affect the rights of the seller where the neglect or refusal of the buyer to take delivery amounts to a repudiation of the contract.

CASE BASED QUESTIONS

Question 1: **(RTP - Nov - 18 - 6 Marks)**

Mr. G sold some goods to Mr. H for certain price by issue of an invoice, but payment in respect of the same was not received on that day. The goods were packed and lying in the godown of Mr. G. The goods were inspected by H's agent and were found to be in order. Later on, the dues of the goods were settled in cash. Just after receiving cash, Mr. G asked Mr. H that goods should be taken away from his godown to enable him to store other goods purchased by him. After one day, since Mr. H did not take delivery of the goods, Mr. G kept the goods out of the godown in an open space. Due to rain, some goods were damaged.

Referring to the provisions of the Sale of Goods Act, 1930, analyse the above situation and decide who will be held responsible for the above damage. Will your answer be different, if the dues were not settled in cash and are still pending?

Answer :

1. According to section 44 of the Sales of Goods Act, 1932, when the seller is ready and willing to deliver the goods and requests the buyer to take delivery, and the buyer does not within a reasonable time after such request take delivery of the goods, he is liable to the seller for any loss occasioned by his neglect or refusal to take delivery and also for a reasonable charge for the care and custody of the goods.

   The property in the goods or beneficial right in the goods passes to the buyer at appoint of time depending upon ascertainment, appropriation and delivery of goods. Risk of loss of goods prima facie follows the passing of property in goods. Goods remain at the seller's risk unless the property there in is transferred to the buyer, but after transfer of property therein to the buyer the goods are at the buyer's risk whether delivery has been made or not.

   In the given case, since Mr. G has already intimated Mr. H, that he wanted to store some other goods and thus Mr. H should take the delivery of goods kept in the godown of Mr. G, the loss of goods damaged should be borne by Mr. H.

2. If the price of the goods would not have settled in cash and some amount would have been pending then Mr. G will be treated as an unpaid seller and he can enforce the following rights against the goods as well as against the buyer personally:

(a) Where under a contract of sale the property in the goods has passed to the buyer and the buyer wrongfully neglects or refuses to pay for the goods according to the terms of the contract, the seller may sue him for the price of the goods. [Section 55(1) of the Sales of Goods Act, 1930]

(b) Where under a contract of sale the price is payable on a day certain irrespective of delivery and the buyer wrongfully neglects or refuses to pay such price, the seller may sue him for the price although the property in the goods has not passed and the goods have not been appropriated to the contract. [Section 55(2) of the Sales of Goods Act, 1930].

MULTIPLE CHOICE QUESTIONS

1. The property in the goods means-
   (a) Possession of the goods (b) Ownership of the goods
   (c) Custody of the goods (d) Both (a) and (c)

2. In case of sale on approval, the ownership is transferred to the buyer when he-
   (a) Accepts the goods (b) Adopts the transaction
   (c) Fails to return the goods (d) In all the above cases

3. If a seller hands over the keys of a ware house containing goods to the buyer, it results in-
   (a) Constructive delivery (b) Actual delivery
   (c) Symbolic delivery (d) None of these

4. A sells to B 100 bags of wheat lying in C's ware house. A orders to C to deliver the wheat to B. C agrees to hold the 100 bags on behalf of B and makes the necessary entry in his books. This is a -
   (a) Actual delivery (b) Constructive delivery
   (c) Symbolic delivery (d) None of the above

5. Selection of goods with the intention of using them in performance of the contract and with the mutual consent of the seller and the buyer is known as-
   (a) distribution (b) appropriation (c) amortization (d) storage

6. In contract of sale of goods, if the seller is not the owner of goods, then the title of the buyer shall-
   (a) Not be same as that of the seller (b) Be same as that of the seller
   (c) Be better than that of the seller (d) None of the above

7. Nemo dat quad non habet means-
   (a) One cannot give what one does not have
   (b) Let the buyer be beware
   (c) Whatever is paid, is paid according to the intention or manner of the party paying
   (d) None of these

8. The goods are at the risk of the party who has the-
   (a) Ownership of the goods (b) Possession of the goods
   (c) Custody of the goods (d) Both (b) and (c)

9. If the seller delivers to the buyer a quantity less than he contracted to sell, the buyer may
   (a) Reject the goods, (b) Accept the goods
   (c) Either 'a' or 'b' (d) Neither 'a' or 'b'

10. Appropriation of goods means
    (a) Separating the goods sold from other goods
    (b) Putting the quantity of goods sold in suitable receptacles
    (c) Delivering the goods to the carrier or other bailee for the purpose of transmission to the buyer without reserving the right of disposal
    (d) All of the above

11. Which of the following is true as regards delivery of goods in instalments as provided under Sale of Goods Act:
    (a) The buyer is bound to accept the instalment deliveries only in case of perishable goods.
    (b) The buyer is bound to accept the instalment deliveries only in case of sale of goods by description
    (c) The buyer is bound to accept the instalment deliveries only if agreed between the parties
    (d) Delivery of goods can't be made in instalments

Answers to MCQs

1.	(b)	2.	(d)	3.	(c)	4.	(b)	5.	(b)
6.	(b)	7.	(a)	8.	(a)	9.	(c)	10.	(d)
11.	(c)								

THE SALE OF GOODS ACT, 1930

Unit 4 : UNPAID SELLER

Section Overview:

Section :45	Unpaid seller definition & rights
Section :46	Unpaid seller's rights against goods
Section :47	Lien of unpaid seller
Section :48	Part delivery & lien
Section :49	Termination of lien
Section :50	Right of stoppage in transit
Section :51	Duration of transit
Section :52	How stoppage in transit exercised
Section :53	Right of resale
Section :54	Suit for price
Section :55	Damages for non-acceptance
Section :56	Damages for non-delivery
Section :57	Specific performance
Section :58	Remedy for breach of warranty
Section :59	Interest & special damages

4.1 UNPAID SELLER

- A contract comprises of reciprocal promises.
- In a contract of sale, if seller is under an obligation to deliver goods, buyer has to pay for it.
- In case buyer fails or refuses to pay, the seller, as an unpaid seller, shall have certain rights.
- **Section 45(1) -** the seller of goods is deemed to be an 'Unpaid Seller' when-
  - (a) The whole of the price has not been paid or tendered and the seller had an immediate right of action for the price.
  - (b) When a bill of exchange or other negotiable instrument has been received as conditional payment, and the condition on which it was received has not been fulfilled by reason of the dishonour of the instrument or otherwise.

Example

1: X sold certain goods to Y for Rs. 50,000. Y paid Rs. 40,000 but fails to pay the balance. X is an unpaid seller.

2: P sold some goods to R for Rs. 60,000 and received a cheque for a full price. On presentment, the cheque was dishonored by the bank. P is an unpaid seller.

- **Section 45(2) -** The term 'seller' here includes any person who is in the position of a seller, as, for instance, an agent of the seller to whom the bill of lading has been endorsed, or a consignor or agent who has himself paid, or is directly responsible for, the price.

4.2 RIGHTS OF AN UNPAID SELLER – Section 46

Section 46(1)

- Subject to the provisions of this Act and of any law for the time being in force,
- notwithstanding that the property in the goods may have passed to the buyer,
- the unpaid seller of goods, as such, has by implication of law-
  - (a) a lien on the goods for the price while he is in possession of them;
  - (b) in case of the insolvency of the buyer a right of stopping the goods in transit after he has parted with the possession of them;
  - (c) a right of re-sale as limited by this Act.

Section 46(2)

- Where the property in goods has not passed to the buyer,
- the unpaid seller has, in addition to his other remedies,
- a right of withholding delivery
- similar to and co-extensive with his rights of lien and stoppage in transit where the property has passed to the buyer.

4.3 RIGHT OF UNPAID SELLER AGAINST THE GOODS – Section 47 to 54

The unpaid seller has the following rights against the goods:

(1) RIGHT OF LIEN – Section 47 to 49

Section 47(1):- Seller's lien

- subject to the provisions of this Act,
- the unpaid seller of goods who is in possession of them
- is entitled to retain possession of them
- until payment or tender of the price in the following cases, namely:-
  - (a) where the goods have been sold without any stipulation as to credit;
  - (b) where the goods have been sold on credit, but the term of credit has expired;
  - (c) where the buyer becomes insolvent.

Example

3: A sold certain goods to B for a price 50,000 and allowed him to pay the price within one month. B becomes insolvent during this period of credit. A, the unpaid seller, can exercise his right of lien.

Section 47(2) :-

The seller may exercise his right of lien notwithstanding that he in possession of the goods as agent or bailee for the buyer.

Section 48 :- Part delivery

- Where an unpaid seller has made part delivery of the goods,
- he may exercise his right of lien on the remainder,
- unless such part delivery has been made under such circumstances as to show an agreement to waive the lien.

Section 49(1):- Termination of lien

- The unpaid seller of goods loses his lien thereon-

(a) when he delivers the goods to a carrier or other bailee for the purpose of transmission to the buyer without reserving the right of disposal of the goods;

(b) when the buyer or his agent lawfully obtains possession of the goods;
(c) by waiver thereof.

Example

4: A, sold a car to B for Rs. 1,00,000 and delivered the same to the railways for the purpose of transmission to the buyer. The railway receipt was taken in the name of B and sent to B. Now A cannot exercise the right of lien.

Section 49(2):-

The unpaid seller of goods, having a lien thereon, does not lose his lien by reason only that he has obtained a decree for the price of the goods.

THEORY QUESTIONS

Question 1: **(SM)**

When can an unpaid seller of goods exercise his right of lien over the goods under the Sale of Goods Act? Can he exercise his right of lien even if the property in goods has passed to the buyer? When such a right is terminated? Can he exercise his right even after he has obtained a decree for the price of goods from the court?

Answer :

A lien is a right to retain possession of goods until the payment of the price. It is available to the unpaid seller of the goods who is in possession of them where-

(i) the goods have been sold without any stipulation as to credit;
(ii) the goods have been sold on credit, but the term of credit has expired;
(iii) the buyer becomes insolvent.

The unpaid seller can exercise 'his right of lien even if the property in goods has passed on to the buyer. He can exercise his right even if he is in possession of the goods as agent or bailee for the buyer.

Termination of lien: An unpaid seller losses his right of lien thereon-

(i) When he delivers the goods to a carrier or other bailee for the purpose of transmission to the buyer without reserving the right of disposal of the goods;
(ii) When the buyer or his agent lawfully obtains possession of the goods;

Yes, he can exercise his right of lien even after he has obtained a decree for the price of goods from the court.

CASE BASED QUESTIONS

Question 1: **(SM)**

A agrees to sell certain goods to B on a certain date on 10 days credit. The period of 10 days expired and goods were still in the possession of A. B has also not paid the price of the goods. B becomes insolvent. A refuses to deliver the goods to exercise his right of lien on the goods. Can he do so under the Sale of Goods Act, 1930?

Answer :

Lien is the right of a person to retain possession of the goods belonging to another until claim of the person in possession is satisfied. The unpaid seller has also right of lien over the goods for the price of the goods sold.

Section 47(1) of the Sales of Goods Act, 1930 provides that the unpaid seller who is in the possession of the goods is entitled to exercise right of lien in the following cases:-

1. Where the goods have been sold without any stipulation as to credit
2. Where the goods have been sold on credit but the term of credit has expired
3. Where the buyer has become insolvent even though the period of credit has not yet expired.

In the given case, A has agreed to sell certain goods to B on a credit of 10 days. The period of 10 days has expired. B has neither paid the price of goods nor taken the possession of the goods. That means the goods are still physically in the possession of A, the seller. In the meantime B, the buyer has become insolvent. In this case, A is entitled to exercise the right of lien on the goods because the buyer has become insolvent and the term of credit has expired without any payment of price by the buyer.

Question 2: **(PEQ-MAY-25-4 Marks)**

P sold certain antique items to Q for Rs. 3,00,000/- on 13.12.2024. As per the terms of agreement 75% of the amount was to be paid within a week and the balance 25% was to be paid till 31.12.2024. Q appointed his agent R to take delivery of the goods after payment of first installment. Q transferred a sum of Rs. 2,80,000/- in the account of P through NEFT on 18.12.2024 which was credited in P's account on the same date. R failed to take delivery of antique items due to medical emergency.

By the meantime, Q failed to make payment of the second installment till 31.12.2024. On 10.01.2025, Q's agent came to take the delivery of goods. But, P refused to deliver the goods and exercised his right of lien over the goods.

According to provisions of the Sale of Goods Act, 1930, give your opinion whether P was justified in exercising right of lien as only Rs. 20,000/- was left to be paid?

Answer:

Rights of lien (Section 47 of the Sale of Goods Act, 1930)

An unpaid seller has a right of lien on the goods for the price while he is in possession, until the payment or tender of the price of such goods. It is the right to retain the possession of the goods and refusal to deliver them to the buyer until the price due in respect of them is paid or tendered.

Exercise of right of lien: This right can be exercised by him in the following cases only:

(a) where goods have been sold without any stipulation of credit; (i.e., on cash sale)
(b) where goods have been sold on credit but the term of credit has expired; or
(c) where the buyer becomes insolvent.

In the instant case, P is still in possession of the goods and the full price was not paid by Q within the stipulated time i.e. till 31st December 2024. Therefore, P is an unpaid seller and can rightfully exercise lien under Section 47.

Even though the unpaid amount is only Rs. 20,000, P's refusal to deliver the goods is valid. Thus, P is legally justified in exercising right of lien.

(2) RIGHT OF STOPPAGE IN TRANSIT - Section 50 To 52

Section 50:- Right of stoppage in transit

- Subject to the provisions of this Act,
- when the buyer of goods becomes insolvent,
- the unpaid seller who has parted with the possession of the goods
- has the right of stopping them in transit,
- that is to say, he may resume possession of the goods as long as they are in the course of transit
- and may retain them until paid or tendered price of the goods.

Example

5: A of Mumbai sold certain goods to B of Delhi. He delivered the goods to C, a common carrier for the purpose of transmission of these goods to B. Before the goods could reach him, B became insolvent and A came to know about it. A can stop the goods in transit by giving a notice of it to C.

Section 51:- Duration of transit

Section 51 (1)

- Goods are deemed to be in the course of transit from
- the time when they are delivered to a carrier or other bailee for the purpose of transmission to the buyer,
- until the buyer or his agent in that behalf takes delivery of them from such carrier or other bailee.

Section 51 (2)

- If the goods are rejected by the buyer and
- the carrier or other bailee continues in possession of them,
- the transit is not deemed to be at an end,
- even if the seller has refused to receive them back.

Section 51 (3)

- When goods are delivered to a ship chartered by the buyer,
- it is a question depending on the circumstances of the particular case,
- whether they are in the possession of the master as a carrier or as agent of the buyer.

Section 51 (4)

- Where part delivery of the goods has been made to the buyer or his agent in that behalf,
- the remainder of the goods may be stopped in transit,
- unless such part delivery has been given in such circumstances as to show an agreement to give up possession of the whole of the goods.

Section 52:- How stoppage in transit is effected

Section 52 (1)

- The unpaid seller may exercise his right of stoppage in transit either by
- taking actual possession of the goods, or
- by giving notice of his claim to the carrier or other bailee in whose possession the goods are.
- Such notice may be given either to the person in actual possession of the goods or to his principal.
- In the latter case, the notice, to be effectual, shall be given at such time and in such circumstances, that the principal, by the exercise of reasonable diligence, may communicate it to his servant or agent in time to prevent a delivery to the buyer.

Section 52 (2)

- When notice of stoppage in transit is given by the seller to the carrier or other bailee in possession of the goods,
- he shall re-deliver the goods to, or according to the directions of, the seller.
- The expenses of such re-delivery shall be borne by the seller.

Example

6: B at Delhi, orders goods of A, at Mumbai. A consigns and forwards the goods to B. On arrival at Delhi, they are taken to B's warehouse and left there. B refuses to take these goods and stop payment. The goods are in transit and the unpaid seller can take them back.

Distinction between Right of Lien and Right of Stoppage in Transit

(i) The essence of a right of lien is to retain possession whereas the right of stoppage in transit is right to regain possession.

(ii) Seller should be in possession of goods under lien while in stoppage in transit (i) seller should have parted with the possession (ii) possession should be with a carrier & (iii) buyer has not acquired the possession.

(iii) Right of lien can be exercised even when the buyer is not insolvent but it is not the case with right of stoppage in transit.

(iv) Right of stoppage in transit begins when the right of lien ends. Thus, the end of the right of lien is the starting point of the right of stoppage in transit.

(v) Right of lien comes to an end as soon as the goods go out of the possession of the seller but the right of stopping in transit comes to an end as soon as the goods are delivered to the buyer. Sometimes it is said that right of stopping the goods in transit is nothing but an extension of right of lien.

THEORY QUESTIONS

Question 1: **(MTP-May 21- 6 Marks) (RTP -May 18)**

What do you understand by the term "unpaid seller" under the Sale of Goods Act, 1930? When can an unpaid seller exercise the right of stoppage of goods in transit?

Question 2: **(MTP-Nov 18-6 Marks)**

Explain the provisions of law relating to unpaid seller's 'right of lien' and distinguish it from the "right of stoppage the goods in transit".

CASE BASED QUESTIONS

Question 1: **(PEQ - Dec.21-3Marks)**

AB sold 500 bags of wheat to CD. Each bag contains 50 Kilograms of wheat. AB sent 450 bags by road transport and CD himself took remaining 50 bags. Before CD receives delivery of 450 bags sent by road transport, he becomes bankrupt. AB being still unpaid, stops the bags in transit. The official receiver, on CD's insolvency claims the bags. Decide the case with reference to provisions of the Sale of Goods Act, 1930.

Answer :

Right of stoppage in transit (Section 50 of the Sale of Goods Act, 1930):

Subject to the provisions of this Act, when the buyer of goods becomes insolvent, the unpaid seller who has parted with the possession of the goods has the right of stopping them in transit, that is to say, he may resume possession of the goods as long as they are in the course of transit and may retain them until paid or tendered price of the goods.

When the unpaid seller has parted with the goods to a carrier and the buyer has become insolvent, he can exercise this right of asking the carrier to return the goods back, or not to deliver the goods to the buyer.

In the instant case, CD, the buyer becomes insolvent, and 450 bags are in transit. AB, the seller, can stop the goods in transit by giving a notice of it to CD. The official receiver, on CD's insolvency cannot claim the bags.

Question 2: **(SM)**

Ram sells 200 bales of cloth to Shyam and sends 100 bales by lorry and 100 bales by Railway. Shyam receives delivery of 100 bales sent by lorry, but before he receives the delivery of the bales sent by railway, he becomes bankrupt. Can Ram exercise right of stopping the goods in transit?

Answer :

Right of stoppage of goods in transit: The problem is based on Section 50 of the Sale of Goods Act, 1930 dealing with the right of stoppage of the goods in transit available to an unpaid seller. The section states that the right is exercisable by the seller only if the following conditions are fulfilled.

(i) The seller must be unpaid

(ii) He must have parted with the possession of goods

(iii) The goods must be in transit

(iv) The buyer must have become insolvent

(v) The right is subject to the provisions of the Act.

Applying the provisions to the given case, Ram being still unpaid, can stop the 100 bales of cloth sent by railway as these goods are still in transit.

Question 3: **(SM) (MTP-Nov-20 - 6 Marks)**

A, who is an agent of a buyer, had obtained the goods from the Railway Authorities and loaded the goods on his truck. In the meantime, the Railway Authorities received a notice from B, the seller for stopping the goods in

transit as the buyer has become insolvent. Referring to the provisions of Sale of Goods Act, 1930, decide whether the Railway Authorities can stop the goods in transit as instructed by the seller?

Answer :

The right of stoppage of goods in transit means the right of stopping the goods after the seller has parted with the goods. Thereafter the seller regains the possession of the goods.

This right can be exercised by an unpaid seller when he has lost his right of lien over the goods because the goods are delivered to a carrier for the purpose of taking the goods to the buyer. This right is available to the unpaid seller only when the buyer has become insolvent. The conditions necessary for exercising this right are:-

1. The buyer has not paid the total price to the seller
2. The seller has delivered the goods to a carrier thereby losing his right of lien
3. The buyer has become insolvent
4. The goods have not reached the buyer, they are in the course of transit. (Section 50, 51 and 52)

In the given case A, who is an agent of the buyer, had obtained the goods from the railway authorities and loaded the goods on his truck. After this, the railway authorities received a notice from the seller B to stop the goods as the buyer had become insolvent.

According to the Sales of Goods Act, 1930, the railway authorities cannot stop the goods because the goods are not in transit. A who has loaded the goods on his truck is the agent of the buyer. That means railway authorities have given the possession of the goods to the buyer. The transit comes to an end when the buyer or his agent takes the possession of the goods.

Section 53:- Effects of sub-sale or pledge by buyer

- The right of lien or stoppage in transit is not affected by the buyer selling or pledging the goods unless the seller has assented to it.
- This is based on the principle that a second buyer cannot stand in a better position than his seller. (The first buyer).

  The right of stoppage is defeated if the buyer has transferred the document of title or pledges the goods to a sub buyer in good faith and for consideration.

Example

7: A sold certain goods to B of Mumbai and the goods are handed over to railways for transmission to B. In the meantime, B sold these goods to C for consideration. B becomes insolvent. A can still exercise his right of stoppage in transit.

Exceptions where unpaid seller's right of lien and stoppage in transit are defeated:

(a) When the seller has assented to the sale, mortgage or other disposition of the goods made by the buyer.

Example

8: A entered into a contract to sell cartons in possession of a wharfinger to B and agreed with B that the price will be paid to A from the sale proceeds recovered from his customers. Now B sold goods to C and C duly paid to B. But anyhow B failed to make the payment to A. A wanted to exercise his right of lien and ordered the wharfinger not to make delivery to C. Held that the seller had assented to the resale of the goods by the buyer to the sub-buyers. As a result, A's right to lien is defeated (Mount D. F. Ltd. vs Jay & Jay (Provisions) Co. Ltd).

(b) When a document of title to goods has been transferred to the buyer and the buyer transfers the documents to a person who has bought goods in good faith and for value i.e. for price, then, the proviso of sub-section (1) stipulates as follows:

(i) If the last-mentioned transfer is by way of sale, right of lien or stoppage in transit is defeated, or

(ii) If the last mentioned transfer is by way of pledge, unpaid seller's right of lien or stoppage only be exercised, subject to the rights of the pledgee.

CASE BASED QUESTIONS

Question 1: **(SM)**

J sold a machine to K. K gave a cheque for the payment. The cheque was dishonoured. But J handed over a delivery order to K. K sold the goods to R on the basis of the delivery order. J wanted to exercise his right of lien on the goods. Can he do so under the provisions of the Sale of Goods Act, 1930?

Answer :

The right of lien and stoppage in transit are meant to protect the seller. These will not be affected even when the buyer has made a transaction of his own goods which were with the seller under lien. But under two exceptional cases these rights of the seller are affected:-

1. When the buyer has made the transaction with the consent of the seller
2. When the buyer has made the transaction on the basis of documents of title such as bill of lading, railway receipt or a delivery order etc.

In the given case, J has sold the machine to K and K gave a cheque for the payment. But the cheque was dishonoured that means J, the seller is an unpaid seller. So, he is entitled to exercise the right of lien, but according to section 53(1) his right of lien is defeated because he has given the document of title to the buyer and the buyer has made a transaction of sale on the basis of this document. So, R who has purchased the machine from K can demand the delivery of the machine.

Section 53(2) However, the pledgee may be required by the unpaid seller to use in the first instance, other goods or securities of the pledger available to him to satisfy his claims.

Effect of stoppage:

The contract of sale is not rescinded when the seller exercises his right of stoppage in transit. The contract still remains in force and the buyer can ask for delivery of goods on payment of price.

(3) Section 54:- Right of re-sale

The right of resale is a very valuable right given to an unpaid seller. In the absence of this right, the unpaid seller's other rights against the goods that is lien and the stoppage in transit would not have been of much use because these rights only entitled the unpaid seller to retain the goods until paid by the buyer.

The unpaid seller can exercise the right to re-sell the goods under the following conditions:

(i) Where the goods are of a perishable nature: In such a case, the buyer need not be informed of the intention of resale.

(ii) Where he gives notice to the buyer of his intention to re-sell the goods: If after the receipt of such notice the buyer fails within a reasonable time to pay or tender the price, the seller may resell the goods.

It may be noted that in such cases, on the resale of the goods, the seller is also entitled to:

(a) Recover the difference between the contract price and resale price, from the original buyer, as damages.

(b) Retain the profit if the resale price is higher than the contract price.

Section 54(2) It may also be noted that the seller can recover damages and retain the profits only when the goods are resold after giving the notice of resale to the buyer. Thus, if the goods are resold by the seller without giving any notice to the buyer, the seller cannot recover the loss suffered on resale. Moreover, if there is any profit on resale, he must return it to the original buyer, i.e. he cannot keep such surplus with him.

(iii) Where an unpaid seller who has exercised his right of lien or stoppage in transit resells the goods: The subsequent buyer acquires the good title thereof as against the original buyer, despite the fact that the notice of re-sale has not been given by the seller to the original buyer.

(iv) A re-sale by the seller where a right of re-sale is expressly reserved in a contract of sale: Sometimes, it is expressly agreed between the seller and the buyer that in case the buyer makes default in payment of the price, the seller will resell the goods to some other person. In such cases, the seller is said to have reserved his right of resale, and he may resell the goods on buyer's default.

It may be noted that in such cases, the seller is not required to give notice of resale. He is entitled to recover damages from the original buyer even if no notice of resale is given.

(v) Where the property in goods has not passed to the buyer: The unpaid seller has in addition to his remedies a right of withholding delivery of the goods. This right is similar to lien and is called "quasilien".

THEORY QUESTIONS

Question 1: **(MTP-Nov 18-5 Marks)**

When unpaid seller can re-sell the goods

Answer :

Right of re-sale [Section 54]: The right of resale is a very valuable right given to an unpaid seller. In the absence of this right, the unpaid seller's other rights against the goods that is lien and the stoppage in transit would not have been of much use because these rights only entitled the unpaid seller to retain the goods until paid by the buyer.

The unpaid seller can exercise the right to re-sell the goods under the following conditions:

(i) Where the goods are of a perishable nature: In such a case the buyer need not be informed of the intention of resale.

(ii) Where he gives notice to the buyer of his intention to re-sell the goods: If after the receipt of such notice the buyer fails within a reasonable time to pay or tender the price, the seller may resell the goods.

It may be noted that in such cases, on the resale of the goods, the seller is also entitled to:

(a) Recover the difference between the contract price and resale price, from the original buyer, as damages.

(b) Retain the profit if the resale price is higher than the contract price.

It may also be noted that the seller can recover damages and retain the profits only when the goods are resold after giving the notice of resale to the buyer. Thus, if the goods are resold by the seller without giving any notice to the buyer, the seller cannot recover the loss suffered on resale. Moreover, if there is any profit on resale, he must return it to the original buyer, i.e. he cannot keep such surplus with him [Section 54(2)].

(iii) Where an unpaid seller who has exercised his right of lien or stoppage in transit resells the goods: The subsequent buyer acquires the good title thereof as against the original buyer, despite the fact that the notice of re-sale has not been given by the seller to the original buyer.

(iv) A re-sale by the seller where a right of re-sale is expressly reserved in a contract of sale: Sometimes, it is expressly agreed between the seller and the buyer that in case the buyer makes default in payment of the price, the seller will resell the goods to some other person. In such cases, the seller is said to have reserved his right of resale, and he may resell the goods on buyer's default.

It may be noted that in such cases, the seller is not required to give notice of resale. He is entitled to recover damages from the original buyer even if no notice of resale is given.

(v) Where the property in goods has not passed to the buyer: the unpaid seller has in addition to his remedies a right of withholding delivery of the goods. This right is similar to lien and is called "quasi-lien".

Question 2: **(PEQ-JAN-26-4 Marks)**

What do you mean by right of resale? State any three conditions when the right of resale goods given to an unpaid sellers under the Sale of Goods Act, 1930.

Question 3: **(PEQ - Nov. 19-6 Marks)**

What are the rights of an unpaid seller against goods under the Sale of Goods Act, 1930?

Answer :

Rights of an unpaid seller against the goods: As per the provisions of Section 46 of the Sale of Goods Act, 1930, notwithstanding that the property in the goods may have passed to the buyer, the unpaid seller of goods, as such, has by implication of law-

(a) a lien on the goods for the price while he is in possession of them;

(b) in case of the insolvency of the buyer, a right of stopping the goods in transit after he has parted with the possession of them;

(c) a right of re-sale as limited by this Act. [Sub-section (1)]

Where the property in goods has not passed to the buyer, the unpaid seller has, in addition to his other remedies, a right of withholding delivery similar to and co-extensive with his rights of lien and stoppage in transit where the property has passed to the buyer. [Sub-section (2)]

These rights can be exercised by the unpaid seller in the following circumstances:

(i) Right of lien (Section 47): According to sub-section (1), the unpaid seller of goods who is in possession of them is entitled to retain possession of them until payment or tender of the price in the following cases, namely:-
   (a) where the goods have been sold without any stipulation as to credit;
   (b) where the goods have been sold on credit, but the term of credit has expired;
   (c) where the buyer becomes insolvent.

(ii) Right of stoppage in transit (Section 50): When the buyer of goods becomes insolvent, the unpaid seller who has parted with the possession of the goods has the right of stopping them in transit, that is to say, he may resume possession of the goods as long as they are in the course of transit, and may retain them until paid or tendered price of the goods.

(iii) Right to re-sell the goods (Section 54): The unpaid seller can exercise the right to re-sell the goods under the following conditions:
   1. Where the goods are of a perishable nature
   2. Where he gives notice to the buyer of his intention to re-sell the goods
   3. Where an unpaid seller who has exercised his right of lien or stoppage in transit resells the goods
   4. A re-sale by the seller where a right of re-sale is expressly reserved in a contract of sale
   5. Where the property in goods has not passed to the buyer

4.4 RIGHTS OF UNPAID SELLER AGAINST THE BUYER- Section 55 to 61

An unpaid seller can enforce certain rights against the goods as well as against the buyer personally. Rights of unpaid seller against the buyer are otherwise known as seller's remedies for breach of contract of sale. The rights of the seller against the buyer personally are called rights in personam and are in addition to his rights against the goods.

The right against the buyer are as follows:

1. Section 55:- Suit for price

(a) Section 55(1) Where under a contract of sale, the property in the goods has passed to the buyer and the buyer wrongfully neglects or refuses to pay for the goods according to the terms of the contract, the seller may sue him for the price of the goods.

(b) Section 55(2) Where under a contract of sale, the price is payable on a certain day irrespective of delivery and the buyer wrongfully neglects or refuses to pay such price, the seller may sue him for the price although the property in the goods has not passed and the goods have not been appropriated to the contract.

CASE BASED QUESTIONS

Question 1: **(SM) (RTP-Nov-19 & 20)**

Suraj sold his car to Sohan for Rs. 75,000. After inspection and satisfaction, Sohan paid Rs. 25,000 and took possession of the car and promised to pay the remaining amount within a month. Later on Sohan refuses to give the remaining amount on the ground that the car was not in a good condition. Advise Suraj as to what remedy is available to him against Sohan.

Answer :

As per the section 55 of the Sale of Goods Act, 1930 an unpaid seller has a right to institute a suit for price against the buyer personally. The said Section lays down that

(i) Where under a contract of sale the property in the goods has passed to buyer and the buyer wrongfully neglects or refuses to pay for the goods, the seller may sue him for the price of the goods [Section 55(1)].

(ii) Where under a contract of sale the price is payable on a certain day irrespective of delivery and the buyer wrongfully neglects or refuses to pay such price, the seller may sue him for the price. It makes no difference even if the property in the goods has not passed and the goods have not been appropriated to the contract [Section 55(2)].

This problem is based on above provisions. Hence, Suraj will succeed against Sohan for recovery of the remaining amount. Apart from this Suraj is also entitled to:-

(1) Interest on the remaining amount

(2) Interest during the pendency of the suit.

(3) Costs of the proceedings.

2. Section 56:- Suit for damages for non-acceptance

Where the buyer wrongfully neglects or refuses to accept and pay for the goods, the seller may sue him for damages for non-acceptance. As regards measure of damages, Section 73 of the Indian Contract Act, 1872 applies in this case.

3. Section 60:- Repudiation of contract before due date

Where the buyer repudiates the contract before the date of delivery, the seller may treat the contract as rescinded and sue damages for the breach. This is known as the 'rule of anticipatory breach of contract'.

4. Section 61:- Suit for interest

Where there is specific agreement between the seller and the buyer as to interest on the price of the goods from the date on which payment becomes due, the seller may recover interest from the buyer. If, however, there is no specific agreement to this effect, the seller may charge interest on the price when it becomes due from such day as he may notify to the buyer.

In the absence of a contract to the contrary, the Court may award interest to the seller in a suit by him at such rate as it thinks fit on the amount of the price from the date of the tender of the goods or from the date on which the price was payable.

THEORY QUESTIONS

Question 1: **(PEQ - July-21- 6 Marks)**

Discuss the rights of an unpaid seller against the buyer under the Sales of Goods Act, 1930.

CASE BASED QUESTIONS

Question 1: **(SM) (MTP-Nov-29-6 Marks, May-18-6Marks)**

Mr. D sold some goods to Mr. E for Rs. 5,00,000 on 15 days credit. Mr. D delivered the goods. On due date Mr. E refused to pay for it. State the position and rights of Mr. D as per the Sale of Goods Act, 1930.

Answer :

Position of Mr. D: Mr. D sold some goods to Mr. E for Rs. 5,00,000 on 15 days credit. Mr. D delivered the goods. On due date Mr. E refused to pay for it.

So, Mr. D is an unpaid seller as according to section 45(1) of the Sale of Goods Act,1930 the seller of goods is deemed to be an 'Unpaid Seller' when the whole of the price has not been paid or tendered and the seller had an immediate right of action for the price.

Rights of Mr. D: As the goods have parted away from Mr. D, therefore, Mr. D cannot exercise the right against the goods, he can only exercise his rights against the buyer i.e. Mr. E which are as under:

(i) Suit for price (Section 55) : In the mentioned contract of sale, the price is payable after 15 days and Mr. E refuses to pay such price, Mr. D may sue Mr. E for the price.

(ii) Suit for damages for non-acceptance (Section 56): Mr. D may sue Mr. E for damages for non-acceptance if Mr. E wrongfully neglects or refuses to accept and pay for the goods. As regards measure of damages, Section 73 of the Indian Contract Act, 1872 applies.

(iii) Suit for interest [Section 61]: If there is no specific agreement between the Mr. D and Mr. E as to interest on the price of the goods from the date on which payment becomes due, Mr. D may charge interest on the price when it becomes due from such day as he may notify to Mr. E.

4.5 REMEDIES OF BUYER AGAINST THE SELLER

Breach of contract by seller

- where he fails to deliver the goods at the time or in manner prescribed
- where he repudiates the contract
- where he deliver non-conforming goods and buyer rejects and revokes acceptance

If the seller commits a breach of contract, the buyer gets the following rights against the seller:

Rights of buyer

- Damages for non-delivery
- Suit for specific performance
- Suit for breach of warranty
- Suit for anticipatory breach
- Suit for interest

1. Section 57:- Damages for non-delivery

Where the seller wrongfully neglects or refuses to deliver the goods to the buyer, the buyer may sue the seller for damages for non-delivery.

Example

9: 'A' a shoe manufacturer, agreed to sell 100 pairs of shoes to 'B' at the rate of Rs. 1050 per pair. 'A' knew that 'B' wanted the shoes for the purpose of further reselling them to 'C' at the rate of Rs. 1100/- per pair. On the due date of delivery, 'A' failed to deliver the shoes to 'B'. In consequence, 'B' could not perform his contract with 'C' for the supply of 100 pairs of shoes. In this case, 'B' can recover damages from 'A' at the rate of Rs. 50/- per pair (the difference between the contract price and resale price).

2. Section 58: Suit for specific performance

Where the seller commits of breach of the contract of sale, the buyer can appeal to the court for specific performance. The court can order for specific performance only when the goods are ascertained or specific.

This remedy is allowed by the court subject to these conditions

(a) The contract must be for the sale of specific and ascertained goods.

(b) The power of the court to order specific performance is subject to provisions of Specific Relief Act of 1963.

(c) It empowers the court to order specific performance where damages would not be an adequate remedy.

(d) It will be granted as remedy if goods are of special nature or are unique.

Example

10: 'A' agreed to sell a rare painting of Mughal period to 'B'. But on the due date of delivery, 'A' refused to sell the same. In this case, 'B' may file a suit against 'A' for obtaining an order from the Court to compel 'A' to perform the contract (i.e. to deliver the painting to 'B' at the agreed price).

THEORY QUESTIONS

Question 1: **(PEQ-JAN.26-3 Marks)**

What do you mean by suit for specific performance? State any two conditions when court allows this remedy according to provisions of the Sale of Goods Act, 1930?

3. Section 59:- Suit for breach of warranty

Where there is breach of warranty on the part of the seller, or where the buyer elects to treat breach of condition as breach of warranty, the buyer is not entitled to reject the goods only on the basis of such breach of warranty. But he may -

(i) set up against the seller the breach of warranty in diminution or extinction of the price; or

(ii) sue the seller for damages for breach of warranty.

4. Section 60:- Repudiation of contract before due date

Where either party to a contract of sale repudiates the contract before the date of delivery, the other may either treat the contract as subsisting and wait till the date of delivery, or he may treat the contract as rescinded and sue for damages for the breach.

5. Suit for interest

(1) Nothing in this Act shall affect the right of the seller or the buyer to recover interest or special damages, in any case where by law interest or special damages may be recoverable, or to recover the money paid where the consideration for the payment of it has failed.

(2) In the absence of a contract to the contrary, the court may award interest at such rate as it thinks fit on the amount of the price to the buyer in a suit by him for the refund of the price in a case of a breach of the contract on the part of the seller from the date on which the payment was made.

Example

11: In case of a sale of cigarettes which turned out to be mildewed and unfit for consumption, damages were awarded on the basis of the difference between the contract price and the price released.

12: In case of absence of transfer of title or registration, the purchaser cannot claim damages for breach of conditions and warranties relating to sale.

THEORY QUESTIONS

Question 1: **(PEQ-Jan-25-7 Marks) (RTP-May-20)**
What are the rights of buyer against the seller, if the seller commits a breach of contract under the Sale of Goods Act, 1930?

4.6 AUCTION SALE - Section 64

An 'Auction Sale' is a mode of selling property by inviting bids publicly and the property is sold to the highest bidder. An auctioneer is an agent governed by the Law of Agency. When he sells, he is only the agent of the seller. He may, however, sell his own property as the principal and need not disclose the fact that he is so selling.

Legal Rules of Auction sale: Section 64 of the Sale of Goods Act, 1930 provides following rules to regulate the sale by auction:

(a) **Where goods are sold in lots:** Where goods are put up for sale in lots, each lot is prima facie deemed to be subject of a separate contract of sale.

(b) **Completion of the contract of sale:** The sale is complete when the auctioneer announces its completion by the fall of hammer or in any other customary manner and until such announcement is made, any bidder may retract from his bid.

(c) **Right to bid may be reserved:** Right to bid may be reserved expressly by or on behalf of the seller and where such a right is expressly reserved, but not otherwise, the seller or any one person on his behalf may bid at the auction.

(d) **Where the sale is not notified by the seller:** Where the sale is not notified to be subject to a right to bid on behalf of the seller, it shall not be lawful for the seller to bid himself or to employ any person to bid at such sale, or for the auctioneer knowingly to take any bid from the seller or any such person; and any sale contravening this rule may be treated as fraudulent by the buyer.

(e) **Reserved price:** The sale may be notified to be subject to a reserve or upset price; and

(f) **Pretended bidding:** If the seller makes use of pretended bidding to raise the price, the sale is voidable at the option of the buyer.

Example

13: P sold a car by auction. It was knocked down to Q who was only allowed to take it away on giving a cheque for the price and signing an agreement that ownership should not pass until the cheque was cleared. In the meanwhile till the cheque was cleared, Q sold the car to R. It was held that the property was passed on the fall of the hammer and therefore R had a good title to the car. Both sale and sub sale are valid in favour of Q and R respectively.

THEORY QUESTIONS

Question 1: **(MTP-Nov 19-3 Marks)**
Referring to the provisions of the Sale of Goods Act, 1930, state the rules provided to regulate the "Sale by Auction.

Question 2: **(PEQ - Jan. 21-4 Marks)**
What are the rules which regulate the Sale by Auction under the Sale of Goods Act, 1930?

CASE BASED QUESTIONS

Question 1: **(PEQ-MAY.25-3 Marks)**

An auction takes place in Delhi for antique items. It is notified to the bidders that the sale will be completed, only when the hammer of the auctioneer hits the table and he announces "you are the highest bidder". During the auction, L bids for an antique sculpture, worth Rs. 8 lakhs. The hammer falls, but announcement cannot be made as the auction suddenly stops before the auctioneer can utter any words. It is notified to everyone that there has been an unexpected rise in the market price for that particular sculpture, and therefore, it will not be sold on that particular day. L contends that the auctioneer is bound to sell the sculpture to him at the price he bid because once he bid at the highest price in the auction and the hammer fell, the auction sale was completed and therefore, the auctioneer is under a contractual obligation to sell the sculpture. The auctioneer disagrees. Discuss the validity of L's claim in reference to the provisions of the Sale of Goods Act, 1930.

Answer :

Legal Rules of Auction sale: Section 64 of the Sale of Goods Act, 1930 provides following rules to regulate the sale by auction:

Completion of the contract of sale: The sale is complete when the auctioneer announces its completion by the fall of hammer or in any other customary manner. Until such announcement is made, any bidder may retract from his bid.

In the instant case, the sale of sculpture to L is not complete as only hammer falls but the auctioneer did not announce "you are the highest bidder".

Therefore, L's claim contending that the auctioneer is bound to sell the sculpture to him at the price he bid is not valid as the auction sale was not complete.

Question 2: **(SM)**

Rachit arranges an auction to sale an antic wall clock. Deepa, being one of the bidders, gives the highest bid. For announcing the completion of sale, the auctioneer falls the hammer on table but suddenly hammer brakes and damages the watch. Deepa wants to avoid the contract. Can she do so under the provisions of the Sale of Goods Act, 1930?

4.7 INCLUSION OF INCREASED OR DECREASED TAXES IN CONTRACT OF SALE- Section 64A

Where after a contract has been made but before it has been performed, tax revision takes place. Where tax is being imposed, increased, decreased or remitted in respect of any goods without any stipulations to the payment of tax, the parties would become entitled to read just the price of the goods accordingly.

Following taxes are applied on the sale or purchase of goods:

- Any duty of customs or excise on goods,
- Any tax on the sale or purchase of goods

The buyer would have to pay the increased price where the tax increases and may derive the benefit of reduction if taxes are curtailed.

- Thus, seller may add the increased taxes in the price.
- The effect of provision can, however, is excluded by an agreement to the contrary.
- It is open to the parties to stipulate anything regard to taxation.

MULTIPLE CHOICE QUESTIONS

1. The unpaid seller has right of stoppage of goods in transit only where the buyer
   (a) become insolvent. (b) refuses to pay price.
   (c) acts fraudulently.

2. An unpaid seller is having rights against
   (a) goods only. (b) the buyer only.
   (c) both goods and buyer. (d) none of the above.

3. Under which of the circumstances unpaid seller loses his right of lien
   (a) by estoppel.
   (b) where seller waived the right of lien.
   (c) where the buyer or his agent lawfully obtains possession of the goods.
   (d) any of the above.

4. When the unpaid seller has parted with the goods to a carrier and the buyer has become insolvent, he can exercise
   (a) right of lien. (b) right of stoppage in transit.
   (c) right of resale. (d) none of the above.

5. The essence of a right of lien is to
   (a) deliver the goods. (b) retain the possession
   (c) regin the possession (d) none of the above

6. Which of the following right can be exercised by an unpaid seller against the buyer, who is not insolvent
   (a) right of lien. (b) right of stoppage in transit.
   (c) both (a) and (b). (d) none of the above.

7. Which of the following is a buyer's right against the seller in case of breach of contract?
   (a) suit for non-delivery. (b) suit for specific performance.
   (c) suit for damages for breach of warranty. (d) all of the above.

8. An auction sale is complete on the
   (a) delivery of goods (b) payment of price
   (c) fall of hammer (d) none of the above.

9. Seller has right of resale where
   (a) goods are perishable. (b) seller has reserved such right.
   (c) seller gives notice. (d) all of these.

10. The aggrieved party can claim only damages in case of breach of warranty.
    (a) true. (b) false.

11. Under which circumstances, the right of stoppage can be exercised by an unpaid seller
    (a) the buyer has become insolvent. (b) the goods are in transit.
    (c) the seller must be unpaid. (d) all of the above.

12. Under which circumstances the unpaid seller can exercise right of re-sale
    (a) when the goods are of perishable nature.
    (b) when he gives notice to the buyer.
    (c) when he gives notice to the buyer of his intention to re-sale and the buyer does not within a reasonable time pay the price.
    (d) both (a) and (c)

13. Where the seller wrongfully neglects to deliver the goods to the buyer, then the buyer
(a) cannot sue the seller for damages for non-delivery.
(b) may sue the seller for damages for non-delivery.
(c) either (a) or (b)
(d) none of the above.

14. Where the buyer is deprived to goods by their true owner, then the buyer
(a) may recover the price for breach of the condition as to title.
(b) cannot recover the price for breach of the condition as to title.
(c) either (a) or (b)
(d) none of the above.

15. Where the buyer wrongfully neglects or refuses to accept and pay for the goods,
(a) the seller may sue buyer for damages for non-acceptance.
(b) the seller cannot sue buyer for damages for non-acceptance.
(c) the seller can sue buyers' banker for damages.
(d) none of the above.

16. In an auction sale, the property shall be sold to the
(a) Lowest bidder. (b) Highest bidder.
(c) All bidders (d) None of the above.

17. In an auction sale, if the seller makes use of pretended bidding to raise the price, then the sale is
(a) valid. (b) void.
(c) voidable. (d) illegal

18. In which of the following cases, the unpaid seller loses his right of lien?
(a) delivery of goods to buyer. (b) delivery of goods to carrier.
(c) tender of price by buyer. (d) all of these.

19. The bidder at an auction sale can withdraw his bid
(a) any time during (b) before fall of hammer.
(c) before payment of price. (d) none of these.

20. Where in an auction sale, the seller appoints more than one bidder, the sale is
(a) void. (b) illegal.
(c) conditional. (d) voidable.

21. Where in an auction sale notified with reserve price, the auctioneer mistakenly knocks down the goods for less than the reserve price, then the auctioneer is
(a) bound by auction. (b) not bound by auction.
(c) liable for damages. (d) both (a) and (c)

Answers to MCQs

1	(a)	2.	(c)	3.	(d)	4.	(b)	5.	(b)
6.	(a)	7.	(d)	8.	(c)	9.	(d)	10.	(a)
11.	(d)	12.	(d)	13.	(b)	14.	(a)	15.	(a)
16.	(b)	17.	(c)	18.	(d)	19.	(b)	20.	(d)
21.	(b)								

THE INDIAN PARTNERSHIP ACT, 1932

Unit 1 : GENERAL NATURE OF A PARTNERSHIP

Section Overview:

Section : 1	Short title, extent, commencement
Section :2	Definitions (Partner, Firm, Goodwill, etc.)
Section :3	Application of Indian Contract Act
Section :4	Definition of Partnership (Mutual agency + Profit sharing)
Section :5	Partnership not created by status
Section :6	Determining existence of partnership
Section :7	Partnership at will
Section :8	Particular partnership
Section :28	Holding out liability

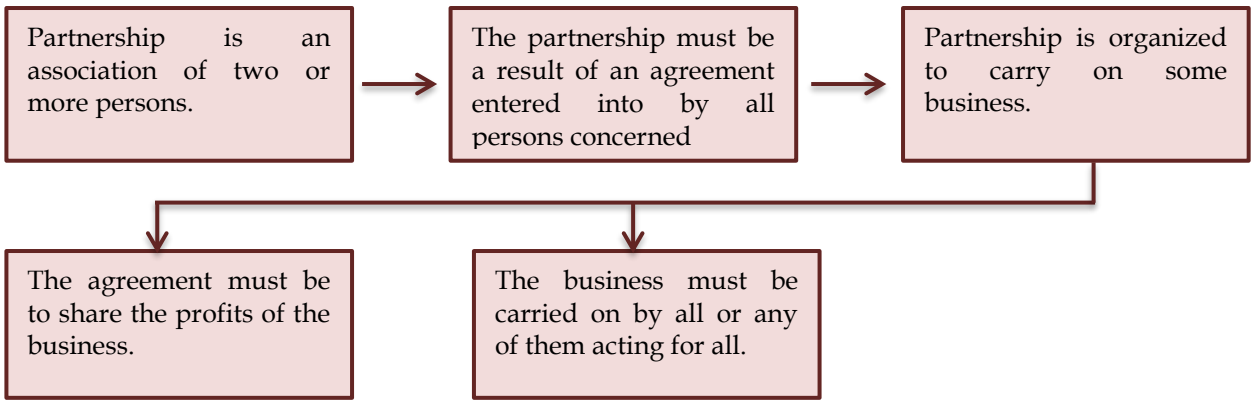
1.1 DEFINITION OF 'PARTNERSHIP', 'PARTNER', 'FIRM' AND 'FIRM NAME' – Section 4

'Partnership' is

- the relation between persons
- who have agreed to share the profits of a business
- carried on by all or any of them acting for all.

Persons who have entered into partnership with one another are called individually 'partners' and collectively 'a firm', and the name under which their business is carried on is called the 'firm name'.

1.2 ELEMENTS OF PARTNERSHIP



1. ASSOCIATION OF TWO OR MORE PERSONS:

- Partnership is an association of 2 or more persons.
- Again, only persons recognized by law can enter into an agreement of partnership.
  - Therefore, a firm, since it is not a person recognized in the eyes of law cannot be a partner.
  - Again, a minor cannot be a partner in a firm, but with the consent of all the partners, may be admitted to the benefits of partnership.
- The Partnership Act is silent about the maximum number of partners but Section 464 of the Companies Act,2013 has now put a limit of 50 partners in any association/partnership firm.

2. AGREEMENT:

- Partnership must be the result of an agreement between two or more persons.
- Thus, the nature of the partnership is voluntary and contractual.
- An agreement from which relationship of Partnership arises may be express or implied
- It may be oral or in writing.

3. BUSINESS:

- First, there must exist a business. The term 'business' includes every trade, occupation and profession.
- Secondly, the motive of the business is the "acquisition of gains" which leads to the formation of partnership.
- Therefore, there can be no partnership where there is no intention to carry on the business and to share the profit thereof.

Example

1: Co-owners who share amongst themselves the rent derived from a piece of land are not partners, because there does not exist any business.

2: No charitable institution or club may be floated in partnership [A joint stock company may, however, be floated for non-economic purposes].

4. AGREEMENT TO SHARE PROFITS:

- The sharing of profits is an essential feature of partnership.
- There can be no partnership where only one of the partners is entitled to the whole of the profits of the business.
- Partners must agree to share the profits in any manner they choose.
- But an agreement to share losses is not an essential element. It is open to one or more partners to agree to share all the losses.
- However, in the event of losses, unless agreed otherwise, these must be borne in the profit-sharing ratio.

Example

3: X and Y buy certain bales of cotton which they agree to sell on their joint account and to share the profits equally. In these circumstances, X and Y are partners in respect of such cotton business.

CASE BASED QUESTION

Question 1: **(MTP-Nov-18 & 19- 2 Marks)**

X and Y buy certain bales of cotton which they agree to sell on their joint account and to share the profits equally. State whether X and Y can be considered as partners as per the Provisions of Indian Partnership Act, 1932?

Answer :

AGREEMENT TO SHARE PROFITS:

- The sharing of profits is an essential feature of partnership.
- There can be no partnership where only one of the partners is entitled to the whole of the profits of the business.
- Partners must agree to share the profits in any manner they choose.

Based on the provisions X and Y are partners in respect of such cotton business because they are sharing profits of such business.

Question 2: **(PEQ-JAN.26-3 Marks)**

Ramesh is a supplier of fruits and vegetables in Azadpur Mandi, Delhi. To expand its business, he invited Suresh and Mahesh (his college friends) to invest in his business. Suresh and Mahesh were agreed but they put a

condition that they will share profit in the ratio of 33.33% each or Interest @ 12% p.a. on the capital (which they will bring) whichever is higher but they will not share losses if occurred in any year. Ramesh agreed for this association and made an agreement for partnership. Advise, whether this association will be treated as partnership according to the provisions of the Indian Partnership Act, 1932?

Answer :

Whether the Association will be treated as Partnership?

Section 4 of the Indian Partnership Act, 1932 states that "Partnership" is the relation between persons who have agreed to share the profits of a business carried on by all or any of them acting for all.

The sharing of profits of a business is an essential feature of partnership. There can be no partnership where only one of the partners is entitled to the whole of the profits of the business. Partners must agree to share the profits in any manner they choose.

But an agreement to share losses is not an essential requirement. It is open to one or more partners to agree to share all the losses.

Yes, it is a case of partnership. The association between the partners, Ramesh and Suresh will be treated as partnership according to the provisions of the Indian Partnership Act, 1932, as there was a partnership agreement according to which they decided to share in profit only.

Question 3: **(PEQ-JAN.26-2 Marks)**

Manak was working as a construction contractor from several years. He engaged Roop Sing a labour and material contractor for procurement of raw material and labour for construction site. All the expenses pertaining to raw material, Labour wages will be borne by Manak. Manak agreed to give Roop Singh 5% of the contract amount for procurement. Whether this arrangement will be termed as partnership? Explain according to provisions of the Indian Partnership Act, 1932?

Answer:

As per the Indian Partnership Act, 1932, "Partnership" is the relation between persons who have agreed to share the profits of a business carried on by all or any of them acting for all (mutual agency).

In the gives case, there was no agreement to share profit of the business. Manak was incurring all the expenses relating to the construction and Roop Singh is merely acting as an agent of Manak as he was receiving 5% of the contract value.

Therefore, this arrangement will not be termed as partnership.

5. BUSINESS CARRIED ON BY ALL OR ANY OF THEM ACTING FOR ALL:

- The business must be carried on by all the partners **or** by any one or more of the partners acting for all. This is the cardinal principle of the Partnership Law.
- There should be a binding contract of mutual agency between the partners.
- An act of one partner in the course of the business of the firm is in fact an act of all partners.
- Each partner carrying on the business is the principal as well as the agent for all the other partners.
- He is an agent in so far as he can bind the other partners by his acts and he is a principal to the extent that he is bound by the act of other partners.
- It may be noted that the true test of partnership is mutual agency rather than sharing of profits. If the element of mutual agency is absent, then there will be no partnership.

In KD Kamath & Co.

The Supreme Court has held that the two essential conditions to be satisfied are that:

(1) there should be an agreement to share the profits as well as the losses of business; and

(2) the business must be carried on by all or any of them acting for all, within the meaning of the definition of 'partnership' under section 4.

The fact that the exclusive power and control, by agreement of the parties, is vested in one partner or the further circumstance that only one partner can operate the bank accounts or borrow on behalf of the firm are not destructive of the theory of partnership provided the two essential conditions, mentioned earlier, are satisfied.

Note:- The 'Partnership Agreement' is also known as 'Partnership Deed'.

THEORY QUESTIONS

Question 1: **(PEQ - Jan.21- 4 Marks)**
"Business carried on by all or any of them acting for all." Discuss the statement under the Indian Partnership Act, 1932.

Question 2: **(PEQ - Dec. 21-6Marks)**
Define partnership and name the essential elements for the existence of a partnership as per the Indian Partnership Act, 1932. Explain any two such elements in detail.

1.3 TRUE TEST OF PARTNERSHIP- Section 6

Mode of determining existence of partnership:

For determining the existence of partnership, it must be proved.

1. There was an agreement between all the persons concerned;
2. The agreement was to share the profits of a business and
3. the business was carried on by all or any of them acting for all.

Santiranjan Das Gupta Vs. Dasyran Murzamull (Supreme Court)

In Santiranjan Das Gupta Vs. Dasyran Murzamull, following factors weighed upon the Supreme Court to reach the conclusion that there is **no partnership** between the parties:

(a) Parties have **not retained** any **record of terms and conditions** of partnership.
(b) Partnership business has maintained no accounts of its own, which would be open to inspection by both parties.
(c) **No account** of the partnership was **opened with any bank.**
(d) **No written intimation** was conveyed to the Deputy Director of Procurement with respect to the newly created partnership.

THEORY QUESTIONS

Question 1: **(PEQ - May-19- 4 Marks)**
"Whether a group of persons is or is not a firm, or whether a person is or not a partner in a firm." Explain the mode of determining existence of partnership as per the Indian Partnership Act, 1932?

Answer:

1. **Agreement:** Partnership is created by agreement and not by status (Section 5). The relation of partnership arises from contract and not from status; and in particular, the members of a Hindu Undivided family carrying on a family business as such are not partners in such business.
2. **Sharing of Profit:** Sharing of profit is an essential element to constitute a partnership. But, it is only a prima facie evidence and not conclusive evidence, in that regard. The sharing of profits or of gross returns accruing from property by persons holding joint or common interest in the property would not by itself make such persons partners.
   Although the right to participate in profits is a strong test of partnership, and there may be cases where, upon a simple participation in profits, there is a partnership, yet whether the relation does or does not exist must depend upon the whole contract between the parties.
3. **Agency:** Existence of Mutual Agency which is the cardinal principle of partnership law, is very much helpful in reaching a conclusion in this regard. Each partner carrying on the business is the principal as well as an agent of other partners. So, the act of one partner done on behalf of firm, binds all the partners. If the elements of mutual agency relationship exist between the parties constituting a group formed with a view to earn profits by running a business, a partnership may be deemed to exist.

Question 2: **(PEQ - Dec.21-4Marks)**
"Sharing in the profits is not conclusive evidence in the creation of partnership". Comment.

Answer:

"Sharing in the profits is not conclusive evidence in the creation of partnership"

Sharing of profit is an essential element to constitute a partnership. But it is only a prima facie evidence and not conclusive evidence, in that regard. The sharing of profits or of gross returns accruing from property by persons holding joint or common interest in the property would not by itself make such persons partners. Although the right to participate in profits is a strong test of partnership, and there may be cases where, upon a simple participation in profits, there is a partnership, yet whether the relation does or does not exist must depend upon the whole contract between the parties.

Where there is an express agreement between partners to share the profit of a business and the business is being carried on by all or any of them acting for all, there will be no difficulty in the light of provisions of Section 4, in determining the existence or otherwise of partnership.

But the task becomes difficult when either there is no specific agreement or the agreement is such as does not specifically speak of partnership. In such a case for testing the existence or otherwise of partnership relation, Section 6 has to be referred.

According to Section 6, regard must be had to the real relation between the parties as shown by all relevant facts taken together. The rule is easily stated and is clear but its application is difficult. Cumulative effect of all relevant facts such as written or verbal agreement, real intention and conduct of the parties, other surrounding circumstances etc., are to be considered while deciding the relationship between the parties and ascertaining the existence of partnership.

Hence, the statement is true / correct that mere sharing in the profits is not conclusive evidence.

Question 3: **(PEQ - May-18- 4 Marks)**

What is the conclusive evidence of partnership? State the circumstances when partnership is not considered between two or more parties.

Answer:

Conclusive evidence of partnership: Existence of Mutual Agency which is the cardinal principle of partnership law is very much helpful in reaching a conclusion with respect to determination of existence of partnership. Each partner carrying on the business is the principal as well as an agent of other partners. So, the act of one partner done on behalf of firm, binds all the partners. If the element of mutual agency relationship exists between the parties constituting a group formed with a view to earn profits by running a business, a partnership may be deemed to exist.

Circumstances when partnership is not considered between two or more parties: Various judicial pronouncements have laid to the following factors leading to no partnership between the parties:

(i) Parties have not retained any record of terms and conditions of partnership.

(ii) Partnership business has maintained no accounts of its own, which would be open to inspection by both parties

(iii) No account of the partnership was opened with any bank

(iv) No written intimation was conveyed to the Deputy Director of Procurement with respect to the newly created partnership.

CASE BASED QUESTION

Question 1: **(PEQ - Dec.21-6Marks)**

State whether the following are partnerships:

(i) A and B jointly own a car which they used personally on Sundays and holidays and let it on hire as taxi on other days and equally divide the earnings.

(ii) Two firms each having 12 partners combine by an agreement into one firm.

(iii) A and B, co-owners, agree to conduct the business in common for profit.

(iv) Some individuals form an association to which each individual contributes Rs.500 annually. The objective of the association is to produce clothes and distribute the clothes free to the war widows.

(v) A and B, co-owners share between themselves the rent derived from a piece of land.

(vi) A and B buy commodity X and agree to sell commodity with sharing the profits equally.

Answer:

(i) No, this is not a case of partnership because the sharing of profits or of gross returns accruing from property holding joint or common interest in the property would not by itself make such persons partners.

Alternatively, this part can also be answered as below:

Yes, this is a case of partnership, as the car is used personally only on Sundays and holidays and used for most of the days as a Taxi. Hence, it is inferred that the main purpose of owning the car is to let it for business purpose. Also, there is an agreement for equally dividing the earnings.

(ii) Yes, this is a case of partnership because there is an agreement between two firms to combine into one firm.

(iii) Yes, this is a case of partnership because A & B, co-owners, have agreed to conduct a business in common for profit.

(iv) No, this is not a case of partnership as no charitable association can be floated in partnership.

(v) No, this is not a case of partnership as they are co-owners and not the partners. Further, there exist no business.

(vi) Yes, this is a case of partnership as there exist the element of doing business and sharing of profits equally.

Question 2: **(PEQ-JAN.26-2 Marks)**

Shantanu was running business of ABC Travel Agency from several years. He purchased 10 cars amounting to Rs. 100 lakh for the purpose of running them on hire. He borrowed Rs. 50 lakhs for this purpose from Shankar. Shankar proposed that he will take 25% of profit share. He has nothing to do with business. Shantanu agreed for this proposal. After some time, Shankar told his friends that he is partner in ABC Travel Agency. Shantanu denied the fact. He contended that he is sharing in profit only, not a partner in his travel agency. Advice with reference to the provisions of the Indian Partnership Act, 1932 whether this arrangement between the Shantanu and Shankar will be treated as partnership?

Answer:

According to Section 6 of the Indian Partnership Act, 1932 in determining whether a group of persons is or is not a partnership firm, or whether a person is or is not a partner in a firm, regard shall be had to the real relation between the parties, as shown by all relevant facts taken together.

For determining the existence of partnership, it must be proved that:

(a) There was an agreement between all the partners concerned;

(b) The agreement was to share the profits of a business and

(c) The business was carried on by all or any of them acting for all.

Sharing of profit, which is prima facie evidence, exists but mutual agency among Shantanu and Shankar, which is an essential element, does not exist here as Shantanu borrowed Rs. 50 Lakhs for his business from Shankar for which will take 25% of profit share.

In the absence of mutual agency, the most essential element of partnership, the arrangement between Shantanu and Shankar cannot be treated as a partnership under the Indian Partnership Act, 1932.

1.4 PARTNERSHIP DISTINGUISHED FROM OTHER FORMS OF ORGANISATION

Basis	Partnership	Joint Stock Company
Legal status	A firm is not legal entity i.e. it has no legal personality distinct from the personalities of its constituent members.	A company is a separate legal entity distinct from its members (Salomon v. Salomon).
Agency	In a firm, every partner is an agent of the other partners as well as of the firm.	In a company, a member is not an agent of the other members or of the company, his actions do not bind either.
Distribution of profits	The profits of the firm must be distributed among the partners	There is no such compulsion to distribute its profits among its members. Some

	according to the terms of the partnership deed.	portion of the profits, but generally not the entire profit, become distributable among the shareholders only when dividends are declared.
Extent of liability	In a partnership, the liability of the partners is unlimited. This means that each partner is liable for debts of a firm incurred in the course of the business of the firm and these debts can be recovered from his private property, if the joint estate is insufficient to meet them wholly.	In a company limited by shares, the liability of a shareholder is limited to the amount, if any, unpaid on his shares, but in the case of a guarantee company, the liability is limited to the amount for which he has agreed to be liable. However, there may be companies where the liability of members is unlimited.
Property	The firm's property is that which is the "joint estate" of all the partners as distinguished from the 'separate' estate of any of them and it does not belong to a body distinct in law from its members.	In a company, its property is separate from that of its members who can receive it back only in the form of dividends or refund of capital.
Transfer of shares	A share in a partnership cannot be transferred without the consent of all the partners.	In a company a shareholder may transfer his shares, subject to the provisions contained in its Articles. In the case of public limited companies whose shares are quoted on the stock exchange, the transfer is usually unrestricted.
Management	In the absence of an express agreement to the contrary, all the partners are entitled to participate in the management.	Members of a company are not entitled to take part in the management unless they are appointed as directors, in which case they may participate. Members, however, enjoy the right of attending general meeting and voting where they can decide certain questions such as election of directors, appointment of auditors, etc.
Registration	Registration is not compulsory in the case of partnership.	A company cannot come into existence unless it is registered under the Companies Act, 2013.
Winding up	A partnership firm can be dissolved at any time if all the partners agree.	A company, being a legal person is either wind up by the National Company Law Tribunal or its name is struck of by the Registrar of Companies.
Number of membership	According to section 464 of the Companies Act, 2013, the number of partners in any association shall not exceed 100. However, the Rule given under the Companies (Miscellaneous) Rules, 2014 restrict the present limit to 50.	A private company may have as many as 200 members but not less than two and a public company may have any number of members but not less than seven. A private Company can also be formed by one person known as one person Company.

Duration of existence	Unless there is a contract to the contrary, death, retirement or insolvency of a partner results in the dissolution of the firm.	A company enjoys a perpetual succession.

Basis of Difference	Partnership	Club
Definition	It is an association of persons formed for earning profits from a business carried on by all or any one of them acting for all.	A club is an association of persons formed with the object not of earning profit, but of promoting some beneficial purposes such as improvement of health or providing recreation for the members, etc.
Relationship	Persons forming a partnership are called partners and a partner is an agent for other partners.	Persons forming a club are called members. A member of a club is not the agent of other members.
Interest in the property	Partner has interest in the property of the firm.	A member of a club has no interest in the property of the club.
Dissolution	A change in the partners of the firm affect its existence.	A change in the membership of a club does not affect its existence.

Basis of Difference	Partnership	Joint Hindu Family
Mode of creation	Partnership is created necessarily by an agreement.	The right in the joint family is created by status means its creation by birth in the family.
Death of a member	Death of a partner ordinarily leads to the dissolution of partnership.	The death of a member in the Hindu undivided family does not give rise to dissolution of the family business.
Management	All the partners are equally entitled to take part in the partnership business.	The right of management of joint family business generally vests in the Karta, the governing male member or female member of the family.1
Authority to bind	Every partner can, by his act, bind the firm.	The Karta or the manager, has the authority to contract for the family business and the other members in the family.
Liability	In a partnership, the liability of a partner is unlimited.	In a Hindu undivided family, only the liability of the Karta is unlimited, and the other coparcener are liable only to the extent of their share in the profits of the family business.
Calling for accounts on closure	A partner can bring a suit against the firm for accounts, provided he also seeks the dissolution of the firm.	On the separation of the joint family, a member is not entitled to ask for account of the family business.
Governing Law	A partnership is governed by the Indian Partnership Act, 1932.	A Joint Hindu Family business is governed by the Hindu Law.

Minor's capacity	In a partnership, a minor cannot become a partner, though he can be admitted to the benefits of partnership, only with the consent of all the partners.	In Hindu undivided family business, a minor becomes a member of the ancestral business by the incidence of birth. He does not have to wait for attaining majority.
Continuity	A firm subject to a contract between the partners gets dissolved by death or insolvency of a partner.	A Joint Hindu family has the continuity till it is divided. The status of Joint Hindu family is not thereby affected by the death of a member.
Number of Members	In case of Partnership number of members should not exceed 50.	Members of HUF who carry on a business may be unlimited in number.
Share in the business	In a partnership, each partner has a defined share by virtue of an agreement between the partners.	In a HUF, no coparceners has a definite share. His interest is a fluctuating one. It is capable of being enlarged by deaths in the family diminished by births in the family.

Joint Hindu Family: The amendment in the Hindu Succession Act, 2005, entitled all adult members-Hindu males and females to become coparceners in HUF. They now enjoy equal rights of inheritance due to this amendment. On 1st February 2016, Justice Najmi Waziri gave a landmark judgement which allowed the eldest female coparceners of an HUF to become its Karta.

Basis of difference	Partnership	Co-ownership
Formation	Partnership always arises out of a contract, express or implied.	Co-ownership may arise either from agreement or by the operation of law, such as by inheritance.
Implied agency	A partner is the agent of the other partners.	A co-owner is not the agent of other co-owners.
Nature of interest	There is community of interest which means that profits and losses must have to be shared.	Co-ownership does not necessarily involve sharing of profits and losses.
Transfer of interest	A share in the partnership is transferred only by the consent of other partners.	A co - owner may transfer his interest or rights in the property without the consent of other co-owners.

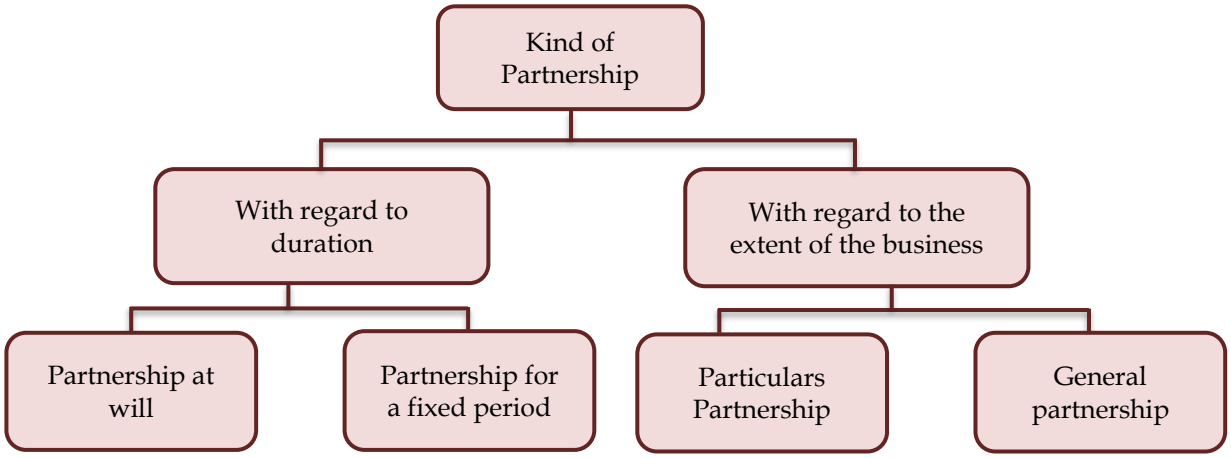
Basis of difference	Partnership	Association
Meaning	Partnership means and involves setting up relation of agency between two or more persons who have entered into a business for gains, with the intention to share the profits of such a business.	Association evolves out of social cause where there is no necessarily motive to earn and share profits. The intention is not to enter in a business for gains.
Examples	Partnership to run a business and earn profit thereon.	Members of charitable society or religious association or an improvement scheme or building corporation or a mutual insurance society or a trade protection association.

THEORY QUESTIONS

Question 1: **(RTP- May 18)**

State the differences between Partnership and Hindu Undivided Family.

1.5 KINDS OF PARTNERSHIPS – Section 7



The various kinds of partnership are discussed below:

1. Partnership at will is a partnership when:

- no fixed period has been agreed upon for the duration of the partnership; and
- there is no provision made as to the determination of the partnership.

Where a partnership entered into for a fixed term is continued after the expiry of such term, it is to be treated as having become a partnership at will.

A partnership at will may be dissolved by any partner by giving notice in writing to all the other partners of his intention to dissolve the same.

2. Partnership for a fixed period:

Where a provision is made by a contract for the duration of the partnership, the partnership is called 'partnership for a fixed period'.

It is a partnership created for a particular period of time.

Such a partnership comes to an end on the expiry of the fixed period.

3. Particular Partnership:

A partnership may be organized for the prosecution of a single adventure as well as for the conduct of a continuous business.

Where a person becomes a partner with another person in any particular adventure or undertaking the partnership is called 'particular partnership'.

A partnership, constituted for a single adventure or undertaking is, subject to any agreement, dissolved by the completion of the adventure or undertaking.

4. General partnership:

Where a partnership is constituted with respect to the business in general, it is called a general partnership.

In the case of a particular partnership, the liability of the partners extends only to that particular adventure or undertaking, but it is not so in the case of general partnership.

THEORY QUESTION

Question 1: **(RTP- May 20)**

Explain the following kinds of partnership under the Indian Partnership Act, 1932:

(i) Partnership at will

(ii) Particular partnership

Question 2: **(PEQ - Nov.20-2Marks)**

What do you mean by 'Partnership at will' as per the Indian Partnership Act, 1932?

Question 3: **(PEQ - Jan.21- 2 Marks)**

What do you mean by "Particular Partnership" under the Indian Partnership Act, 1932?

1.6 PARTNERSHIP DEED

- Partnership is the result of an agreement.
- It may be in writing or formed verbally.
- But it is desirable to have the partnership agreement in writing to avoid future disputes.
- The document in writing containing the various terms and conditions as to the relationship of the partners to each other is called the 'partnership deed'.
- It should be drafted with care and be stamped according to the provisions of the Stamp Act, 1899.
- Where the partnership comprises immovable property, the instrument of partnership must be in writing, stamped and registered under the Registration Act.

Partnership deed may contain the following information:-

1. Name of the partnership firm.
2. Names of all the partners.
3. Nature and place of the business of the firm.
4. Date of commencement of partnership.
5. Duration of the partnership firm.
6. Capital contribution of each partner.
7. Profit Sharing ratio of the partners.
8. Admission and Retirement of a partner.
9. Rates of interest on Capital, Drawings and loans.
10. Provisions for settlement of accounts in the case of dissolution of the firm.
11. Provisions for Salaries or commissions, payable to the partners, if any.
12. Provisions for expulsion of a partner in case of gross breach of duty or fraud.

A partnership firm may add or delete any provision according to the needs of the firm.

THEORY QUESTION

Question 1: **(SM)**

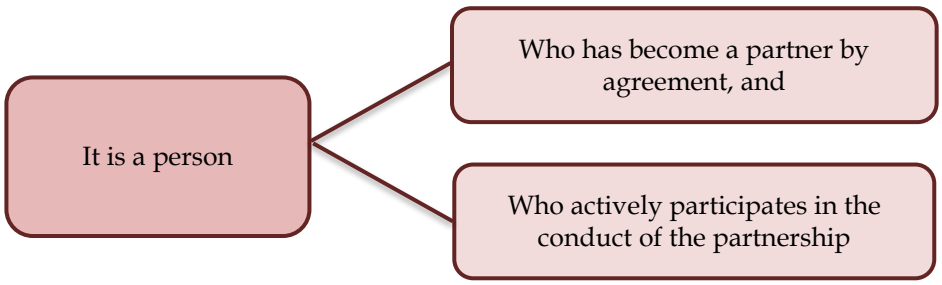
Ms. Lucy while drafting partnership deed taken care of few important points. What are those points? She want to know the list of information which must be part of partnership deed drafted by her. Also, give list of information to be included in partnership deed?

Question 2: **(MTP-June 19-4 Marks)**

What is Partnership Deed and state the information contained therein?

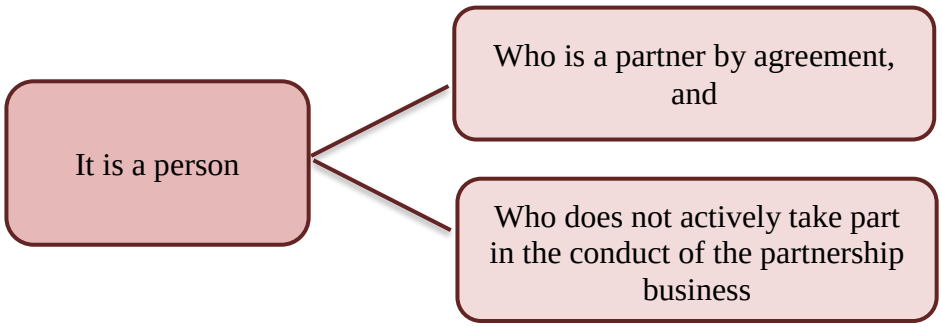
1.7 TYPES OF PARTNERS

1. Active or Actual or Ostensible partner:



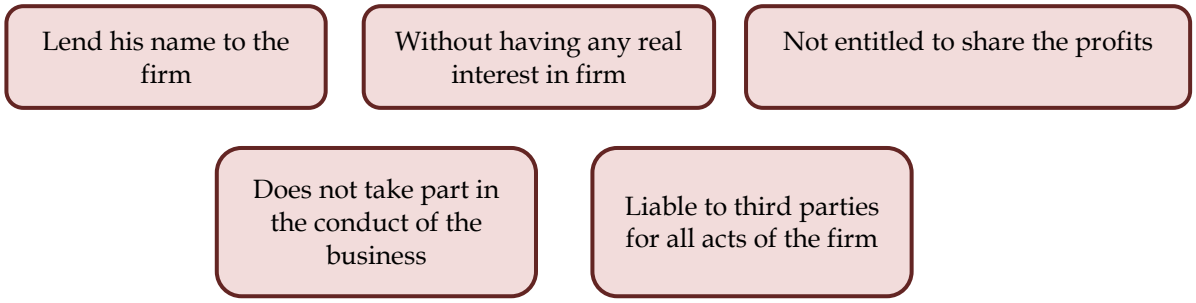
- He acts as an agent of other partners for all acts done in the ordinary course of business.
- In the event of his retirement, he must give a public notice in order to absolve himself of liabilities for acts of other partners done after his retirement.

2. Sleeping or Dormant Partner:



- They share profits and losses.
- They are liable to the third parties for all acts of the firm.
- They are, however not required to give public notice of their retirement from the firm.

3. Nominal Partner:



- A person who lends his name to the firm,
- without having any real interest in it, is called a nominal partner.
- He is not entitled to share the profits of the firm.
- Neither he invest in the firm
- nor takes part in the conduct of the business.
- He is, however liable to third parties for all acts of the firm.

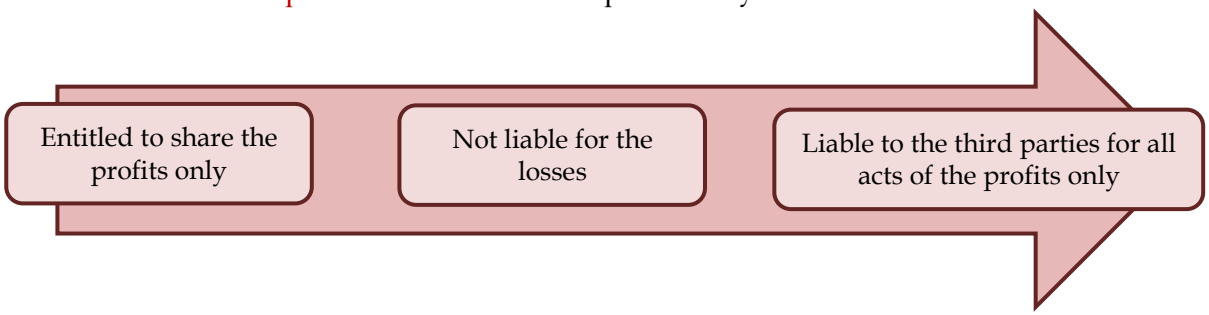
THEORY QUESTION

Question 1: **(PEQ - Jan.21- 2 Marks)**

Who is a nominal partner under the Indian Partnership Act, 1932? What are his liabilities?

4. Partner in profits only:

- A partner who is entitled to share the profits only without being liable for the losses is known as the partner for profits only and
- also liable to the third parties for all acts of the profits only.



5. Incoming partners:

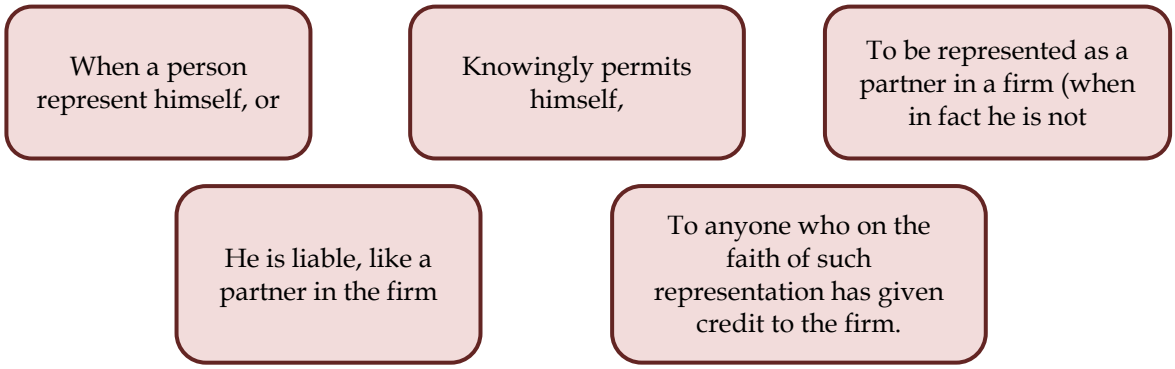
- A person who is admitted as a partner into an already existing firm with the consent of all the existing partners is called as "incoming partner".
- Such a partner is not liable for any act of the firm done before his admission as a partner.

6. Outgoing partner:

- A partner who leaves a firm in which the rest of the partners continue to carry on business is called a retiring or outgoing partner.
- Such a partner remains liable to third parties for all acts of the firm until public notice is given of his retirement.

7. Partner by holding out (Section 28):

- Partnership by holding out is also known as partnership by estoppel.
- Where a man holds himself out as a partner.
- Allows others to do it,
- he is then stopped from denying the character he has assumed.
- Upon the faith of which creditors may be presumed to have acted.



A person may himself, by his words or conduct have induced others to believe that he is a partner or he may have allowed others to represent him as a partner. The result in both the cases is identical.

Example

4: X and Y are partners in a partnership firm. X introduced A, a manager, as his partner to Z. A remained silent. Z, a trader believing A as partner supplied 100 T.V sets to the firm on credit. After expiry of credit period, Z did not get amount of T.V sets sold to the partnership firm. Z filed a suit against X and A for the recovery of price. Here, in the given case, A, the Manager is also liable for the price because he becomes a partner by holding out (Section 28, Indian Partnership Act, 1932).

It is only the person to whom the representation has been made and who has acted thereon that has right to enforce liability arising out of 'holding out'.

The rule given in Section 28 is also applicable to a former partner who has retired from the firm without giving proper public notice of his retirement. In such cases a person who, even subsequent to the retirement, give credit to the firm on the belief that he was a partner, will be entitled to hold him liable.

Example

5: A partnership firm consisting of P, Q, R and S. S retires from the firm without giving public notice and his name continues to be used on letterheads. Here, S is liable as a partner by holding out to creditors who have lent on the faith of his being a partner.

THEORY QUESTION

Question 1: **(RTP- Nov 20)**

Explain the provisions of the Indian Partnership Act, 1932 relating to the creation of Partnership by holding out.

Question 2: **(PEQ-JAN.25-4 Marks)**

Explain the following terms under the Indian Partnership Act, 1932:

(1) Partner by holding out

(2) Nominal Partner

CASE BASED QUESTION

Question 1: **(SM)**

Mr. XU and Mr. YU are partners in a partnership firm. Mr. XU introduced MU (an employee) as his partner to ZU. MU remained silent. ZU, a trader believing MU as partner supplied 50 Laptops to the firm on credit. After expiry of credit period, ZU did not get amount of Laptop sold to the partnership firm. ZU filed a suit against XU and MU for the recovery of price. Does MU is liable for such purpose?

Answer:

As per Section 28 of Indian Partnership Act, 1932, Partnership by holding out is also known as partnership by estoppel. Where a man holds` himself out as a partner, or allows others to do it, he is then stopped from denying the character he has assumed and upon the faith of which creditors may be presumed to have acted. A person may himself, by his words or conduct have induced others to believe that he is a partner or he may have allowed others to represent him as a partner. The result in both the cases is identical.

In the given case, MU (the Manager) is also liable for the price because he becomes a partner by holding out as per Section 28 of Indian Partnership Act, 1932.

Question 2: **(MTP-Nov.18 &19, RTP- Nov 19 - 4 Marks)**

X and Y are partners in a partnership firm. X introduced A, a manager, as his partner to Z. A remained silent. Z, a trader believing A as partner supplied 100 T.V sets to the firm on credit. After expiry of credit period, Z did not get amount of price. State as per the partnership firm. Z filed a suit against X and A for the recovery of price. State as per the provisions of Indian Partnership Act, 1932 whether Z succeed?

Answer:

Partner by holding out (Section 28):

- Partnership by holding out is also known as partnership by estoppel.
- Where a man holds himself out as a partner, or allows others to do it, he is then stopped from denying the character he has assumed and upon the faith of which creditors may be presumed to have acted.
- A person may himself, by his words or conduct have induced others to believe that he is a partner or he may have allowed others to represent him as a partner. The result in both the cases is identical.

Here, in the given case, A, the Manager is also liable for the price because he becomes a partner by holding out (Section 28, Indian Partnership Act, 1932).

MULTIPLE CHOICE QUESTIONS

1. The term 'Partnership' has been defined under _____ of the Partnership Act, 1932:
   (a) Section 3 (b) Section 4 (c) Section 5 (d) Section 6

2. A partnership for which no period or duration is fixed under the Indian Partnership Act is known as:
   (a) Unlimited partnership (b) Co-ownership
   (c) Particular partnership (d) Partnership at will

3. The most important elements in partnership is:
   (a) Business (b) Sharing of profits
   (c) Agreement (d) Business to be carried on by all or any of them acting for all.

4. A firm is the name of:
   (a) The partners
   (b) The minors in the firm
   (c) The business under which the firm carries on business
   (d) The collective name under which it carries on business

5. A partnership formed for the purpose of carrying on particular venture or undertaking is known as:
   (a) Limited partnership (b) Special partnership
   (c) Joint venture (d) Particular partnership

6. In the absence of agreement to the contrary all partners are:
   (a) Not entitled to share profits (b) Entitled to share in capital ratio
   (c) Entitled to share in proportion to their ages (d) Entitled to share profits equally

7. A partnership at will is one:
   (a) Which does not have any deed
   (b) Which does not have any partner
   (c) Which does not provide for how long the business will continue
   (d) Which cannot be dissolved.

8. What among the following is not an essential element of partnership:
   (a) There must be an agreement entered into by all the persons concerned
   (b) The agreement must be to share the profits of a business
   (c) The business must start within six months from the date of agreement
   (d) The business must be carried on by all or any one of them acting for all.

9. Partnership is a relationship, which arises from:
   (a) Operation of law (b) An agreement
   (c) Status (d) Almighty

10. Which is not a characteristics of partnership firms?
    (a) Perpetual succession (b) Unlimited liability of partners
    (c) Mutual agency (d) Sharing of profits of business

11. Select the odd one out of the available options for the entitlement of "Partners in profits only":
    (a) He is entitled to share the profits only.
    (b) He is liable for the losses of the firm.
    (c) He is not liable for the losses of the firm.
    (d) He is liable to the third parties for all acts of the profits only.

12. Mr. Pawan is nominal partner in the partnership firm so he:
(a) is not entitled to share the profits.
(b) is entitled to share the profits.
(c) can take part in the conduct of business.
(d) Is not liable to third parties for all acts of the firm.

13. When partnership entered into for a fixed term is continued after the expiry of such term, it is to be treated as having become a:
(a) Partnership for a fixed period. (b) Particular partnership
(c) Partnership at will. (d) General partnership.

14. Mr. Samarth retires from the partnership firm without giving public notice and his name continues to be used on letterhead of the firm. Mr. Samarth is in the case of repayment of loan to creditors.
(a) liable as a partner. (b) not liable as a partner.
(c) responsible. (d) liable as a retiring partner.

15. The "dormant partner" of the firm is:
(a) not required to give notice of his retirement. (b) required to give notice of his retirement
(c) not liable to the third parties for all act of the firm. (d) does not share profits and losses.

Answers to MCQs

1.	(b)	2.	(d)	3.	(d)	4.	(d)	5.	(d)
6.	(d)	7.	(c)	8.	(c)	9.	(b)	10.	(a)
11.	(b)	12.	(a)	13.	(c)	14.	(a)	15.	(a)

THE INDIAN PARTNERSHIP ACT, 1932

Unit 2 : RELATIONS OF PARTNER

Section Overview:

Section :9	General duties of partners
Section :10	Indemnification for fraud
Section :11	Mutual rights and duties
Section :12	Routine rights & duties of partners
Section :13	Mutual liabilities (profits/losses/interest)
Section :14	Property of the firm
Section :15	Use of firm property
Section :16	Personal profits must be accounted
Section :17	Change in firm constitution
Section :18	Partner acts as agent of firm
Section :19	Implied authority
Section :20	Extension/restriction of authority
Section :21	Authority in emergency
Section :22	Acts binding the firm
Section :23	Firm liability for partner acts
Section :24	Authority related to immovable property
Section :25	Joint & several liability
Section :26	Liability for wrongful acts
Section :27	Misapplication of money/property
Section :29	Transfer of partner's interest
Section :30	Minor admitted to benefits
Section :31	New partner admission
Section :32	Retirement of partner
Section :33	Expulsion of partner
Section :34	Partner insolvency
Section :35	Effect of death of partner
Section :36	Rights of outgoing partner
Section :37	Share in profits after retirement
Section :38	Revocation of continuing guarantee

2.1 RELATION OF PARTNERS TO ONE ANOTHER- Section 9-13

1. SECTION 9:- GENERAL DUTIES OF PARTNERS

- Partners are bound to carry on the business of the firm to the greatest common advantage,
- to be just and faithful to each other, and
- to render true accounts and full information of all things affecting the firm to any partner or his legal representative.

Example

1: In a transaction between partners for the sale and purchase of a share in the business if one of them is better acquainted with the accounts than the other it is his duty to disclose all material facts.

2. SECTION 10:- DUTY TO INDEMNIFY FOR LOSS CAUSED BY FRAUD

- Every partner shall indemnify the firm for any loss caused to it by his fraud in the conduct of the business of the firm.

3. SECTION 11:- DETERMINATION OF RIGHTS AND DUTIES OF PARTNERS BY CONTRACT BETWEEN THE PARTNERS

(1) Subject to the provisions of this Act,

- The mutual rights and duties of the partners of a firm may be determined by contract between the partners, Such contract may be express or may be implied by a course of dealing.
- Such contract may be varied by consent of all the partners, and such consent may be express or may be implied by a course of dealing.

(2) Agreements in restraint of trade-

- Notwithstanding anything contained in Section 27 of the Indian Contract Act, 1872,
- such contracts may provide that a partner shall not carry on any business other than that of the firm while he is a partner.

4. SECTION 12:- THE CONDUCT OF THE BUSINESS

Subject to contract between the partners-

(a) every partner has a right to take part in the conduct of the business;
(b) every partner is bound to attend diligently to his duties in the conduct of the business;
(c) any difference arising as to ordinary matters connected with the business may be decided by majority of the partners, and every partner shall have the right to express his opinion before the matter is decided, but no change may be made in the nature of the business without the consent of all partners; and
(d) every partner has a right to have access to and to inspect and copy any of the books of the firm.
(e) in the event of the death of a partner, his heirs or legal representatives or their duly authorised agents shall have a right of access to and to inspect and copy any of the books of the firm.

Analysis of Section 12

(i) Section 12(a) :- Right to take part in the conduct of the Business

- Every partner has the right to take part in the business of the firm.
- This is because partnership business is a business of the partners and their management powers are generally co-extensive.

Example

2: Now suppose this management power of the particular partner is interfered with and he has been wrongfully precluded from participating therein. Can the Court interfere in these circumstances?
The answer is in the affirmative. The Court can, and will, by injunction, restrain other partners from doing so.
It may be noted in this connection that a partner who has been wrongfully deprived of the right of participation in the management has also other remedies, e.g., a suit for dissolution, a suit for accounts without seeking dissolution, etc.
The above mentioned provisions of law will be applicable only if there is no contract to the contrary between the partners.
It is quite common to find a term in partnership agreements, which gives only limited power of management to a partner or a term that the management of the partnership will remain with one or more of the partners to the exclusion of others. In such a case, the Court will normally be unwilling to interpose with the management with such partner or partners, unless it is clearly made out that something was done illegally or in breach of the trust reposed in such partners.

(ii) Section 12(c):- Right to be consulted

- Where any difference arises between the partners with regard to the business of the firm, it shall be determined by the views of the majority of them,
- Every partner shall have the right to express his opinion before the matter is decided.
- No change in the nature of the business of the firm can be made without the consent of all the partners.
- This means that in routine matters, the opinion of the majority of the partners will prevail of course, the majority must act in good faith and every partner must be consulted as far as practicable.
- The aforesaid majority rule will not apply where there is a change in the nature of the firm itself. In such a case, the unanimous consent of the partners is needed.

(iii) Section 12 (d):- Right of access to books

- Every partner whether active or sleeping is entitled to have access to any of the books of the firm and to inspect and take out of copy thereof.
- The right must, however, be exercised bona fide.

(iv) Section 12(e):- Right of legal heirs/ representatives/ their duly authorised agents:

- In the event of the death of a partner, his heirs or legal representatives or their duly authorised agents shall have a right of access to and to inspect and copy any of the books of the firm.

5. SECTION 13:- MUTUAL RIGHTS AND LIABILITIES

Subject to contract between the partners-

(a) a partner is not entitled to receive remuneration for taking part in the conduct of the business;

(b) the partners are entitled to share equally in the profits earned, and shall contribute equally to the losses sustained by the firm;

(c) where a partner is entitled to interest on the capital subscribed by him such interest shall be payable only out of profits;

(d) a partner making, for the purposes of the business, any payment or advance beyond the amount of capital he has agreed to subscribe, is entitled to interest thereon 6% p.a.

(e) the firm shall indemnify a partner in respect of payments made and liabilities incurred by him-

  (i) in the ordinary and proper conduct of the business, and

  (ii) in doing such act, in an emergency, for the purposes of protecting the firm from loss, as would be done by a person of ordinary prudence, in his own case, under similar circumstances;

(f) a partner shall indemnify the firm for any loss caused to it by his willful neglect in the conduct of business of the firm.

Analysis of Section 13

(i) Section 13(a):- Right to remuneration

- No partner is entitled to receive any remuneration in addition to his share in the profits of the firm for taking part in the business of the firm.
- But this rule can always be varied by an express agreement, or by a course of dealings, in which event the partner will be entitled to remuneration.

(ii) Section 13 (b):- Right to share Profits

- Partners are entitled to share equally in the profits earned and so contribute equally to the losses sustained by the firm.
- The amount of a partner's share must be ascertained by enquiring whether there is any agreement in that behalf between the partners.
- If there is no agreement then you should make a presumption of equality and the burden of proving that the shares are unequal, will lie on the party alleging the same.
- There is no connection between the proportion in which the partners shall share the profits and the proportion in which they have contributed towards the capital of the firm.

(iii) Section 13 (c):- Interest on Capital

- The following elements must be there before a partner can be entitled to interest on moneys brought by him in the partnership business:
  (i) an express agreement to that effect, or practice of the particular partnership or
  (ii) any trade custom to that effect; or
  (iii) a statutory provision which entitles him to such interest.

(iv) Section 13 (d):- Interest on advances

- Suppose a partner makes an advance to the firm in addition to the amount of capital to be contributed by him, in such a case, the partner is entitled to claim interest thereon @ 6% per annum.
- While interest on capital account ceases to run on dissolution, the interest on advances keep running even after dissolution and up to the date of payment.

(v) Section 13 (e):- Right to be indemnified

- Every partner has the right to be indemnified by the firm in respect of
- Payments made and liabilities incurred by him in the ordinary and proper conduct of the business of the firm as well as in the performance of an act in an emergency for protecting the firm from any loss,
- If the payments, liability and act are such as a prudent man would make, incur or perform in his own case, under similar circumstances.

(vi) Section 13 (f):- Right to indemnify the firm

- A partner must indemnify the firm for any loss caused to it by wilful neglect in the conduct of the business of the firm.

THEORY QUESTIONS

Question 1: **(PEQ-JAN-26-4 Marks)**

Describe any four mutual rights and liabilities of partners in a partnership firm with reference to the provisions of the Indian Partnership Act, 1932.

2.2 PARTNERSHIP PROPERTY - Section 14 & 15

1. SECTION 14:- THE PROPERTY OF THE FIRM

Subject to contract between the partners,

- the property of the firm includes
- all property and rights and interest in property originally brought into the stock of the firm, or
- acquired by purchase or otherwise, by or for the firm, or
- for the purposes and in the course of the business of the firm, and
- includes also the goodwill of the business.

Analysis of Section 14

- Unless the contrary intention appears, property and rights and interests in property acquired with money belonging to the firm are deemed to have been acquired for the firm.
- Thus, the mere fact that the property of a partner is being used for the purposes of the firm shall not by itself make it partnership property, unless it is intended to be treated as such.

Goodwill:

- Section 14 specifically lays down that the goodwill of a business is subject to a contract between the partners, to be regarded as 'property' of the 'firm'. But this Section does not define the term Goodwill.
- Goodwill may be defined as the value of the reputation of a business house in respect of profits expected in future over and above the normal level of profits earned by undertaking belonging to the same class of business.
- When a partnership firm is dissolved every partner has a right, in the absence of any agreement to the contrary, to have the goodwill of business sold for the benefit of all the partners.
- Any partner may upon the sale of the goodwill of a firm, make an agreement with the buyer that such partner will not carry on any business similar to that of the firm within a specified period or within specified local limits and notwithstanding anything contained in Section 27 of the Indian Contract Act, 1872. Such agreement shall be valid if the restrictions imposed are reasonable.

Property of a partner:

Where the property is exclusively belonging to a person, it does not become a property of the partnership merely because it is used for the business of the partnership, such property will become property of the partnership if there is an agreement.

2. SECTION 15:- APPLICATION OF THE PROPERTY OF THE FIRM

Subject to contract between the partners,

- the property of the firm shall be held and used by the partners exclusively for the purposes of the business.

THEORY QUESTIONS

Question 1: **(PEQ- Nov-19 -2 Marks)**

What do you mean by Goodwill as per the provisions of Indian Partnership Act, 1932?

Answer:

Goodwill: The term "Goodwill" has not been defined under the Indian Partnership Act, 1932. Section 14 of the Act lays down that goodwill of a business is to be regarded as a property of the firm.

Goodwill may be defined as the value of the reputation of a business house in respect of profits expected in future over and above the normal level of profits earned by undertaking belonging to the same class of business.

2.3 PERSONAL PROFIT EARNED BY PARTNERS – Section 16

Subject to contract between the partners,-

(a)
- If a partner derives any profit for himself from any transaction of the firm, or
- from the use of the property or business connection of the firm or the firm name,
- he shall account for that profit and pay it to the firm;

Example

3: A, B, C & D established partnership business for refining sugar. A, who was himself a wholesale grocer, was entrusted with the work of selection and purchase of sugar. As a wholesale grocer, A was well aware of the variations in the sugar market and had the suitable sense of propriety as regards purchases of sugar. He had already in stock sugar purchased at a low price which he sold to the firm when it was in need of some, without informing the partners that the sugar sold had belonged to him. It was held that A was bound to account to the firm for the profit so made by him. This rule, however, is subject to a contract between partners.

(b)
- If a partner carries on any business of the same nature as and competing with that of the firm,
- he shall account for and pay to the firm all profits made by him in that business.

Example

4: A, B, C and D started a business in partnership for importing salt from foreign ports and selling it at Chittagong. A struck certain transactions in salt on his own account, which were found to be of the same nature as the business carried on by the partnership. It was held that A was liable to account to the firm for profits of the business so made by him. This rule is also subject to a contract between the partners.

2.4 RIGHTS AND DUTIES OF PARTNERS AFTER A CHANGE IN THE FIRM – Section 17

- Where a new partner or partners come in
- Where some partner of partners go out, i.e., by death or retirement
- Where the partnership concerned carries on business other than the business for which it was originally formed
- Where the partnership business is carried on after the expiry of the term fixed for the purpose.

Subject to contract between the partners-

(a) after a change in the firm: Where a change occurs in the constitution of a firm, the mutual rights and duties of the partners in the reconstituted firm remain the same as they were immediately before the change, as far as may be;

(b) after the expiry of the term of the firm: Where a firm constituted for a fixed term continues to carry on business after the expiry of that term, the mutual rights and duties of the partners remain the same as they were before the expiry, so far as they may be consistent with the incidents of partnership at will; and

(c) where additional undertakings are carried out: where a firm constituted to carry out one or more adventures or undertakings carries out other adventures or undertakings are the same as those in respect of the original adventures or undertakings.

2.5 RELATION OF PARTNERS TO THIRD PARTIES- Section 18-22

1. SECTION 18:- PARTNER TO BE AGENT OF THE FIRM

Subject to the provisions of this Act,

- a partner is the agent of the firm for the purposes of the business of the firm.

Analysis of Section 18

- a partnership is the relationship between the partners who have agreed to share the profits of the business carried on by all or any of them acting for all (Sec. 4).
- The partner indeed virtually embraces the character of both a principal and an agent.
- So far as he acts for himself and in his own interest in the common concern of the partnership, he may properly be deemed a principal and
- so far as he acts for his partners, he may properly be deemed as an agent.
- The principal distinction between him and a mere agent is that he has a community of interest with other partners in the whole property and business and liabilities of partnership, whereas an agent as such has no interest in either.
- The rule that a partner is the agent of the firm for the purpose of the business of the firm cannot be applied to all transactions and dealings between the partners themselves. It is applicable only to the act done by partners for the purpose of the business of the firm.

THEORY QUESTIONS

Question 1: **(RTP- May-20)**

"Partner indeed virtually embraces the character of both a principal and an agent". Describe the said statement keeping in view of the provisions of the Indian Partnership Act, 1932.

2. SECTION 19:- IMPLIED AUTHORITY OF PARTNER AS AGENT OF THE FIRM

(1) Subject to the provisions of section 22,

- the act of a partner which is done to carry on, in the usual way, business of the kind carried on by the firm,
- binds the firm.
- The authority of a partner to bind the firm conferred by this section is called his "implied authority".

(2) In the absence of any usage or custom of trade to the contrary, the implied authority of a partner does not empower him to-

(a) Submit a dispute relating to the business of the firm to arbitration;
(b) open a banking account on behalf of the firm in his own name;
(c) compromise or relinquish any claim or portion of a claim by the firm;
(d) withdraw a suit or proceedings filed on behalf of the firm;
(e) admit any liability in a suit or proceedings against the firm;
(f) acquire immovable property on behalf of the firm;
(g) transfer immovable property belonging to the firm; and
(h) enter into partnership on behalf of the firm.

THEORY QUESTIONS

Question 1: **(MTP-June 19-6 Marks)**

In the absence of any usage or custom of trade to the contrary, the implied authority of a partner does not empower him to do certain acts. State the acts which are beyond the implied authority of a partner under the provisions of the Indian Partnership Act, 1932?

Question 2: **(PEQ - July-21-6 Marks)**

Define Implied Authority. In the absence of any usage or custom of trade to the contrary, the implied authority of a partner does not empower him to do certain acts. State the acts which are beyond the implied authority of a partner under the provisions of the Indian Partnership Act, 1932?

Question 3: **(PEQ-MAY-25-7 Marks)**

"The partner indeed virtually embraces the character of both a principal and an agent. The implied authority of a partner to bind the firm by all acts done by him in all matters connected with business is done in the usual way, not beyond the nature and scope of Partnership." Explain with reference to provisions of the Indian Partnership Act, 1932.

Answer :

The partner indeed virtually embraces the character of both a principal and an agent.

As per Section 18 of the Indian Partnership Act, 1932, a partner is the agent of the firm for the purpose of the business of the firm. So as far as he acts for himself and in his own interest in the common concern of the partnership, he may properly be deemed a principal and so far as he acts for his partners, he may properly be deemed as an agent.

The principal distinction between him and a mere agent is that he has a community of interest with other partners in the whole property and business and liabilities of partnership, whereas an agent as such has no interest in either.

The implied authority of a partner to bind the firm by all acts done by him in all matters connected with business is done in the usual way, not beyond the nature and scope of partnership.

Sections 19(1) and 22 deal with the implied authority of a partner. The impact of these Sections is that the act of a partner which is done to carry on, in the usual way, business of the kind carried on by the firm binds the firm, provided that the act is done in the firm name, or any manner expressing or implying an intention to bind the firm. Such an authority of a partner to bind the firm is called his implied authority. It is however subject to the following restrictions:

1. The act done must relate to the usual business of the firm, that is, the act done by the partner must be within the scope of his authority and related to the normal business of the firm.
2. The act is such as is done for normal conduct of business of the firm. The usual way of carrying on the business will depend on the nature and circumstances of each particular case.
3. The act to be done in the name of the firm or in any other manner expressing or implying an intention to bind the firm.

Thus, a partner has implied authority to bind the firm by all acts done by him in all matters connected with the partnership business and which are done in the usual way and are not in their nature beyond the scope of partnership.

SECTION 22:- MODE OF DOING ACT TO BIND FIRM

In order to bind a firm, an act or instrument done or executed by a partner or other person on behalf of the firm shall be done or executed in the firm name, or in any other manner expressing or implying an intention to bind the firm.

Example

5: X, a partner in a firm of solicitors, borrows money and executes a promissory note in the name of firm without authority. The other partners are not liable on the note, as it is not part of the ordinary business of a solicitor to draw, accept, or endorse negotiable instruments; however it may be usual for one partner of firm of bankers to draw, accept or endorse a bill of exchange on behalf of the firm.

If partnership be of a general commercial nature,
(i) he may pledge or sell the partnership property;
(ii) he may buy goods on account of the partnership;
(iii) he may borrow money, contract debts and pay debts on account of the partnership;
(iv) he may draw, make, sign, endorse, transfer, negotiate and procure to be discounted, Promissory notes, bills of exchange, cheques and other negotiable papers in the name and on account of the partnership.

CASE BASED QUESTION

Question 1: **(MTP-June 19-4 Marks)**

A, B and C are partners in a firm called ABC Firm. A, with the intention of deceiving D, a Supplier of office stationery, buys certain stationery on behalf of the ABC Firm. The stationery is of use in the ordinary course of the firm's business. A does not give the stationery to the firm, instead brings it to his own use. The supplier D, who is unaware of the private use of stationery by A, claims the price from the firm. The firm refuses to pay for the price, on the ground that the stationery was never received by it (firm). Referring to the provisions of the Indian Partnership Act, 1932 decide:

(i) Whether the Firm's contention shall be tenable?

(ii) What would be your answer if a part of the stationery so purchased by A was delivered to the firm by him, and the rest of the stationery was used by him for private use, about which neither the firm nor the supplier D was aware?

Answer:

The problem in the question is based on the 'Implied Authority' of a partner provided in Section 19 of the Indian Partnership Act, 1932. The section provides that subject to the provisions of Section 22 of the Act, the act of a partner, which is done to carry on, in the usual way, business of the kind carried on by the firm, binds the firm. The authority of a partner to bind the firm conferred by this section is called his 'Implied Authority' [Sub-Section (1) of section 19]. Furthermore, every partner is in contemplation of law the general and accredited agent of the partnership and may consequently bind all the other partners by his acts in all matters which are within the scope and object of the partnership. Hence, if the partnership is of a general commercial nature, he may buy goods on account of the partnership.

Considering the above provisions and explanation, the questions as asked in the problem may be answered as under:

(i) The firm's contention is not tenable, for the reason that the partner, in the usual course of the business on behalf of the firm has an implied authority to bind the firm. The firm is, therefore, liable for the price of the goods.

(ii) In the second case also, the answer would be the same as above, i.e. the implied authority of the partner binds the firm.

In both the cases, however, the firm ABC can take action against A, the partner but it has to pay the price of stationery to the supplier D.

3. SECTION 20:- EXTENSION AND RESTRICTION OF PARTNERS' IMPLIED AUTHORITY

- the partners in a firm may, by contract between the partners,
- extend or restrict the implied authority of any partners.
- Notwithstanding any such restriction, any act done by a partner on behalf of the firm which falls within his implied authority binds the firm,
- unless the person with whom he is dealing knows of the restriction or
- does not know or believe that partner to be a partner.

Analysis of Section 20

Under the following conditions, the restrictions imposed on the implied authority of a partner by agreement shall be effective against a third party:

1. The third party knows about the restrictions, and
2. The third party does not know that he is dealing with a partner in a firm.

Example

6: A, a partner, borrows from B Rs. 1,000 in the name of the firm but in excess of his authority, and utilizes the same in paying off the debts of the firm. Here, the fact that the firm has contracted debts suggests that it is a trading firm, and as such it is within the implied authority of A to borrow money for the business of the firm. This implied authority, as you have noticed, may be restricted by an agreement between him and other partners. Now if B, the lender, is unaware of this restriction imposed on A, the firm will be liable to repay the money to B. On the contrary, B's awareness as to this restriction will absolve the firm of its liability to repay the amount to B.

It may be noted that the above-mentioned extension or restriction is only possible with the consent of all the partners. Any one partner, or even a majority of the partners, cannot restrict or extend the implied authority.

CASE BASED QUESTION

Question 1: **(MTP-Nov-19-4 Marks, June 19 & 21-6 Marks)**

A, B, and C are partners of a partnership firm ABC & Co. The firm is a dealer in office furniture. A was in charge of purchase and sale, B was in charge of maintenance of accounts of the firm and C was in charge of handing all legal matters. Recently through an agreement among them, it was decided that A will be in charge of maintenance of accounts and B will be in charge of purchase and sale. Being ignorant about such agreement, M, a supplier supplied some furniture to A, who ultimately sold them to a third party. Referring to the provisions of the Partnership Act, 1932, advise whether M can recover money from the firm.

What will be your advice in case M was having knowledge about the agreement?

Answer :

(i) According to Section 20 of the Indian Partnership Act, 1932, the partners in a firm may, by contract between the partners, extend or restrict implied authority of any partners.

(ii) Notwithstanding any such restriction, any act done by a partner on behalf of the firm which falls within his implied authority binds the firm, unless the person with whom he is dealing knows of the restriction or does not know or believe that partner to be a partner.

(iii) The implied authority of a partner may be extended or restricted by contract between the partners. Under the following conditions, the restrictions imposed on the implied authority of a partner by agreement shall be effective against a third party:

1. The third party knows above the restrictions, and
2. The third party does not know that he is dealing with a partner in a firm.

(iv) Now referring to the case given in the question, M supplied furniture to A, who ultimately sold them to a third party and M was also ignorant about the agreement entered into by the partners about the change in their role.

Therefore, M on the basis of knowledge of implied authority of A, can recover money from the firm.

(v) But in the second situation, if M was having knowledge about the agreement, he cannot recover money from the firm.

4. SECTION 21:- PARTNER'S AUTHORITY IN AN EMERGENCY

- A partner has authority, in an emergency,
- to do all such acts for the purpose of protecting the firm from loss
- as would be done by a person of ordinary prudence, in his own case, acting under similar circumstances,
- and such acts bind the firm.

2.6 EFFECT OF ADMISSIONS BY A PARTNER- Section 23

An admission or representation made by a partner concerning the affairs of the firm is evidence against the firm, if it is made in the ordinary course of business.

Analysis of Section 23

- Partners, as agents of each other can make binding admissions but only in relation to partnership transaction and in the ordinary course of business.
- An admission or representation by a partner will not however, bind the firm if his authority on the point is limited and the other party knows of the restriction.
- The section speaks of admissions and representations being evidenced against the firm. That is to say, they will affect the firm when tendered by third parties; they may not have the same effect in case of disputes between the partners themselves.

Example

7: X and Y are partners in a firm dealing in spare parts of different brands of motorcycle bikes. Z purchases a spare part for his Yamaha motorcycle after being told by X that the spare part is suitable for his motorcycle. Y is ignorant about this transaction. The spare part proves to be unsuitable for the motorcycle and it is damaged. X and Y both are responsible to Z for his loss.

2.7 EFFECT OF NOTICE TO ACTING PARTNER- Section 24

- notice to a partner
- who habitually acts in the business of the firm of any matter
- relating to the affairs of the firm
- operates as notice to the firm,
- except in the case of a fraud on the firm committed by or with the consent of that partner.

Analysis of Section 24

- The notice to one is equivalent to the notice to the rest of the partners of the firm, just as a notice to an agent is notice to his principal.
- This notice must be actual and not constructive.
- It must be received by a working partner and not by a sleeping partner.
- It must further relate to the firm's business. Only then it would constitute a notice to the firm.

Example

8: P, Q, and R are partners in a business for purchase and sale of second hand goods. R purchases a second hand car on behalf of the firm from S. In the course of dealings with S, he comes to know that the car is a stolen one and it actually belongs to X. P and Q are ignorant about it. All the partners are liable to X, the real owner.
The only exception would lie in the case of fraud, whether active or tacit.

9: A, a partner who actively participates in the management of the business of the firm, bought for his firm, certain goods, while he knew of a particular defect in the goods. His knowledge as regards the defect, ordinarily, would be construed as the knowledge of the firm, though the other partners in fact were not aware of the defect. But because A had, in league with his seller, conspired to conceal the defect from the other partners, the rule would be inoperative and the other partners would be entitled to reject the goods, upon detection by them of the defect.

THEORY QUESTIONS

Question : **(PEQ - May-19-2 Marks)**

What is the provision related to the effect of notice to an acting partner of the firm as per the Indian Partnership Act, 1932?

2.8 LIABILITY TO THIRD PARTIES – Section 25-27

1. SECTION 25:- LIABILITY OF A PARTNER FOR ACTS OF THE FIRM

- Every partner is liable, jointly with all the other partners and also severally,
- for all acts of the firm done while he is a partner.

Analysis of Section 25

- The partners are jointly and severally responsible to third parties for all acts which come under the scope of their express or implied authority.
- This is because that all the acts done within the scope of authority are the acts done towards the business of the firm.
- The expression 'act of firm' connotes any act or omission by all the partners or by any partner or agent of the firm, which gives rise to a right enforceable by or against the firm.
- Again in order to bring a case under Section 25, it is necessary that the act of the firm, in respect of which liability is brought to be enforced against a party, must have been done while he was a partner.

Example

10: Certain persons were found to have been partners in a firm when the acts constituting an infringement of a trademark by the firm took place, it was held that they were liable for damages arising out of the alleged infringement, it being immaterial that the damages arose after the dissolution of the firm.

THEORY QUESTIONS

Question 1: **(PEQ – Jan-21- 4 Marks)**

Discuss the liability of a partner for the act of the firm and liability of firm for act of a partner to third parties as per Indian Partnership Act, 1932.

2. SECTION 26:- LIABILITY OF THE FIRM FOR WRONGFUL ACTS OF A PARTNER

- Where, by the wrongful act or omission of a partner in the ordinary course of the business of a firm, or with the authority of his partners,
- loss or injury is caused to any third party, or any penalty is incurred,
- the firm is liable therefor to the same extent as the partner.

Analysis of Section 26

The firm is liable to the same extent as the partner for any loss or injury caused to a third party by the wrongful acts of a partner, if they are done by the partner while acting:

(a) in the ordinary course of the business of the firm

(b) with the authority of the partners.

If the act in question can be regarded as authorized and as falling within either of the categories mentioned in Section 26, the fact that the method employed by the partner in doing it was unauthorized or wrongful would not affect the question.

Furthermore, all the partners in a firm are liable to a third party for loss or injury caused to him by the negligent act of a partner acting in the ordinary course of the business.

Example

11: One of the two partners in coal mine acted as a manager was guilty of personal negligence in omitting to have the shaft of the mine properly fenced. As a result thereof, an injury was caused to a workman. The other partner was also held responsible for the same.

CASE BASED QUESTION

Question 1: **(PEQ-JAN-25-7 Marks)**

P, Q and R, are partners in a construction firm, PQR Associates. P buys cement on behalf of the firm from D. The cement is used in the ordinary course of the firm's business. P uses the cement for his personal purposes. The supplier D, who is unaware of the private use of cement by P, claims the price from the firm. The firm refuses to pay for the price, on the ground that the cement was never received by it. Referring to the provisions of the Indian Partnership Act, 1932, answer the followings:

(i) Whether the Firm's contention is tenable?

(ii) What would be your answer if a part of the cement so purchased by P was delivered to the firm by him, and the rest of the cement was used by him for his private use, about which neither the firm nor the supplier were aware?

Answer:

The given question is based on the Section 18 read with sections 25 & 26 of the Indian Partnership Act, 1932. Section 18 deals with the Partner to be an agent of the firm. This means that a partner is the agent of the firm for the purpose of the business of the firm.

The partner indeed virtually holds the character of both a principal and an agent. So as far as he acts for himself and in his own interest in the common concern of the partnership, he may properly be deemed a principal and so far as he acts for his partners, he may properly be deemed as an agent.

The rule that a partner is the agent of the firm for the purpose of the business of the firm cannot be applied to all transactions and dealings between the partners themselves. It is applicable only to the act done by partners for the purpose of the business of the firm.

According to section 25, the partners are jointly and severally responsible to third parties for all acts which come under the scope of their express or implied authority. "Act of firm' connotes any act or omission by all the partners or by any partner or agent of the firm, which gives rise to a right enforceable by or against the firm.

As per section 26, the firm is liable to the same extent as the partner for any loss or injury caused to a third party by the wrongful acts of a partner, if they are done by the partner while acting:

(a) in the ordinary course of the business of the firm

(b) with the authority of the partners.

According to the facts given in the questions, P, a partner to PQR Associates, buys cement on behalf of the firm from D in the ordinary course of the firm's business. P uses the cement for his personal purposes. D, the supplier was unaware of the private use of cement by P and claims price from the firm. Firm refuses to pay the price on the ground that the cement was never received by it.

Referring to the stated provisions of the Indian Partnership Act, 1932, following are the answers:

(i) Said Section is applicable only to the act done by partners for the purpose of the business of the firm. In such case, partner act as the agent of the firm for the purpose of the business of the firm. Since in the given case, P, buys cement on behalf of the firm from D in the ordinary course of the firm's business.

Therefore, in the given case, firms' contention of refusal to pay the price on the ground that the cement was never received by it, is not tenable.

(ii) Further for commission of the wrongful act by the partner, the firm is liable to the same extent as the partner for any loss or injury caused to a third party by the wrongful acts of a partner, if they are done by the partner while acting:

(a) in the ordinary course of the business of the firm

(b) with the authority of the partners.

In the given case, part of the cement so purchased by P was delivered to the firm by him and the rest of the cement was used by him for his private use, was not known to the firm and the supplier. Since the act of the P to purchase the cement was in the ordinary course of business with the authority of

the partner, however wrongful use by the partner will make the firm liable to the same extent as the partner for loss or injury caused to D.
However, PQR Associates can take action against P, the partner.

3. SECTION 27:- LIABILITY OF FIRM FOR MISAPPLICATION BY PARTNERS

Where-

(a) a partner acting within his apparent authority receives money or property from a third party and misapplies it, or

(b) a firm in the course of its business receives money or property from a third party, and the money or property is misapplied by any of the partners while it is in the custody of the firm,

the firm is liable to make good the loss.

Analysis of Section 27

- Clause (a) covers the case where a partner acts within his authority and due to his authority as partner, he receives money or property belonging to a third party and misapplies that money or property. For this provision to the attracted, it is not necessary that the money should have actually come into the custody of the firm.
- Clause (b) would be attracted when such money or property has come into the custody of the firm and it is misapplied by any of the partners.
- The firm would be liable in both the cases.
- If receipt of money by one partner is not within the scope of his apparent authority, his receipt cannot be regarded as a receipt by the firm and the other partners will not be liable, unless the money received comes into their possession or under their control.

Example

12: A, B, and C are partners of a place for car parking. P stands his car in the parking place but A sold out the car to a stranger. For this liability, the firm is liable for the acts of A.

THEORY QUESTIONS

Question 1: **(RTP- May 21, Nov-20 -4 Marks)**

Explain in detail the circumstances which lead to liability of firm for misapplication by partners as per provisions of the Indian Partnership Act, 1932.

2.9 RIGHTS OF TRANSFEREE OF A PARTNER'S INTEREST- Section 29

(1)

- A transfer by a partner of his interest in the firm,
- either absolute or by mortgage, or by the creation by him of a charge on such interest,
- does not entitle the transferee, during the continuance of the firm,
- to interfere in the conduct of business, or to require accounts, or to inspect the books of the firm,
- but entitles the transferee only to receive the share of profits of the transferring partner, and
- the transferee shall accept the account of profits agreed to by the partners.

(2)

- If the firm is dissolved or if the transferring partner ceases to be a partner,
- the transferee is entitled as against the remaining partners to receive the share of the assets of the firm to which the transferring partner is entitled, and,
- for the purpose of ascertain that share, to an account as from the date of the dissolution.

Analysis of Section 29

A share in a partnership is transferable like any other property, but as the partnership relationship is based on mutual confidence, the assignee of a partner's interest by sale, mortgage or otherwise cannot enjoy the same rights and privileges as the original partner.

The rights of such a transferee are as follows:

(I) During the continuance of partnership, such transferee is not entitled:

(a) to interfere with the conduct of the business,

(b) to require accounts, or

(c) to inspect books of the firm.

He is only entitled to receive the share of the profits of the transferring partner and he is bound to accept the profits as agreed to by the partners, i.e., he cannot challenge the accounts.

(II) On the dissolution of the firm or on the retirement of the transferring partner, the transferee will be entitled, against the remaining partners:

(a) to receive the share of the assets of the firm to which the transferring partner was entitled, and

(b) for the purpose of ascertaining the share, he is entitled to an account as from the date of the dissolution.

- By virtue of Section 31, which we will discuss hereinafter, no person can be introduced as a partner in a firm without the consent of all the partners.
- A partner cannot by transferring his own interest, make anybody else a partner in his place, unless the other partners agree to accept that person as a partner.
- At the same time, a partner is not debarred from transferring his interest. A partner's interest in the partnership can be regarded as an existing interest and tangible property which can be assigned.

THEORY QUESTIONS

Question 1: **(SM) (MTP- Nov-18, 19 & June 19-6 Marks)**

State the modes by which a partner may transfer his interest in the firm in favour of another person under the Indian Partnership Act, 1932. What are the rights of such a transferee?

Question 2: **(PEQ-JAN-26-4 Marks)**

Describe the rights of transferee: -

(1) During the continuance of partnership.

(2) On the dissolution of the firm.

CASE BASED QUESTION

Question 1: **(PEQ - July-21-6Marks)**

Mr. M is one of the four partners in M/s XY Enterprises. He owes a sum of Rs. 6 crore to his friend Mr. Z which he is unable to pay on due time. So, he wants to sell his share in the firm to Mr. Z for settling the amount. In the light of the provisions of the Indian Partnership Act, 1932, discuss each of the following:

(i) Can Mr. M validly transfer his interest in the firm by way of sale?

(ii) What would be the rights of the transferee (Mr. Z) in case Mr. M wants to retire from the firm after a period of 6 months from the date of transfer?

Answer:

According to Section 29 of the Indian Partnership Act, 1932,

(1) A transfer by a partner of his interest in the firm, either absolute or by mortgage, or by the creation by him of a charge on such interest, does not entitle the transferee, during the continuance of the firm, to interfere in the conduct of business, or to require accounts, or to inspect the books of the firm, but

entitles the transferee only to receive the share of profits of the transferring partner, and the transferee shall accept the account of profits agreed to by the partners.

(2) If the firm is dissolved or if the transferring partner ceases to be a partner, the transferee is entitled as against the remaining partners to receive the share of the assets of the firm to which the transferring partner is entitled, and, for the purpose of ascertaining that share, to an account as from the date of the dissolution.

In the light of facts of the question and provision of law:

(i) Yes, Mr. M can validly transfer his interest in the firm by way of sale.

(ii) On the retirement of the transferring partner (Mr. M), the transferee (Mr. Z) will be entitled, against the remaining partners:

(a) to receive the share of the assets of the firm to which the transferring partner was entitled, and

(b) for the purpose of ascertaining the share, he is entitled to an account as from the date of the dissolution.

So, in this case on Mr. M's retirement, Mr. Z would be entitled to receive the value of Mr. M's share to the extent of Rs. 6 crore in the firm's assets.

Question 2: **(SM) (RTP- May 21)**

Mr. A (transferor) transfer his share in a partnership firm to Mr. B (transferee). Mr. B is not entitled for few rights and privileges as Mr. A (transferor) is entitled therefor. Discuss in brief the points for which Mr. B is not entitled during continuance of partnership?

Answer :

As per Section 29 of Indian Partnership Act, 1932, a transfer by a partner of his interest in the firm, either absolute or by mortgage, or by the creation by him of a charge on such interest, does not entitle the transferee, during the continuance of the firm, to interfere in the conduct of business, or to require accounts, or to inspect the books of the firm, but entitles the transferee only to receive the share of profits of the transferring partner, and the transferee shall accept the account of profits agreed to by the partners.

In the given case during the continuance of partnership, such transferee Mr. B is not entitled:

- to interfere with the conduct of the business.
- to require accounts.
- to inspect books of the firm.

However, Mr. B is only entitled to receive the share of the profits of the transferring partner and he is bound to accept the profits as agreed to by the partners, i.e. he cannot challenge the accounts.

2.10 MINORS ADMITTED TO THE BENEFITS OF PARTNERSHIP- Section 30

(1) A person who is a minor according to the law to which he is subject may not be a partner in a firm, but, with the consent of all the partners for the time being, he may be admitted to the benefits of partnership.

(2) Such minor has right to such share of the property and of the profits of the firm as may be agreed upon and he may have access to and inspect and copy any of the accounts of the firm.

(3) Such minor's share is liable for the acts of the firm, but the minor is not personally liable for any such act.

(4) Such minor may not sue the partners for an account or payment of his share of the property or profits of the firm, save when severing his connection with the firm, and in such case the amount of his share shall be determined by a valuation made as far as possible in accordance with the rules contained in Section 48:

Provided that all the partners acting together or any partner entitled to dissolve the firm upon notice to other partners may elect in such suit to dissolve the firm, and thereupon the Court shall proceed with the suit as one for dissolution and for settling accounts between the partners, and the amount of the share of the minor shall be determined along with the shares of the partners.

(5) At any time within six months of his attaining majority, or of his obtaining knowledge that he had been admitted to the benefits of partnership, whichever date is later, such person may give public notice that he has elected to become or that he has elected not to become a partner in the firm, and such notice shall determine his position as regards the firm.
Provided that, if he fails to give such notice, he shall become a partner in the firm on the expiry of the said six months.

(6) Where any person has been admitted as a minor to the benefits of partnership in a firm, the burden of proving the fact that such person had no knowledge of such admission until a particular date after the expiry of six months of his attaining majority shall lie on the persons asserting that fact.

(7) Where such person becomes a partner,-
(a) his right and liabilities as a minor continue up to the date on which he becomes a partner, but he also becomes personally liable to third parties for all acts of the firm done since he was admitted to the benefits of partnership, and
(b) his share in the property and profits of firm shall be the share to which he was entitled as a minor.

(8) Where such person elects not to become a partner-
(a) his rights and liabilities shall continue to be those of a minor under this section up to the date on which he gives public notice,
(b) his share shall not be liable for any acts of the firm done after the date of the notice, and
(c) he shall be entitled to sue the partners for his share of the property and profits in accordance with sub-section (4).

(9) Nothing in sub-sections (7) and (8) shall affect the provisions of section 28.

Analysis of Section 30

(1) Rights:

(i) A minor partner has a right to his agreed share of the profits and of the firm.
(ii) He can have access to, inspect and copy the accounts of the firm.
(iii) He can sue the partners for accounts or for payment of his share but only when severing his connection with the firm, and not otherwise.
(iv) On attaining majority he may within 6 months elect to become a partner or not to become a partner. If he elects to become a partner, then he is entitled to the share to which he was entitled as a minor. If he does not, then his share is not liable for any acts of the firm after the date of the public notice served to that effect.

(2) Liabilities:

(i) Before attaining majority:

(a) The liability of the minor is confined only to the extent of his share in the profits and the property of the firm.
(b) Minor has no personal liability for the debts of the firm incurred during his minority.
(c) Minor cannot be declared insolvent, but if the firm is declared insolvent his share in the firm vests in the Official Receiver/Assignee.

(ii) After attaining majority:

Within 6 months of his attaining majority or on his obtaining knowledge that he had been admitted to the benefits of partnership, whichever date is later, the minor partner has to decide whether he shall remain a partner or leave the firm.

Where he has elected not to become partner he may give public notice that he has elected not to become partner and such notice shall determine his position as regards the firm.

If he fails to give such notice he shall become a partner in the firm on the expiry of the said six months.

(a) When he becomes partner:

If the minor becomes a partner on his own willingness or by his failure to give the public notice within specified time, his rights and liabilities as given in Section 30(7) are as follows:

(i) He becomes personally liable to third parties for all acts of the firm done since he was admitted to the benefits of partnership.

(ii) His share in the property and the profits of the firm remains the same to which he was entitled as a minor.

(b) When he elects not to become a partner:

(i) His rights and liabilities continue to be those of a minor up to the date of giving public notice.

(ii) His share shall not be liable for any acts of the firm done after the date of the notice.

(iii) He shall be entitled to sue the partners for his share of the property and profits. It may be noted that such minor shall give notice to the Registrar that he has or has not become a partner.

THEORY QUESTIONS

Question 1: **(MTP- Jun-21- 6 Mark)**

Whether a minor may be admitted in the business of a partnership firm? Explain the rights of a minor in the partnership firm.

Question 2: **(PEQ-JAN-25-6 Marks)**

A minor admitted to the benefits of a partnership firm is entitled to certain rights and may also have liabilities to third parties for the acts of the firm. Discuss the rights and liabilities (before attaining majority only) of the minor under the Indian Partnership Act, 1932.

Question 3: **(MTP-July-21, Nov-18- 4 Marks)**

"Though a minor cannot be a partner in a firm, he can nonetheless be admitted to the benefits of partnership."

(I) Referring to the previsions of the Indian Partnership Act, 1932, state the rights which can be enjoyed by a minor partner.

(II) A. State the liabilities of a minor partner both:
(i) Before attaining majority and
(ii) After attaining majority.

OR

B. State the legal position of a minor partner after attaining majority:
(i) When he opts to become a partner of the same firm.
(ii) When he decide not to become a partner.

CASE BASED QUESTION

Question 1: **(SM) (RTP- May 18)**

(i) Whether a minor may be admitted in the business of a partnership firm? Explain the rights of a minor in the partnership firm.

(ii) A & Co. is registered as a partnership firm in 2015 with A, B and C partners. In 2016, A dies. In 2017, B and C sue X in the name and on behalf of A & Co., without fresh registration. Decide whether the suit is maintainable. Whether your answer would be same if in 2017 B and C had taken a new partner D and then filed a suit against X without fresh registration?

Answer :

(i) Minor as a partner: A minor is incompetent to do the contract and such contract is void-ab-initio. Therefore, a minor cannot be admitted in the business of the partnership firm because the partnership is formed on a contract. Though a minor cannot be a partner in a firm, he can nevertheless be admitted to the benefits of partnership under section 30 of the Indian Partnership Act, 1932. He may be validly have a share in the profit of the firm but this can be done with the consent of all the partners of the firm.

Rights of the minor in the firm:

(a) a minor has a right to his agreed share of the profits and of the firm.

(b) he can have access to, inspect and copy the accounts of the firm.

(c) he can sue the partners for accounts or for payments of his share but only, when severing his connection with the firm, and not otherwise. The amount of share shall be determined by a valuation made in accordance with the rules upon a dissolution.

(d) on attaining majority he may within 6 months elect to become a partner or not to become a partner. If he elects to become a partner, then he is entitled to the share to which he was entitled as a minor. If he does not, then his share is not liable for any acts of the firm after the date of the public notice served to that effect.

(ii) As regards the question whether in the case of a registered firm (whose business was carried on after its dissolution by death of one of the partners), a suit can be filed by the remaining partners in respect of any subsequent dealings or transactions without notifying to the Registrar of Firms, the changes in the constitution of the firm, it was decided that the remaining partners should sue in respect of such subsequent dealings or transactions even though the firm was not registered again after such dissolution and no notice of the partner was given to the Registrar.

The test applied in these cases was whether the plaintiff satisfied the only two requirements of Section 69 (2) of the Act namely,

(a) the suit must be instituted by or on behalf of the firm which had been registered;

(b) the person suing had been shown as partner in the register of firms. In view of this position of law, the suit is in the case by B and C against X in the name and on behalf of A & Co. is maintainable.

Now, in 2017, B and C had taken a new partner, D, and then filed a suit against X without fresh registration. Where a new partner is introduced, the fact is to be notified

Question 2: **(SM) (Nov-19- 6 Marks, RTP- Nov 20)**

Master X was introduced to the benefits of partnership of M/s ABC & Co. with the consent of all partners. After attaining majority, more than six months elapsed and he failed to give a public notice as to whether he elected to become or not to become a partner in the firm. Later on, Mr. L, a supplier of material to M/s ABC & Co., filed a suit against M/s ABC & Co. for recovery of the debt due.

In the light of the Indian Partnership Act, 1932, explain:

(i) To what extent X will be liable if he failed to give public notice after attaining majority?

(ii) Can Mr. L recover his debt from X?

Answer:

As per the provisions of Section 30(5) of the Indian Partnership Act, 1932, at any time within six months of his attaining majority, or of his obtaining knowledge that he had been admitted to the benefits of partnership, whichever date is later, such person may give public notice that he has elected to become or that he has elected not to become a partner in the firm, and such notice shall determine his position as regards the firm.

However, if he fails to give such notice, he shall become a partner in the firm on the expiry of the said six months.

If the minor becomes a partner by his failure to give the public notice within specified time, his rights and liabilities as given in Section 30(7) are as follows:

(A) He becomes personally liable to third parties for all acts of the firm done since he was admitted to the benefits of partnership.

(B) His share in the property and the profits of the firm remains the same to which he was entitled as a minor.

(i) In the instant case, since, X has failed to give a public notice, he shall become a partner in the M/s ABC & Co. and becomes personally liable to Mr. L, a third party.

(ii) In the light of the provisions of Section 30(7) read with Section 30(5) of the Indian Partnership Act, 1932, since X has failed to give public notice that he has not elected to not to become a partner within six months, he will be deemed to be a partner after the period of the above six months and therefore, Mr. L can recover his debt from him also in the same way as he can recover from any other partner.

2.11 LEGAL CONSEQUENCES OF PARTNER COMING IN AND GOING OUT Section 31 - 35

(i) SECTION 31:- INTRODUCTION OF A PARTNER

(1) Subject to contract between the partners and to the provisions of section 30, no person shall be introduced as a partner into a firm without the consent of all the existing partners.

(2) Subject to the provisions of section 30, a person who is introduced as a partner into a firm does not thereby become liable for any acts of the firm done before he became a partner.

Analysis of Section 31

Rights and liabilities of new partner:

- The liabilities of the new partner ordinarily commence from the date when he is admitted as a partner, unless he agrees to be liable for obligations incurred by the firm prior to the date.
- The new firm, including the new partner who joins it, may agree to assume liability for the existing debts of the old firm, and creditors may agree to accept the new firm as their debtor and discharge the old partners.
- The creditor's consent is necessary in every case to make the transaction operative.
- Novation is the technical term in a contract for substituted liability, of course, not confined only to case of partnership.
- But a mere agreement amongst partners cannot operate as Novation. Thus, an agreement between the partners and the incoming partner that he shall be liable for existing debts will not ipso facto give creditors of the firm any right against him.

In case of partnership of two partners:

This section does not apply to a partnership of two partners which is automatically dissolved by the death of one of them.

THEORY QUESTIONS

Question 1: **(PEQ-JAN-26-2 Marks)**

Explain with reference to provisions of the Indian Partnership Act, 1932.

Whether a partner can be introduced without consent of other partners? If yes describe the procedure. If no, in what manner a partner can transfer his share in partnership?

Answer:

Whether a Partner can be introduced without the consent of other Partners?

No. By virtue of provisions of Section 31 of the Indian Partnership Act, 1932, no person can be introduced as a partner in a firm without the consent of all the existing partners.

In what manner a Partner can transfer his share in Partnership?

As per Section 31 of the Indian Partnership Act, 1932, no person can be introduced as a partner in a firm without the consent of all the existing partners unless specified as per the partnership agreement. A partner cannot, by transferring his own interest, make anybody else a partner in his place, unless the other partners agree to accept that person as a partner.

However, a partner is not debarred from transferring his interest. A partner's interest in the partnership can be regarded as an existing interest and tangible property which can be assigned.

CASE BASED QUESTION

Question 1: **(PEQ-MAY-25-7 Marks)**

ABC & Co. is a renowned partnership firm doing business in textile industry from last twenty years. But due to technical up-gradation, firm incurred heavy debts of Rs. 50 lakhs. To maintain the integrity of the firm they introduced Mr. D, as a new partner. Before admission of D, other partners A, B, and C decided on their own and made an agreement with the creditors that the new partner will be liable for existing debt through novation. When D joins, he came to know about the debt of Rs. 50 lakhs. With reference to the provisions of the Indian Partnership Act, 1932, give your opinion:

(i) Whether D would be liable for the debts of the firm incurred prior to his admission by virtue of the agreement between A, B, C and the creditors?

(ii) Whether your answer will be different if D was minor at the time of admission?

(iii) Whether D would be liable to pay the debt upon becoming major?

Answer:

(i) Liability of D: As per section 31 of the Indian Partnership Act, 1932, the liabilities of the new partner ordinarily commence from the date when he is admitted as a partner, unless he agrees to be liable for obligations incurred by the firm prior to the date. The new firm, including the new partner who joins it, may agree to assume liability for the existing debts of the old firm, and creditors may agree to accept the new firm as their debtor and discharge the old partners. The creditor's consent is necessary in every case to make the transaction operative. The mere agreement amongst partners cannot operate as Novation. Thus, an agreement between the partners and the incoming partner that he shall be liable for existing debts will not ipso facto give creditors of the firm any right against him.

In the instant case, D would not be liable for the debts of the firm incurred prior to his admission by virtue of the agreement between A, B, C and the creditors.

(ii) If D was minor at the time of admission: As per section 30, the liability of the minor is confined only to the extent of his share in the profits and the property of the firm.

Minor has no personal liability for the debts of the firm incurred during his minority.

Moreover, a mere agreement amongst partners cannot operate as Novation. Thus, an agreement between the partners and the incoming partner that he shall be liable for existing debts will not ipso facto give creditors of the firm any right against him.

Hence, D would not be liable in this case also.

(iii) Liability of D upon becoming major: A minor partner on attaining majority becomes personally liable to third parties for all acts of the firm done since he was admitted to the benefits of partnership.

Moreover, a mere agreement amongst partners cannot operate as Novation. Thus, an agreement between the partners and the incoming partner that he shall be liable for existing debts will not ipso facto give creditors of the firm any right against him.

Hence, D would not be liable to pay the existing debt upon becoming major.

(ii) SECTION 32:- RETIREMENT OF A PARTNER

(1) A partner may retire:

(a) with the consent of all the other partners;

(b) in accordance with an express agreement by the partners; or

(c) where the partnership is at will, by giving notice in writing to all the other partners of his intention to retire.

(2) A retiring partner may be discharged from any liability to any third party for acts of the firm done before his retirement by an agreement made by him with such third party and the partners of the reconstituted firm, and such agreement may be implied by a course of dealing between the third party and the reconstituted firm after he had knowledge of the retirement.

(3) Notwithstanding the retirement of a partner from a firm, he and the partners continue to be liable as partners to third parties for any act done by any of them which would have been an act of the firm if done before the retirement, until public notice is given of the retirement:
Provided that a retired partner is not liable to any third party who deals with the firm without knowing that he was a partner.

(4) Notices under sub-section (3) may be given by the retired partner or by any partner of the reconstituted firm.

Analysis of Section 32

- A partner is said to retire when he ceases to be a member of the firm without bringing to an end the subsisting relations between the other members, or between the firm and third parties.
- The term does not cover the case where a partner withdraws from a firm by dissolving it, which should properly be referred as a dissolution and not as a retirement.
- Retirement of a partner from a firm does not dissolve it.

Example

13: Mere retirement of a partner, who was the tenant of the premises in which the partnership business was carried out, would not result in assignment of the tenancy rights in favour of the remaining partners even though the retiring partner ceases to have any right, title or interest in the business as such.

Liabilities of an outgoing partner:

- a retiring partner continues to be liable to third party for acts of the firm after his retirement until public notice of his retirement has been given either by himself or by any other partner.
- But the retired partner will not be liable to any third party if the latter deals with the firm without knowing that the former was partner.
- As regards the liability for acts of the firm done before his retirement, the retiring partner remains liable for the same, unless there is an agreement made by him with the third party concerned and the partners of the reconstituted firm.
- Such an agreement may be implied by a course of dealings between the third party and the reconstituted firm after he had knowledge of the retirement.
- If the partnership is at will, the partner by giving notice in writing to all the other partners of his intention to retire will be deemed to be relieved as a partner without giving a public notice to this effect.

CASE BASED QUESTION

Question 1: **(PEQ – Nov-18-3 Marks)**

Mr. M, Mr. N and Mr. P were partners in a firm, which was dealing in refrigerators. On 1st October, 2018, Mr. P retired from partnership, but failed to give public notice of his retirement. After his retirement, Mr. M, Mr. N and Mr. P visited a trade fair and enquired about some refrigerators with latest techniques. Mr. X, who was exhibiting his refrigerators with the new techniques was impressed with the interactions of Mr. P and requested for the visiting card of the firm. The visiting card also included the name of Mr. P as a partner even though he had already retired. Mr. X. supplied some refrigerators to the firm and could not recover his dues from the firm. Now, Mr. X wants to recover the dues not only from the firm, but also from Mr. P.

Analyse the above case in terms of the provisions of the Indian Partnership Act, 1932 and decide whether Mr. P is liable in this situation.

Answer :

A retiring partner continues to be liable to third party for acts of the firm after his retirement until public notice of his retirement has been given either by himself or by any other partner. But the retired partner will not be liable to any third party if the latter deals with the firm without knowing that the former was partner.

Also, if the partnership is at will, the partner by giving notice in writing to all the other partners of his intention to retire will be deemed to be relieved as a partner without giving a public notice to this effect.

Also, as per section 28 of the Indian Partnership Act, 1932, where a man holds himself out as a partner, or allows others to do it, he is then stopped from denying the character he has assumed and upon the faith of which creditors may be presumed to have acted.

In the light of the provisions of the Act and facts of the case, Mr. P is also liable to Mr. X.

Question 2: **(PEQ-SEP-25-3 Marks)**

M/s SR Enterprises is a well-known trading firm. Mr. AM, a former partner of the firm, had retired in 2022 but never made any public announcement about his retirement. In 2024, Mr. R, a supplier, entered into a business transaction with M/s SR Enterprises believing that Mr. AM was still a partner in the firm. He relied on Mr. AM's past association with the firm and extended a credit line to the firm. When M/s SR Enterprises defaulted on payment, Mr. R, demanded that Mr. AM also be held liable for the dues. Mr. AM refused, stating that he was no longer a partner in the firm and had no involvement in the firm's affairs for long time. Examine with reference to the provisions of the Indian Partnership Act, 1932 whether Mr. AM can be held liable for the firm's above debt.

Answer:

Retirement of a Partner (Section 32 of the Indian Partnership Act, 1932): A partner may retire:

(a) with the consent of all the other partners;

(b) in accordance with an express agreement by the partners; or

(c) where the partnership is at will, by giving notice in writing to all the other partners of his intention to retire.

Notwithstanding the retirement of a partner from a firm, he and the partners continue to be liable as partners to third parties for any act done by any of them which would have been an act of the firm if done before the retirement, until public notice is given of the retirement.

However, a retired partner is not liable to any third party who deals with the firm without knowing that he was a partner.

In the instant case, Mr. AM can be held liable for the firm's debt as no public notice was given of his retirement and Mr. R entered into a business transaction with M/s SR Enterprises believing that Mr. AM was still a partner in the firm.

(iii) SECTION 33:- EXPULSION OF A PARTNER

(1) A partner may not be expelled from a firm by any majority of the partners, save in the exercise in good faith of powers conferred by contract between the partners.

(2) The provisions of sub-section (2), (3) and (4) of section 32 shall apply to an expelled partner as if he were a retired partner.

Analysis of Section 33

(i) the power of expulsion must have existed in a contract between the partners;

(ii) the power has been exercised by a majority of the partners; and

(iii) it has been exercised in good faith.

If all these conditions are not present, the expulsion is not deemed to be in bona fide interest of the business of the firm.

If a partner is otherwise expelled, the expulsion is null and void.

It may be noted that under the Act, the expulsion of partners does not necessarily result in dissolution of the firm. The invalid expulsion of a partner does not put an end to the partnership even if the partnership is at will and it will be deemed to continue as before.

Example

14: A, B and C are partners in a Partnership firm. They were carrying their business successfully for the past several years. Spouses of A and B fought in ladies club on their personal issue and A's wife was hurt badly. A got angry on the incident and he convinced C to expel B from their partnership firm. B was expelled from partnership without any notice from A and C. Considering the provisions of Indian Partnership Act, 1932 state whether they can expel a partner from the firm?

A partner may not be expelled from a firm by a majority of partners except in exercise, in good faith, of powers conferred by contract between the partners. It is, thus, essential that:

(i) the power of expulsion must have existed in a contract between the partners;

(ii) the power has been exercised by a majority of the partners; and

(iii) it has been exercised in good faith.

If all these conditions are not present, the expulsion is not deemed to be in bonafide interest of the business of the firm. Thus, according to the test of good faith as required under Section 33(1), expulsion of Partner B is not valid.

THEORY QUESTIONS

Question 1: **(PEQ – Nov-20 -2Marks)**

Comment on 'the right to expel partner must be exercised in good faith' under the Indian Partnership Act, 1932.

Answer:

A partner may not be expelled from a firm by a majority of partners except in exercise, in good faith, of powers conferred by contract between the partners. It is, thus, essential that:

(i) the power of expulsion must have existed in a contract between the partners;

(ii) the power has been exercised by a majority of the partners; and

(iii) it has been exercised in good faith.

If all these conditions are not present, the expulsion is not deemed to be in bona fide interest of the business of the firm.

CASE BASED QUESTION

Question 1: **(SM) (May-19- 6 Marks, MTP-Nov-20- 6 Mark)**

M/s XYZ & Associates, a partnership firm with X, Y and Z as senior partners were engaged in the business of carpet manufacturing and exporting to foreign countries. On 25th August, 2018, they inducted Mr. G, an expert in the field of carpet manufacturing as their partner. On 10th January 2020, Mr. G was blamed for unauthorized activities and thus expelled from the partnership by approval of all of the other partners.

(i) Examine whether action by the partners was justified or not?

(ii) What should have the factors to be kept in mind prior expelling a partner from the firm by other partners according to the provisions of the Indian Partnership Act, 1932?

Answer :

A partner may not be expelled from a firm by a majority of partners except in exercise, in good faith, of powers conferred by contract between the partners.

The test of good faith as required under Section 33(1) includes three things:

- The expulsion must be in the interest of the partnership.
- The partner to be expelled is served with a notice.
- He is given an opportunity of being heard.

If a partner is otherwise expelled, the expulsion is null and void.

(i) Action by the partners of M/s XYZ & Associates, a partnership firm to expel Mr. G from the partnership was justified as he was expelled by approval of the other partners exercised in good faith to protect the interest of the partnership against the unauthorized activities charged against Mr. G. A proper notice and opportunity of being heard has to be given to Mr. G.

(ii) The following are the factors to be kept in mind prior expelling a partner from the firm by other partners:
(a) the power of expulsion must have existed in a contract between the partners;
(b) the power has been exercised by a majority of the partners; and
(c) it has been exercised in good faith.

Question 3: **(May-18 – 6 Marks, MTP- Jun-21- 6 Mark)**

X, Y and Z are partners in a Partnership Firm. They were carrying their business successfully for the past several years. Spouses of X and Y fought in ladies club on their personal issue and X's wife was hurt badly. X got angry on the incident and he convinced Z to expel Y from their partnership firm. Y was expelled from partnership without any notice from X and Z. Considering the provisions of the Indian Partnership Act, 1932, state whether they can expel a partner from the firm. What are the criteria for test of good faith in such circumstances?

Answer :

A partner may not be expelled from a firm by a majority of partners except in exercise, in good faith, of powers conferred by contract between the partners. It is, thus, essential that:

(i) the power of expulsion must have existed in a contract between the partners;
(ii) the power has been exercised by a majority of the partners; and
(iii) it has been exercised in good faith.

If all these conditions are not present, the expulsion is not deemed to be in bonafide interest of the business of the firm.

The test of good faith as required under Section 33(1) includes three things:

- The expulsion must be in the interest of the partnership.
- The partner to be expelled is served with a notice.
- He is given an opportunity of being heard.

If a partner is otherwise expelled, the expulsion is null and void.

Thus, according to the test of good faith as required under Section 33(1), expulsion of Partner Y is not valid.

Question 4: **(PEQ-SEP-25-4 Marks)**

M/s LMP & Associates, a partnership firm engaged in carpet manufacturing and exporting, was initially managed by senior partners L, M, and P. On 25th August, 2022, the firm admitted Mr. G, an expert in carpet manufacturing, as a partner. However, on 10th January, 2024, Mr. G was accused of unauthorized activities and subsequently expelled from the partnership with the unanimous approval of the remaining partners.

With reference to the provisions of the Indian Partnership Act, 1932, answer each of the following:

(1) Examine whether action by the partners was justified or not?
(2) What are the factors which should be kept in mind prior to expelling a partner from the firm by other partners?

Answer:

(1) Expulsion of a Partner (Section 33 of the Indian Partnership Act, 1932): A partner may not be expelled from a firm by a majority of partners except in exercise, in good faith, of powers conferred by contract between the partners.

The test of good faith as required under Section 33(1) includes three things:

- The expulsion must be in the interest of the partnership.
- The partner to be expelled is served with a notice.
- He is given an opportunity of being heard.

If a partner is otherwise expelled, the expulsion is null and void.

Action by the partners of M/s LMP & Associates, a partnership firm to expel Mr. G from the partnership was justified as he was expelled by unanimous approval of the partners exercised in good faith to protect the interest of the partnership against the unauthorized activities charged against Mr. G. Provided, a proper notice and opportunity of being heard has been given to Mr. G.

(2) Factors to be kept in mind before expelling a Partner

The following are the factors to be kept in mind prior to the expelling of a partner from the firm by other partners:

(a) the power of expulsion must have existed in a contract between the partners;
(b) the power has been exercised by a majority of the partners; and
(c) it has been exercised in good faith.

(iv) SECTION 34:- INSOLVENCY OF A PARTNER:

(1) Where a partner in a firm is adjudicated as an insolvent he ceases to be a partner on the date on which the order of adjudication is made, whether or not the firm is hereby dissolved.

(2) Where under a contract between the partners the firm is not dissolved by the adjudication of a partner as an insolvent, the estate of a partner so adjudicated is not liable for any act of the firm and the firm is not liable for any act of the insolvent, done after the date on which the order of adjudication is made.

THEORY QUESTIONS

Question 1: **(PEQ – Nov-19 – 4 Marks)**

With reference to the provisions of Indian partnership Act, 1932 explain the various effects of insolvency of a partner.

Answer :

Effects of insolvency of a partner (Section 34 of the Indian Partnership Act, 1932):

(i) The insolvent partner cannot be continued as a partner.

(ii) He will be ceased to be a partner from the very date on which the order of adjudication is made.

(iii) The estate of the insolvent partner is not liable for the acts of the firm done after the date of order of adjudication.

(iv) The firm is also not liable for any act of the insolvent partner after the date of the order of adjudication,

(v) Ordinarily, the insolvency of a partner results in dissolution of a firm; but the partners are competent to agree among themselves that the adjudication of a partner as an insolvent will not give rise to dissolution of the firm.

(v) SECTION 35:- LIABILITY OF ESTATE OF DECEASED PARTNER

Where under a contract between the partners, the firm is not dissolved by the death of a partner, the estate of a deceased partner is not liable for any act of the firm done after his death.

Analysis of Section 35

- Ordinarily, the effect of the death of a partner is the dissolution of the partnership, but the rule in regard to the dissolution of the partnership, by death of partner is subject to a contract between the parties and the partners are competent to agree that the death of one will not have the effect of dissolving the partnership as regards the surviving partners unless the firm consists of only two partners.
- In order that the estate of the deceased partner may be absolved from liability for the future obligations of the firm, it is not necessary to give any notice either to the public or the persons having dealings with the firm.

Example

15: X was a partner in a firm. The firm ordered goods in X's lifetime; but the delivery of the goods was made after X's death. In such a case, X's estate would not be liable for the debt; a creditor can have only a personal decree against the surviving partners and a decree against the partnership assets in the hands of those partners. A suit for goods sold and delivered would not lie against the representatives of the deceased partner. This is because there was no debt due in respect of the goods in X's lifetime.

THEORY QUESTIONS

Question 1: **(MTP-Nov-19- 6 Marks, (RTP- Nov-19)**

State the legal consequences of the following as per the provisions of the Indian Partnership Act, 1932:

(i) Retirement of a partner

(ii) Insolvency of a partner

CASE BASED QUESTION

Question 1: **(PEQ – Jan-21- 6 Marks, RTP- May 21)**

M, N and P were partners in a firm. The firm ordered JR Limited to supply the furniture. P dies, and M and N continues the business in the firm's name the firm did not give any notice about P's death to the public or the persons dealing with the firm.

The furniture was delivered to the firm after P's death, fact about his death was known to them at the time of delivery. Afterwards the firm became insolvent and failed to pay the price of furniture to JR Limited.

Explain with reasons:

(i) Whether P's private estate is liable for the price of furniture purchased by the firm?

(ii) Whether does it make any difference if JR Limited supplied the furniture to the firm believing that all the three partners are alive?

Answer :

According to section 35 of the Indian Partnership Act, 1932, where under a contract between the partners the firm is not dissolved by the death of a partner, the estate of a deceased partner is not liable for any act of the firm done after his death.

Further, in order that the estate of the deceased partner may be absolved from liability for the future obligations of the firm, it is not necessary to give any notice either to the public or the persons having dealings with the firm.

In the given question, JR Limited has supplied furniture to the partnership firm, after P's death. The firm did not give notice about P's death to public or people dealing with the firm. Afterwards, the firm became insolvent and could not pay JR Limited.

In the light of the facts of the case and provisions of law:

(i) Since the delivery of furniture was made after P's death, his estate would not be liable for the debt of the firm. A suit for goods sold and delivered would not lie against the representatives of the deceased partner. This is because there was no debt due in respect of the goods in P's lifetime.

(ii) It will not make any difference even if JR Limited supplied furniture to the firm believing that all the three partners are alive, as it is not necessary to give any notice either to the public or the persons having dealings with the firm, so the estate of the deceased partner may be absolved from liability for the future obligations of the firm.

Question 2: **(PEQ – Nov-18-3 Marks)**

Mr. A. Mr. B and Mr. C were partners in a partnership firm M/s ABC & Co., which is engaged in the business of trading of branded furniture. The name of the partners was clearly written along with the firm name in front of the head office of the firm as well as on letter-head of the firm. On 1st October, 2018, Mr. C passed away. His name was neither removed from the list of partners as stated in front of the head office nor from the letter-heads of the firm. As per the terms of partnership, the firm continued its operations with Mr. A and Mr. B as partners. The accounts of the firm were settled and the amount due to the legal heirs of Mr. C was also determined on 10th October, 2018. But the same was not paid to the legal heirs of Mr. C. On 16th October, 2018, Mr. X, a supplier supplied furniture worth Rs. 20,00,000 to M/s ABC & Co. M/s ABC & Co. could not repay the amount due to heavy losses. Mr. X wants to recover the amount not only from M/s ABC & Co., but also from the legal heirs of Mr. C.

Analyses the above situation in terms of the provisions of the Indian Partnership Act, 1932 and decide whether the legal heirs of Mr. C can also be held liable for the dues towards Mr. X.

Answer :

Generally, the effect of the death of a partner is the dissolution of the partnership, but the rule in regard to the dissolution of the partnership, by death of partner, is subject to a contract between the parties and the partners are competent to agree that the death of one will not have the effect of dissolving the partnership as regards the surviving partners unless the firm consists of only two partners. In order that the estate of the deceased partner may be absolved from liability for the future obligations of the firm, it is not necessary to give any notice either to the public or the persons having dealings with the firm.

In the light of the provisions of the Act and the facts of the question, Mr. X (creditor) can have only a personal decree against the surviving partners (Mr. A and Mr. B) and a decree against the partnership assets in the hands of those partners. A suit for goods sold and delivered would not lie against the representatives of the deceased partner. Hence, the legal heirs of Mr. C cannot be held liable for the dues towards Mr. X.

2.12 RIGHTS OF OUTGOING PARTNER TO CARRY ON COMPETING BUSINESS- Section 36

(1) An outgoing partner may carry on business competing with that of the firm and he may advertise such business, but subject to contract to the contrary, he may not,-

(a) use the firm name,

(b) represent himself as carrying on the business of the firm or

(c) solicit the custom of persons who were dealing with the firm before he ceased to be a partner.

(2) Agreement in restraint of trade- A partner may make an agreement with his partners that on ceasing to be a partner he will not carry on any business similar to that of the firm within a specified period or within specified local limits and, notwithstanding anything contained in section 27 of the Indian Contract Act, 1872, such agreement shall be valid if the restrictions imposed are reasonable.

THEORY QUESTIONS

Question 1: **(PEQ-MAY-25-6 Marks)**

In accordance with provisions of the Indian Partnership Act, 1932, explain the following:

(i) The rights of an outgoing partner to carry on competing business.

(ii) The rights of a partner to be indemnified by the firm and the liability of a partner to indemnify the firm.

Answer:

(i) Rights of outgoing partner to carry on competing Business (Section 36 of the Indian Partnership Act, 1932)

An outgoing partner may carry on business competing with that of the firm and he may advertise such business, but subject to contract to the contrary, he may not,-

(a) use the firm name,

(b) represent himself as carrying on the business of the firm or

(c) solicit the custom of persons who were dealing with the firm before he ceased to be a partner.

Agreement in restraint of trade- A partner may make an agreement with his partners that on ceasing to be a partner he will not carry on any business similar to that of the firm within a specified period or within specified local limits and, notwithstanding anything contained in section 27 of the Indian Contract Act, 1872, such agreement shall be valid if the restrictions imposed are reasonable.

(ii) Right of the partners to be indemnified by the firm [Section 13(e)]: Every partner has the right to be indemnified by the firm in respect of payments made and liabilities incurred by him in the ordinary and proper conduct of the business of the firm as well as in the performance of an act in an emergency for protecting the firm from any loss, if the payments, liability and act are such as a prudent man would make, incur or perform in his own case, under similar circumstances.

Liability of partner to indemnify the firm [Section 13(f)]: A partner must indemnify the firm for any loss caused to it by wilful neglect in the conduct of the business of the firm.

CASE BASED QUESTION

Question 1: **(PEQ – Nov-20- 6 Marks)**

P, Q, R and S are the partners in M/S PQRS & Co., a partnership firm which deals in trading of Washing Machines of various brands.

Due to the conflict of views between partners, P & Q decided to leave the partnership firm and started competitive business on 31st July, 2019, in the name of M/S PQ & Co. Meanwhile, R & S have continued using the property in the name of M/S PQRS & Co. in which P & Q also has a share.

Based on the above facts, explain in detail the rights of outgoing partners as per the Indian Partnership Act, 1932 and comment on the following:

(i) Rights of P & Q to start a competitive business.

(ii) Rights of P & Q regarding their share in property of M/S PQRS & Co.

Answer:

(i) Rights of outgoing partner to carry on competing business (Section 36 of the Indian Partnership Act, 1932)

(1) An outgoing partner may carry on business competing with that of the firm and he may advertise such business, but subject to contract to the contrary, he may not,-

(a) use the firm name,

(b) represent himself as carrying on the business of the firm or

(c) solicit the custom of persons who were dealing with the firm before he ceased to be a partner.

(2) Although this provision has imposed some restrictions on an outgoing partner, it effectively permits him to carry on a business competing with that of the firm. However, the partner may agree with his partners that on his ceasing to be so, he will not carry on a business similar to that of the firm within a specified period or within specified local limits. Such an agreement will not be in restraint of trade if the restraint is reasonable [Section 36 (2)]

From the above, we can infer that P & Q can start competitive business in the name of M/S PQ & Co after following above conditions in the absence of any agreement.

(ii) Right of outgoing partner in certain cases to share subsequent profits (Section 37 of the Indian Partnership Act, 1932)

According to Section 37, where any member of a firm has died or otherwise ceased to be partner, and the surviving or continuing partners carry on the business of the firm with the property of the firm without any final settlement of accounts as between them and the outgoing partner or his estate, then, in the absence of a contract to the contrary, the outgoing partner or his estate is entitled at the option of himself or his representatives to such share of the profits made since he ceased to be a partner as may be attributable to the use of his share of the property of the firm or to interest at the rate of six per cent per annum on the amount of his share in the property of the firm.

In the instant case, P & Q can share in property of M/s PQRS & Co. keeping in view of the above provisions.

2.13 RIGHT OF OUTGOING PARTNER IN CERTAIN CASES TO SHARE SUBSEQUENT PROFITS- Section 37

- Where any member of a firm has died or otherwise ceased to be partner, and
- the surviving or continuing partners carry on the business of the firm with the property of the firm without any final settlement of accounts as between them and the outgoing partner or his estate,
- then, in the absence of a contract to the contrary,
- the outgoing partner or his estate is entitled at the option of himself or his representatives to
- such share of the profits made since he ceased to be a partner as may be attributable to the use of his share of the property of the firm or
- to interest @ of 6% p.a. on the amount of his share in the property of the firm:

Provided that whereby contract between the partners, an option is given to surviving or continuing partners to purchase the interest of a deceased or outgoing partner, and that option is duly exercised, the estate of the deceased partner, or the outgoing partner or his estate, as the case may be, is not entitled to any further or other share of profits; but if any partner assuming to act in exercise of the option does not in all material respects comply with the terms thereof, he is liable to account under the foregoing provisions of this section.

Example

16: A, B and C are partners in a manufacture of machinery. A is entitled to three-eighths of the partnership property and profits. A becomes bankrupt whereas B and C continue the business without paying out A's share of the partnership assets or settling accounts with his estate. A's estate is entitled to three-eighths of the profits made in the business, from the date of his bankruptcy until the final liquidation of the partnership affairs.

17: A, B and C are partners. C retires after selling his share in the partnership firm. A and B fail to pay the value of the share to C as agreed to. The value of the share of C on the date of his retirement from the firm would be pure debt from the date on which he ceased to be a partner as per the agreement entered between the parties. C is entitled to recover the same with interest.

THEORY QUESTIONS

Question 1: **(PEQ - MTP-Nov-18-2 Marks)**

Can outgoing partner has right to share subsequent profit of the firm after he ceased to be partner.

CASE BASED QUESTION

Question 1: **(SM) (MTP-Nov-18-4 Marks, RTP May-18&20)**

A, B and C are partners in a firm. As per terms of the partnership deed, A is entitled to 20 percent of the partnership property and profits. A retires from the firm and dies after 15 days. B and C continue business of the firm without settling accounts. Explain the rights of A's legal representatives against the firm under the Indian Partnership Act, 1932?

Answer :

Section 37 of the Indian Partnership Act, 1932 provides that where a partner dies or otherwise ceases to be a partner and there is no final settlement of account between the legal representatives of the deceased partner or the firms with the property of the firm, then, in the absence of a contract to the contrary, the legal representatives of the deceased partner or the retired partner are entitled to claim either.

(1) Such shares of the profits earned after the death or retirement of the partner which is attributable to the use of his share in the property of the firm; or

(2) Interest at the rate of 6 per cent annum on the amount of his share in the property.

Based on the aforesaid provisions of Section 37 of the Indian Partnership Act, 1932, in the given problem, A's Legal representatives shall be entitled, at their option to:

(a) the 20% shares of profits (as per the partnership deed); or

(b) interest at the rate of 6 per cent per annum on the amount of A's share in the property.

Question 2: **(MTP-Nov-18 & 19- 4 Marks)**

A, B and C are partners in a manufacture of machinery. A is entitled to three-eighths of the partnership property and profit. A becomes bankrupt whereas B and C continue the business without paying out A's share of the partnership assets or settling accounts with his estate. State the rights of A as per the provisions of Indian Partnership Act, 1932?

Answer :

According to section 37, Where

- any member of a firm has died or otherwise ceased to be partner, and
- the surviving or continuing partners carry on the business of the firm with the property of the firm without any final settlement of accounts as between them and the outgoing partner or his estate,
- then, in the absence of a contract to the contrary, the outgoing partner or his estate is entitled at the option of himself or his representatives to such share of the profits made since he ceased to be a partner as may be attributable to the use of his share of the property of the firm or to interest at the rate of six per cent per annum on the amount of his share in the property of the firm

As per the abovementioned provisions A's estate shall be entitled to three-eighths of the profits made in the business, from the date of his bankruptcy until the final liquidation of the partnership affairs.

2.14 REVOCATION OF CONTINUING GUARANTEE BY CHANGE IN FIRM – Section 38

- a continuing guarantee given to a firm or to third party in respect of the transaction of a firm is,
- in the absence of an agreement to the contrary,
- revoked as to future transactions from the date of any change in the constitution of the firm.

Analysis of Section 38

Mere changes in the constitution of the firm operates to revoke the guarantee as to all future transactions. Such change may occur by the death, or retirement of a partner, or by introduction of a new partner.

THEORY QUESTIONS

Question 1: **(PEQ – Nov-19-2Marks)**

When the continuing guarantee can be revoked under the Indian Partnership Act, 1932?

MULTIPLE CHOICE QUESTIONS

1. A partner can be expelled if:
   (a) Such expulsion is in good faith
   (b) The majority of the partner does not agree on such expulsion
   (c) The expelled partner is given an opportunity to start a business competing with that of the firm
   (d) Compensation is paid

2. Which of the following is not the right of partner i.e., which he cannot claim as a matter of right?
   (a) Right to take part in business
   (b) Right to have access to account books
   (c) Right to share profits
   (d) Right to receive remuneration.

3. Which of the following acts are not included in the implied authority of a partner?
   (a) To buy or sell goods on accounts of partners.
   (b) To borrow money for the purpose of firm.
   (c) To enter into partnership on behalf of firm.
   (d) To engage a lawyer to defend actions against firm.

4. The reconstitution of the firm takes place in case of
   (a) Admission of a partner
   (b) Retirement of a partner
   (c) Expulsion or death of a partner
   (d) All of the above

5. A new partner can be admitted in the firm with the consent of
   (a) All the partners
   (b) Simple majority of partners
   (c) Special majority of partners
   (d) New partner only.

6. A partner may be expelled from the firm on the fulfilment of the conditions that the expulsion power is exercised.
   (a) As given by express contract
   (b) By majority of partners
   (c) In absolute good faith
   (d) All of the above

7. A minor is:
   (a) A partner of a firm
   (b) Representative of the firm
   (c) Entitled to carry on the business of the firm
   (d) Entitled to the benefits of the firm

8. If a partner commits fraud in the conduct of the business of the firm:
   (a) He shall indemnify the firm for any loss caused to it by his fraud
   (b) He is not liable to the firm.
   (c) He is liable to the partners
   (d) He is liable to the third parties

9. Partners are bound to carry on the business of the firm-
   (a) To the greatest common advantage
   (b) For the welfare of the society
   (c) For the advantage of the family members
   (d) For earning personal profits

10. The liability of a minor partner is limited to the extent of:
   (a) His share in the firm
   (b) His personal assets
   (c) His share in the firm as well as his personal assets
   (d) He is not liable

11. The authority of a partner to bind the firm for his acts as contained in section 19 of the Partnership Act is known as:
   (a) Express authority
   (b) Legal authority
   (c) Implied authority
   (d) Managerial authority

12. Which are the matters that require unanimous consent of all the partners:
(a) Admission of a partner
(b) Transfer by a partner of his interest in the firm
(c) Fundamental change in the nature of the business
(d) All of the above

13. For admitting a minor into the benefits of the partnership, which of the following is required?
(a) Consent of the minor's guardian
(b) Consent of the Registrar of firms
(c) Consent of all the partners of the firm
(d) All of the above

14. The implied authority of a partner of the firm does empower him to:
(a) Open a bank account on behalf of the firm in his own name.
(b) Enter into partnership on behalf of the firm.
(c) Acquire immovable property on behalf of the firm.
(d) Act expressing or implying an intention to bind the firm.

15. In case of transfer of share in a partnership firm by one partner to any third party give such third party entitlement:
(a) to interfere with the conduct of the business.
(b) to require accounts.
(c) to receive the share of the profits of the transferring partner as agreed by the partners.
(d) to receive the share of the profits of the transferring partner whether or not agreed by the partners.

Answers to MCQs

1.	(a)	2.	(d)	3.	(c)	4.	(d)	5.	(a)
6.	(d)	7.	(d)	8.	(a)	9.	(a)	10.	(a)
11.	(c)	12.	(d)	13.	(c)	14.	(d)	15.	(c)

THE INDIAN PARTNERSHIP ACT, 1932

Unit 3 : REGISTRATION AND DISSOLUTION OF A FIRM

Section Overview:

Section :39	Dissolution of firm
Section :40	Dissolution by agreement
Section :41	Compulsory dissolution
Section :42	Dissolution on contingencies
Section :43	Dissolution at will
Section :44	Dissolution by court
Section :45	Liability after dissolution
Section :46	Rights after dissolution
Section :47	Continuing authority for winding-up
Section :56	Appointment of Registrar
Section :57–59	Procedure for registration

3.1 REGISTRATION OF FIRMS

Section 58:- APPLICATION FOR REGISTRATION

(1) The registration of a firm may be effected at any time by sending by post or delivering to the Registrar of the area in which any place of business of the firm is situated or proposed to be situated,

(2) a statement in the prescribed form and accompanied by the prescribed fee, stating-

(a) The firm's name

(b) The place or principal place of business of the firm,

(c) The names of any other places where the firm carries on business,

(d) the date when each partner joined the firm,

(e) the names in full and permanent addresses of the partners, and

(f) the duration of the firm.

The statement shall be signed by all the partners, or by their agents specially authorised in this behalf.

(1) Each person signing the statement shall also verify it in the manner prescribed.

(2) A firm name shall not contain any of the following words, namely:-

Note: 'Crown', Emperor', 'Empress', 'Empire', 'Imperial', 'King', 'Queen', 'Royal', or words expressing or implying the sanction, approval or patronage of Government except when the State Government signifies its consent to the use of such words as part of the firm-name by order in writing.

Analysis

- The registration of a partnership is optional and one partner cannot compel another partner to join in the registration of the firm.
- Subsequent alterations in the name, place, constitution, etc., of the firm that may occur during its continuance should also be registered.

Section 59:- REGISTRATION

- When the Registrar is satisfied that the provisions of section 58 have been duly complied with,
- he shall record an entry of the statement in a register called the Register of Firms, and
- shall file the statement.
- The Firm when registered shall use the bracket and word (Registered) immediately after its name.

Analysis

- When the Registrar is satisfied that the provisions of Section 58 have been duly complied with, he shall record an entry of the statement in a Register called the Register of Firms and shall file the statement.
- Then he shall issue a certificate of Registration.
- However, registration is deemed to be completed as soon as an application in the prescribed form with the prescribed fee and necessary details concerning the particulars of partnership is delivered to the Registrar.
- The recording of an entry in the register of firms is a routine duty of Registrar.
- Registration may also be effected even after a suit has been filed by the firm but in that case it is necessary to withdraw the suit first and get the firm registered and then file a fresh suit.

Section 59A-1:- LATE REGISTRATION ON PAYMENT OF PENALTY

- If the statement in respect of any firm is not sent or delivered to the Registrar within the time specified in sub-section (1A) of section 58, then
- the firm may be registered on payment, to the Registrar, of a penalty of Rs.100 per year of delay or a part thereof.

3.2 CONSEQUENCES OF NON-REGISTRATION- Section 69

- Under the English Law, the registration of firms is compulsory. Therefore, there is a penalty for non-registration of firms.
- But the Indian Partnership Act does not make the registration of firms compulsory nor does it impose any penalty for non-registration.
- However, under Section 69, non-registration of partnership gives rise to a number of disabilities

These disabilities briefly are as follows:

(i) No suit in a civil court by firm or other co-partners against third party:

- The firm or any other person on its behalf cannot bring an action against the third party for breach of contract entered into by the firm,
- unless the firm is registered and
- the persons suing are or have been shown in the register of firms as partners in the firm.

(ii) No relief to partners for set-off of claim:

- If an action is brought against the firm by a third party,
- then neither the firm nor the partner can claim any set-off,
- if the suit be valued for more than Rs. 100 or pursue other proceedings to enforce the rights arising from any contract.

(iii) Aggrieved partner cannot bring legal action against other partner or the firm:

- A partner of an unregistered firm (or any other person on his behalf) is precluded from bringing legal action against
- the firm or any person alleged to be or to have been a partner in the firm.
- But, such a person may sue for dissolution of the firm or for accounts and realization of his share in the firm's property where the firm is dissolved.

(iv) Third party can sue the firm:

- In case of an unregistered firm, an action can be brought against the firm by a third party.

Exceptions: Non-registration of a firm does not, however effect the following rights:

1. The right of third parties to sue the firm or any partner.
2. The right of partners to sue for the dissolution of the firm or for the settlement of the accounts of a dissolved firm, or for realization of the property of a dissolved firm.
3. The power of an Official Assignees, Receiver of Court to release the property of the insolvent partner and to bring an action.
4. The right to sue or claim a set-off if the value of suit does not exceed Rs. 100 in value.
5. The right to suit and proceeding instituted by legal representatives or heirs of the deceased partner of a firm for account s of the firm or to realise the property of the firm.

Example

3: A & Co. is registered as a partnership firm in 2017 with A, B and C partners. In 2018, A dies. In 2019, B and C sue X in the name and on behalf of A & Co. without fresh registration. Now the first question for our consideration is whether the suit is maintainable.

As regards the question whether in the case of a registered firm (whose business was carried on after its dissolution by death of one of the partners), a suit can be filed by the remaining partners in respect of any subsequent dealings or transactions without notifying to the Registrar of Firms, the changes in the constitution of the firm, it was decided that the remaining partners should sue in respect of such subsequent dealings or transactions even though the firm was not registered again after such dissolution and no notice of the partner was given to the Registrar.

The test applied in these cases was whether the plaintiff satisfied the only two requirements of Section 69 (2) of the Act namely,

(i) the suit must be instituted by or on behalf of the firm which had been registered;

(ii) the person suing had been shown as partner in the register of firms. In view of this position of law, the suit is in the case by B and C against X in the name and on behalf of A & Co. is maintainable.

Now, in the above example, what difference would it make, if in 2019 B and C had taken a new partner, D, and then filed a suit against X without fresh registration?

Where a new partner is introduced, the fact is to be notified to Registrar who shall make a record of the notice in the entry relating to the firm in the Register of firms. Therefore, the firm cannot sue as D's (new partner's) name has not been entered in the register of firms. It was pointed out that in the second requirement, the phrase "person suing" means persons in the sense of individuals whose names appear in the register as partners and who must be all partners in the firm at the date of the suit.

THEORY QUESTIONS

Question 1: **(SM) (MTP-Nov-18- 6 Marks)**

What is the procedure for registration of a partnership firm under the Indian Partnership Act, 1932? What are the consequences of non-registration?

Question 2: **(SM) (May-19-4 Marks, MTP- Jun-21- 4 Mark, RTP-May 21)**

"Indian Partnership Act does not make the registration of firms compulsory nor does it impose any penalty for non-registration." Explain. Discuss the various disabilities or disadvantages that a non-registered partnership firm can face in brief?

Question 3: **(PEQ - May-18- 4Marks)**

What are the consequences of Non-Registration of a Partnership Firm? Discuss.

Question 4: **(PEQ - Nov. 20- 4Marks)**

Referring to the Provisions of the Indian Partnership Act, 1932, answer the following:

(i) What are the consequences of Non-Registration of Partnership firm?

(ii) What are the rights which won't be affected by Non-Registration of Partnership firm?

CASE BASED QUESTION

Question 1: **(MTP-Nov-19- 2 Marks)**

P, X, Y and Z are partners in a registered firm A & Co. X died and P retired. Y and Z filed a suit against W in the name and on behalf of firm without notifying to the Registrar of firms about the changes in the constitution of the firm. Is the suit maintainable?

Answer:

As regards the question whether in the case of a registered firm (whose business was carried on after its dissolution by death of one of the partners), a suit can be filed by the remaining partners in respect of any subsequent dealings or transactions without notifying to the Registrar of Firms, the changes in the constitution of the firm, it was decided that the remaining partners should sue in respect of such subsequent dealings or transactions even though the firm was not registered again after such dissolution and no notice of the partner was given to the Registrar.

(i) The test applied in these cases was whether the plaintiff satisfied the only two requirements of Section 69

(ii) of the Act namely, the suit must be instituted by or on behalf of the firm which had been registered.

Question 2: **(PEQ-SEP-25-6 Marks)**

A, B and C are partners in an unregistered partnership firm named M/s ABC & Associates. Is the suit maintainable in the following cases as per the provisions of the Indian Partnership Act, 1932? Give justification also.

(i) A filed a suit against B who had stolen the goods of the firm.

(ii) A filed a suit against M/s ABC & Associates for claiming shares of the assets on its dissolution.

(iii) M filed a suit against the firm M/s ABC & Associates for the recovery of Rs. 10,000/- dues from the firm. M also owed Rs. 4,000/-to the firm. The firm claimed a set off of Rs. 4,000/-.

Answer:

(i) A filed a suit against B who had stolen the goods of the firm:

The said suit by A is Maintainable.

Justification: According to Section 69(1) of the Indian Partnership Act, 1932, a partner of an unregistered firm cannot file a suit in any court against the firm or any partner to enforce a right arising from a contract, unless the firm is registered. Section 69 only bars civil suits to enforce contractual rights. It does not prevent criminal action. But, in this case, A had filed a suit against B for stealing the goods of the firm which is a criminal offense.

Hence, the suit filed against B for the theft of the goods of the firm is maintainable.

(ii) A filed a suit against M/s. ABC & Associates for claiming share of the assets on its dissolution

The said suit by A is Maintainable.

Justification: According to Section 69(3) of the Indian Partnership Act, 1932, a partner of an unregistered firm is precluded from bringing legal action against the firm. But such a person may sue for realization of his share in the firm's property where the firm is dissolved. Here, A's claim is valid as the shares are the assets of the dissolved firm and A can claim it even if the firm is unregistered.

(iii) M filed a suit against the firm for recovery of Rs.10,000/- dues. M also owed Rs.4,000/-. The firm claimed a set-off.

The said suit by M is Maintainable

Justification: According to Section 69(2) of the Indian Partnership Act, 1932, in case of an unregistered firm, an action can be brought against the firm by a third party. If an action is brought against the firm by a third party, then neither the firm nor the partner can claim any set-off, if the suit be valued for more than Rs. 100 or pursue other proceedings to enforce the rights arising from any contract.

Here, M filed a suit against the firm for the recovery of Rs.10,000 dues from the firm. M also owed Rs.4,000/- to the firm.

The firm cannot set-off the claim of Rs.4,000/- as it is more than Rs.100/. – Nevertheless, M is entitled for recovery of Rs. 10,000 from firm.

Question 3: **(PEQ-SEP-25-7 Marks)**

M/s M&M Associates was registered in 1985 by its three partners namely Mr. X, Mr. Y and Mr. Z as the partnership at will. On 5th January 2022, Mr. X, being a very senior partner of age 75 years decided to retire and transfer his shares in the firm to his grandson Mr. S, who was 17 years old at the time of the transfer. Mr. Y and Mr. Z were not interested but when they came to know that Mr. S is a minor, they agreed to admit Mr. S as partner.

On 5th October, 2023 at the time of inspection of books and accounts, Mr. S noticed that the books of accounts were displaying only a small amount as profit despite a huge turnover. When, he asked other partners about this fact, then Mr. Y told him that one of the major clients, Mr. T refused to pay huge amount of fees. Mr. S decided to sue Mr. T for recovery of fees and sent a notice for the same. Mr. T argued that Mr. S cannot sue him because he has not given notice of remaining a partner on attaining majority.

With reference to provisions of the Indian Partnership Act, 1932 decide:

(i) Whether Mr. X can retire and introduce Mr. S (minor) as a partner?

(ii) Whether Mr. S has right to inspect books of accounts?

(iii) Whether Mr. S has authority to sue Mr. T, on non-payment of fees?

Answer:

(i) As per the provisions of Section 32 of the Indian Partnership Act, 1932, (the Act) a partner may retire:

(a) with the consent of all the other partners;

(b) in accordance with an express agreement by the partners; or

(c) where the partnership is at will, by giving notice in writing to all the other partners of his intention to retire.

However, a minor cannot be admitted as a partner in a firm. A minor can only be admitted to the benefits of partnership with the consent of all partners.

As the partnership is at will, Mr. X can retire from the firm by giving notice in writing to all the other partners of his intention to retire and Mr. S, being a minor, can only be admitted to the benefits of partnership under Section 30 of the Act with the consent of all the existing partners.

(ii) Within 6 months of his attaining majority or on his obtaining knowledge that he had been admitted to the benefits of the partnership, whichever is later, the minor partner has to decide whether he shall remain as a partner or leave the firm.

If he has elected not to become a partner, he may give a public notice in this regard and failure to do so, he shall become a partner in the firm after the expiry of the said 6 months.

As Mr. S failed to give the public notice whether he elected to become or not to become a partner of the firm, after expiry of 6 months from obtaining the majority, he will become the partner of the firm.

As per Section 12(d) of the Indian Partnership Act, 1932, every partner has the right to access and to inspect and to copy any of the books of the firm.

Therefore, Mr. S, in the given case, in the capacity of the being a partner by 5th of October, 2023, have right to inspect the books of accounts. The right, must, however, be exercise Bonafide.

(iii) According to Section 69 of the Act, the firm or any other person on its behalf cannot bring an action against a third party for breach of contract entered into by the firm, unless the firm is registered and the persons suing are or have been shown in the register of firms as partners in the firm.

In other words, a registered firm can only file a suit against a third party and the persons suing have been in the register of firms as partners in the firm.

In view of the above provisions of law, since Mr. S is now a member of the Registered Firm, he has the authority to sue Mr. T for non-payment of fees.

In view of the above provisions of law, since Mr. S is now a member of the Registered Firm, he has the authority to sue Mr. T for non-payment of fees.

3.3 DISSOLUTION OF FIRM

According to Section 39 of the Indian Partnership Act, 1932,
the dissolution of partnership between all partners of a firm is called the 'dissolution of the firm'.

Dissolution of Firm Vs. Dissolution of Partnership

S. No.	Basis of Difference	Dissolution of Firm	Dissolution of Partnership
1.	Continuation of business	It involves discontinuation of business in partnership.	It does not affect continuation of business. It involves only reconstitution of the firm.
2.	Winding up	It involves winding up of the firm and requires realization of assets and settlement of liabilities.	It involves only reconstitution and requires only revaluation of assets and liabilities of the firm.
3.	Order of court	A firm may be dissolved by the order of the court.	Dissolution of partnership is not ordered by the court.
4.	Scope	It necessarily involves dissolution of partnership.	It may or may not involve dissolution of firm.
5.	Final closure of books	It involves final closure of books of the firm.	It does not involve final closure of the books of the firm.

THEORY QUESTIONS

Question 1: **(May-18 & Nov-19- 4 Marks)**
Distinguish between dissolution of firm and dissolution of partnership.

Modes of Dissolution of a firm- Sections 40-44

The dissolution of partnership firm may be in any of the following ways:

(1) DISSOLUTION WITHOUT THE ORDER OF THE COURT OR VOLUNTARY DISSOLUTION:

It consists of following four types:

(i) Section 40:- Dissolution by Agreement

- A firm may be dissolved with the consent of all the partners or
- in accordance with a contract between the partners.

(ii) Section 41:- Compulsory dissolution

A firm is compulsorily dissolved

- by the adjudication of all the partners or of all the partners but one as insolvent; or
- by the happening of any event which makes it unlawful for the business of the firm to be carried on or for the partners to carry it on in partnership.

However, when more than one separate adventure or undertaking is carried on by the firm, the illegality of one or more shall not of itself cause the dissolution of the firm in respect of its lawful adventures and undertakings.

Example

2: A firm is carrying on the business of trading a particular chemical and a law is passed which bans on the trading of such a particular chemical. The business of the firm becomes unlawful and so the firm will have to be compulsorily dissolved.

THEORY QUESTIONS

Question 1: **(PEQ-JAN-25-3 Marks)**

"Dissolution of a partnership firm may occur by mutual agreement with the consent of the majority of partners, while compulsory dissolution requires an order from the court." Discuss this statement with reference to the relevant provisions of the Indian Partnership Act, 1932.

Answer:

Dissolution by Agreement (Section 40 of the Indian Partnership Act, 1932):

Section 40 gives right to the partners to dissolve the partnership by agreement with the consent of all the partners or in accordance with a contract between the partners. 'Contract between the partners' means a contract already made.

Hence, the statement 'dissolution of a firm by the consent of the majority of the partners is not correct unless otherwise provided in a contract between them.

Compulsory dissolution (Section 41):

A firm is compulsorily dissolved by the happening of any event which makes it unlawful for the business of the firm to be carried on or for the partners to carry it on in partnership.

Hence, the statement 'compulsory dissolution requires an order from the court' is not correct.

(iii) Section 42:- Dissolution on the happening of certain contingencies

Subject to contract between the partners, a firm can be dissolved on the happening of any of the following contingencies-

- Where the firm is constituted for a fixed term, on the expiry of that term
- Where the firm is constituted to carry out one or more adventures or undertaking, then by completion thereof
- By the death of a partner, and
- By the adjudication of a partner as an insolvent

(iv) Section 43:- Dissolution by notice of partnership at will

(1) Where the partnership is at will, the firm may be dissolved by any partner giving notice in writing to all the other partners of his intention to dissolve the firm.

(2) In case date is mentioned in the Notice: The firm is dissolved as from the date mentioned in the notice as the date of dissolution, or

In case no date is so mentioned, as from the date of the communication of the notice.

(2) SECTION 44:- DISSOLUTION BY THE COURT

Court may, at the suit of the partner, dissolve a firm on any of the following ground:

(a) Insanity/unsound mind:

- Where a partner (not a sleeping partner) has become of unsound mind,
- the court may dissolve the firm on a suit of the other partners or by the next friend of the insane partner.

(b) Permanent incapacity:

- When a partner, other than the partner suing,
- has become in any way permanently incapable of performing his duties as partner,
- then the court may dissolve the firm.

- Such permanent incapacity may result from physical disability or illness etc.
- Temporary sickness is no ground for dissolution of firm.

(c) Misconduct:

- Where a partner, other than the partner suing,
- is guilty of conduct which is likely to affect prejudicially the carrying on of business,
- the court may order for dissolution of the firm, by giving regard to the nature of business. It is not necessary that misconduct must relate to the conduct of the business.
- The important point is the adverse effect of misconduct on the business. In each case nature of business will decide whether an act is misconduct or not.

(d) Persistent breach of agreement:

- Where a partner other than the partner suing,
- willfully or persistently commits breach of agreements relating to the management of the affairs of the firm or the conduct of its business,
- or otherwise so conduct himself in matters relating to the business
- that it is not reasonably practicable for other partners to carry on the business in partnership with him,

then the court may dissolve the firm at the instance of any of the partners.

Following comes in to category of breach of contract:

- Embezzlement,
- Keeping erroneous accounts
- Holding more cash than allowed
- Refusal to show accounts despite repeated request etc.

Example

3: If one of the partners keeps erroneous accounts and omits to enter receipts or if there is continued quarrels between the partners or there is such a state of things that destroys the mutual confidence of partners, the court may order for dissolution of the firm.

(e) Transfer of interest:

- Where a partner other than the partner suing,
- has transferred the whole of his interest in the firm to a third party or
- has allowed his share to be charged or sold by the court, in the recovery of arrears of land revenue due by the partner,
- the court may dissolve the firm at the instance of any other partner.

(f) Continuous/Perpetual losses:

- Where the business of the firm cannot be carried on except at a loss in future also,
- the court may order for its dissolution.

(g) Just and equitable grounds:

- Where the court considers any other ground to be just and equitable for the dissolution of the firm, it may dissolve a firm.
- The following are the cases for the just and equitable grounds-

(i) Deadlock in the management.
(ii) Where the partners are not in talking terms between them.
(iii) Loss of substratum.
(iv) Gambling by a partner on a stock exchange.

THEORY QUESTIONS

Question 1: **(SM) (MTP-Nov-19, 20 & June-21-4 Mark, RTP- Nov.19)**

When does dissolution of a partnership firm take place under the provisions of the Indian Partnership Act, 1932? Explain.

Answer :

Dissolution of Firm: The Dissolution of Firm means the discontinuation of the jural relation existing between all the partners of the Firm. But when only one of the partners retires or becomes in capacitated from acting as a partner due to death, insolvency or insanity, the partnership, i.e., the relationship between such a partner and other is dissolved, but the rest may decide to continue. In such cases, there is in practice, no dissolution of the firm.

The particular partner goes out, but the remaining partners carry on the business of the Firm. In the case of dissolution of the firm, on the other hand, the whole firm is dissolved. The partnership terminates as between each and every partner of the firm.

Dissolution of a Firm may take place (Section 39 - 44)

(a) as a result of any agreement between all the partners (i.e., dissolution by agreement);

(b) by the adjudication of all the partners, or of all the partners but one, as insolvent (i.e., compulsory dissolution);

(c) by the business of the Firm becoming unlawful (i.e., compulsory dissolution);

(d) subject to agreement between the parties, on the happening of certain contingencies, such as:
(i) effluence of time; (ii) completion of the venture for which it was entered into; (iii) death of a partner; (iv) insolvency of a partner.

(e) by a partner giving notice of his intention to dissolve the firm, in case of partnership at will and the firm being dissolved as from the date mentioned in the notice, or if no date is mentioned, as from the date of the communication of the notice; and

(f) by intervention of court in case of:
- (i) a partner becoming the unsound mind;
- (ii) permanent incapacity of a partner to perform his duties as such;
- (iii) Misconduct of a partner affecting the business;
- (iv) willful or persistent branches of agreement by a partner;
- (v) transfer or sale of the whole interest of a partner;
- (vi) Improbability of the business being carried on save at a loss; the court being satisfied on other equitable grounds that the firm should be dissolved.

Question 2: **(PEQ - RTP- May 20)**

What are the various grounds under the Indian Partnership Act, 1932, on which the Court may, at the suit of the partner, dissolve a firm?

Question 3: **(PEQ – Nov - 18- 4Marks)**

State any four grounds on which Court may dissolve a partnership firm in case any partner files a suit for the same.

Question 4: **(PEQ – JAN - 26-3 Marks)**

Describe any three grounds on which the Court may dissolve a partnership firm with reference to the provisions of the Indian Partnership Act, 1932.

3.4 CONSEQUENCES OF DISSOLUTION- Section 45-55

Consequent to the dissolution of a partnership firm, the partners have certain rights and liabilities, as are discussed:

(a) Section 45:- Liability for acts of partners done after dissolution

(1)
- ❖ Notwithstanding the dissolution of a firm,
- ❖ the partners continue to be liable as such to third parties for any act done by any of them which would have been an act of the firm if done before the dissolution,

- until public notice is given of the dissolution.
- Provided that the estate of a partner who dies, or who is adjudicated an insolvent, or of a partner who, not having been known to the person dealing with the firm to be a partner, retires from the firm is not liable under this section for acts done after the date on which he ceases to be a partner.

(2) Notices under sub-section (1) may be given by any partner.

Example

3: X and Y who carried on business in partnership for several years, executed on December 1, a deed dissolving the partnership from the date, but failed to give a public notice of the dissolution. On December 20, X borrowed in the firm's name a certain sum of money from R, who was ignorant of the dissolution. In such a case, Y also would be liable for the amount because no public notice was given.

However, there are exceptions to the rule stated in above example i.e. even where notice of dissolution has not been given, there will be no liability for subsequent acts in the case of:

(a) the estate of a deceased partner,
(b) an insolvent partner, or
(c) a dormant partner, i.e., a partner who was not known as a partner to the person dealing with the firm.

(b) Section 46:- Right of partners to have business wound up after dissolution

- On the dissolution of a firm
- every partner or his representative is entitled, as against all the other partners or their representative,
- to have the property of the firm applied in payment of the debts and liabilities of the firm, and
- to have the surplus distributed among the partners or their representatives according to their rights.

(c) Section 47:- Continuing authority of partners for purposes of winding up

- After the dissolution of a firm
- the authority of each partner to bind the firm, and the other mutual rights and obligations of the partners, continue notwithstanding the dissolution,
- so far as may be necessary to wind up the affairs of the firm and to complete transactions begun but unfinished at the time of the dissolution, but not otherwise:
- Provided that the firm is in no case bound by the acts of a partner who has been adjudicated insolvent; but this proviso does not affect the liability of any person who has after the adjudication represented himself or knowingly permitted himself to be represented as a partner of the insolvent.

(d) Section 48:- Mode of Settlement of partnership accounts

In settling the accounts of a firm after dissolution, the following rules shall, subject to agreement by the partners, be observed:-

(i)
- Losses, including deficiencies of capital, shall be paid
- first out of profits,
- next out of capital, and,
- lastly, if necessary, by the partners individually in the proportions in which they were entitled to share profits;

(ii) The assets of the firm, including any sums contributed by the partners to make up deficiencies of capital, must be applied in the following manner and order:

(a) in paysing the debts of the firm to third parties;

(b) in paying to each partner rateably what is due to him from capital;

(c) in paying to each partner rateably what is due to him on account of capital; and

(d) the residue, if any, shall be divided among the partners in the proportions in which they were entitled to share profits.

Example

5: X and Y were partners sharing profits and losses equally and X died. On taking partnership accounts, it transpired that he contributed Rs. 6,60,000 to the capital of the firm and Y only Rs. 40,000. The assets amounted to Rs. 2,00,000. In such situation, the deficiency (Rs. 6,60,000 + Rs. 40,000 – Rs. 2,00,000 i.e. Rs. 5,00,000) would have to be shared equally by Y and X's estate.

If in the above example, the agreement provided that on dissolution the surplus assets would be divided between the partners according to their respective interests in the capital and on the dissolution of the firm a deficiency of capital was found, then the assets would be divided between the partners in proportion to their capital with the result that X's estate would be the main loser.

THEORY QUESTIONS

Question 1: **(MTP - June 19- 6 Marks) (PEQ - July-21- 4Marks)**

Subject to agreement by partners, state the rules that should be observed by the partners in settling the accounts of the firm after dissolution under the provisions of the Indian Partnership Act, 1932.

(e) Section 49:- Payment of firm debts and of separate debts

Where there are joint debts due from the firm and also separate debts due from any partner:

(i) the property of the firm shall be applied in the first instance in payment of the debts of the firm, and if there is any surplus, then the share of each partner shall be applied to the payment of his separate debts or paid to him;

(ii) the separate property of any partner shall be applied first in the payment of his separate debts and surplus, if any, in the payment of debts of the firm.

MULTIPLE CHOICE QUESTIONS

1. Registration of a firm is:
   (a) Compulsory (b) Optional (c) Occasional (d) None of the above

2. An unregistered firm cannot claim:
   (a) Set on (b) Set off
   (c) Set on and set off (d) None of the above

3. As per the accepted view, the registration of the firm is considered complete when
   (a) Complete application for registration is filed with the Registrar.
   (b) Registrar files the statement and makes entries in the Register of Firms.
   (c) Registrar gives notice of registration to all partners.
   (d) Court records the statement and certifies the entries in Register of Firms.

4. A partnership firm is compulsorily dissolved where
   (a) All partners have become insolvent (b) Firm's business has become unlawful
   (c) The fixed term has expired (d) In cases (a) and (b) only

5. On which of the following grounds, a partner may apply to the court for dissolution of the firm?
   (a) Insanity of a partner (b) Misconduct of a partner
   (c) Perpetual losses in business (d) All of the above

6. Which of the following do not constitute a ground for dissolution by Court?
   (a) Misconduct by partner (b) Transfer of interest by partner
   (c) Just and equitable grounds (d) Insolvency of a partner

7. Upon dissolution of firm, losses, including deficiencies of capital, shall be paid first-
   (a) Out of Profits (b) Out of Capital
   (c) By the partners in their profit sharing ratio (d) By the partners equally

8. Public notice in case of a firm is not required in case of:
   (a) Admission of a partner (b) Retirement of a partner
   (c) Expulsion of a partner (d) Dissolution of the firm.

9. Which of the following do not constitute ground for dissolution by Court?
   (a) Insanity of the partner (b) Business carried on at a loss
   (c) Willful misconduct of a partner (d) Expulsion of a partner

10. Dissolution of partnership between all the partners of a firm is called-
    (a) Dissolution of partnership (b) Dissolution of partners
    (c) Dissolution of the firm (d) Reconstitution of firm

11. A partnership firm has to be registered with:
    (a) Director of firms (b) Registrar of firms
    (c) Registrar of companies (d) Competent Court

12. In settling the account after dissolution, the firm's assets shall be first applied in-
    (a) Losses including deficiencies of capital.
    (b) Payment of partner's loan.
    (c) Payment of partner's goodwill share.
    (d) Distribution to partners in their profit sharing ratio.

13. X, Y and Z are partners in a firm. Due to differences amongst the partners, there is deadlock in the management. X applies to the court for the dissolution of the firm. Will he succeed?
(a) Yes, on just and equitable ground
(b) No, because it is not a valid ground for dissolution
(c) No, it will require consent of all the partners
(d) Yes, if the Registrar of Firm agrees.

14. A firm is compulsorily dissolved on the:
(a) Death of a partner
(b) Adjudication of a partner as an insolvent
(c) Expiry of a fixed period for which the firm was constituted
(d) Business of the firm becoming illegal due to happening of an event.

15. The partnership deed does not include:
(a) The nature of the business of the firm.
(b) The duration of the firm.
(c) The date when each partner joined the firm.
(d) The date when each partner exit the firm.

16. Mr. A, partner of ABC Associates give notice in writing to all other partners i.e. Mr. B and Mr. C of his intention to dissolve the firm on 01.09.2020. Such notice was dated 30.08.2020. In the given case, the firm stands dissolved with effect from _____.
(a) 30.08.2020.
(b) 01.09.2020.
(c) Neither 30.08.2020 nor 01.09.2020 but as per the date mentioned in partnership deed as last date of existence of the firm.
(d) Either 30.08.2020 or 01.09.2020 as mutually agreed by all three partners.

17. A firm may be dissolved with the consent of all the partners or in accordance with a contract between the partners. Such dissolution is known as .
(a) Dissolution by contract. (b) Dissolution by agreement.
(c) Dissolution by will. (d) Dissolution of Partnership.

18. The statement for the purpose of registration under Section 58(1) of Indian Partnership Act, 1932 can be signed by:
(a) Any one partner of the Firm
(b) Legal heirs of all partners of the Firm
(c) All the partners or by their agents specially authorised in this behalf
(d) Agents of all partners of the Firm.

Answers to MCQs

1.	(b)	2.	(b)	3.	(b)	4.	(d)	5.	(d)
6.	(b)	7.	(a)	8.	(a)	9.	(d)	10.	(c)
11.	(b)	12.	(a)	13.	(a)	14.	(d)	15.	(d)
16.	(a)	17.	(b)	18.	(c)				

THE LIMITED LIABILITY PARTNERSHIP ACT, 2008

Section Overview:

Section : 1	Short title, extent and commencement
Section : 2	Definitions
Section : 3	LLP to be body corporate
Section : 4	Non-applicability of Partnership Act
Section : 5	Partners
Section : 6	Minimum number of partners
Section : 7	Designated partners
Section : 11	Incorporation document
Section : 12	Incorporation by registration
Section : 13	Registered office of LLP
Section : 14	Effects of registration
Section : 15	Name
Section : 16	Reservation of name
Section : 17	Change of name

00 INTRODUCTION

- The Parliament passed the Limited Liability Partnership Bill on 12th December, 2008 and the President of India has assented the Bill on 7th January, 2009 and called as the Limited Liability Partnership Act, 2008.
- The LLP Act, 2008 is applicable to the whole of India.
- This Act have been enacted to make provisions for the formation and regulation of Limited Liability Partnerships and for matters connected there with or incidental thereto.
- The LLP Act, 2008 has 81 sections and 4 schedules.
  - The First Schedule deals with mutual rights and duties of partners, as well limited liability partnership and its partners where there is absence of a formal agreement with respect to them.
  - The Second Schedule deals with conversion of a firm into LLP.
  - The Third Schedule deals with conversion of a private company into LLP.
  - The Fourth Schedule deals with conversion of unlisted public company into LLP.
- The Ministry of Corporate Affairs and the Registrar of Companies (ROC) are entrusted with the task of administrating the LLP Act, 2008.
- It is also to be noted that the Indian Partnership Act, 1932 is not applicable to LLPs.
- The Limited Liability Act, 2008 has been amended through the Limit Liability Partnership (Amendment) Act, 2021 dated 13th August, 2021.

01 LIMITED LIABILITY PARTNERSHIP- MEANING AND CONCEPT

Meaning: A LLP is a new form of legal business entity with limited liability.

It is an alternative corporate business vehicle that not only gives the benefits of limited liability at low compliance cost but allows its partners the flexibility of organising their internal structure as a traditional partnership.

The LLP is a separate legal entity

While the LLP itself will be liable for the full extent of its assets, the liability of the partners will be limited.

LLP as a separate legal entity and business organisation is an alternative corporate business form that gives the benefits of limited liability of a company and the flexibility of a partnership.
Since LLP contains elements of both 'a corporate structure' as well as 'a partnership firm structure' LLP is called a hybrid between a company and a partnership.

THEORY QUESTIONS

Question 1 **(SM)**

Examine the concept of LLP.

Answer:

Meaning - A LLP is a new form of legal business entity with limited liability. It is an alternative corporate business vehicle that gives the benefits of limited liability but allows its partners the flexibility of organising their internal structure as a traditional partnership. The LLP is a separate legal entity and, while the LLP itself will be liable for the full extent of its assets, the liability of the partners will be limited.

Concept of "limited liability partnership"

- The LLP can continue its existence irrespective of changes in partners. It is capable of entering into contracts and holding property in its own name.
- The LLP is a separate legal entity, is liable to the full extent of its assets but liability of the partners is limited to their agreed contribution in the LLP.
- Further, no partner is liable on account of the independent or un-authorized actions of other partners, thus individual partners are shielded from joint liability created by another partner's wrongful business decisions or misconduct.
- Mutual rights and duties of the partners within a LLP are governed by an agreement between the partners or between the partners and the LLP as the case may be. The LLP, however, is not relieved of the liability for its other obligations as a separate entity.
- LLP is an alternative corporate business form that gives the benefits of limited liability of a company and the flexibility of a partnership.

Since LLP contains elements of both 'a corporate structure' as well as 'a partnership firm structure' LLP is called a hybrid between a company and a partnership.

Question 2 **(SM) (PEQ – May-25 3 Marks) May 19 & July 21– 5 Marks, MTP-Nov-20- 5 Marks)**

"LLP is an alternative corporate business form that gives the benefits of limited liability of a company and the flexibility of a partnership". Explain.

Answer:

LLP is an alternative corporate business form that gives the benefits of limited liability of a company and the flexibility of a partnership

Limited Liability: Every partner of a LLP is, for the purpose of the business of LLP, the agent of the LLP, but not of other partners (Section 26 of the LLP Act, 2008). The liability of the partners will be limited to their agreed contribution in the LLP, while the LLP itself will be liable for the full extent of its assets.

Flexibility of a partnership: The LLP allows its members the flexibility of organizing their internal structure as a partnership based on a mutually arrived agreement. The LLP form enables entrepreneurs, professionals and enterprises providing services of any kind or engaged in scientific and technical disciplines, to form commercially efficient vehicles suited to their requirements. Owing to flexibility in its structure and operation, the LLP is a suitable vehicle for small enterprises and for investment by venture capital.

⇨ Important Definitions

1. Section 2(1)(d):- Body Corporate

It means a company as defined in section 2(20) of the Companies Act, 2013 and includes

(i) a limited liability partnership registered under this Act;
(ii) a limited liability partnership incorporated outside India; and
(iii) a company incorporated outside India,
(iv) but does not include

(i) a corporation sole;
(ii) a co-operative society registered under any law for the time being in force; and
(iii) any other body corporate (not being a company as defined in section 2(20) of the Companies Act, 2013 or a limited liability partnership as defined in this Act), which the Central Government may, by notification in the Official Gazette, specify in this behalf.

2. Section 2(1)(e):- Business

"Business" includes every trade, profession, service and occupation except any activity which the Central Government may, by notification, exclude.

3. Section 2(1)(j):- Designated Partner

"Designated partner" means any partner designated as such pursuant to section 7.

4. Section 2(1)(k): Entity

''Entity" means any body corporate and includes, for the purposes of sections 18, 46, 47, 48, 49, 50, 52 and 53, a firm setup under the Indian Partnership Act, 1932.

5. Section 2(1)(l):- Financial Year

"Financial year", in relation to a LLP, means the period from the 1st day of April of a year to the 31st day of March of the following year.

However, in the case of a LLP incorporated after the 30th day of September of a year, the financial year may end on the 31st day of March of the year next following that year.

Example

1: If a LLP has been incorporated on 15th October, 2021, then its financial year may be from 15th October, 2021 to 31st March, 2023.

The Income Tax department has prescribed uniform financial year from 1st April to 31st March of next year. In keeping with the Income tax law, the financial year for LLP should always be from 1st April to 31st March each year.

6. Section 2(1)(m):- Foreign LLP

It means a LLP formed, incorporated or registered outside India which establishes a place of business within India.

7. Section 2(1)(n):- Limited liability partnership

Limited Liability Partnership means a partnership formed and registered under this Act.

8. Section 2(1)(o):- Limited Liability partnership agreement

It means any written agreement between the partners of the LLP or between the LLP and its partners which determines the mutual rights and duties of the partners and their rights and duties in relation to that LLP.

9. Section 2(1)(q):- Partner

Partner, in relation to a LLP, means any person who becomes a partner in the LLP in accordance with the LLP agreement.

10. Section 2(1)(ta):- "Small limited liability partnership

It means a limited liability partnership—

(i) the contribution of which, does not exceed ₹ 25 lakh or such higher amount, not exceeding ₹ 5 crore, as may be prescribed; and

(ii) the turnover of which, as per the Statement of Accounts and Solvency for the immediately preceding financial year, does not exceed ₹ 40,00,000 or such higher amount, not exceeding ₹ 50 crore, as may be prescribed; or

(iii) which meets such other requirements as may be prescribed, and fulfils such terms and conditions as may be prescribed;

⇨ Section 4:- Non-applicability of the Indian Partnership Act, 1932

Save as otherwise provided, the provisions of the Indian Partnership Act, 1932 shall not apply to a LLP.

⇨ Section 5:- Partners

Any individual or body corporate may be a partner in a LLP.

However, an individual shall not be capable of becoming a partner of a LLP, if—

(a) he has been found to be of unsound mind by a Court of competent jurisdiction and the finding is in force;

(b) he is an undischarged insolvent; or

(c) he has applied to be adjudicated as an insolvent and his application is pending.

THEORY QUESTIONS

Question 1 **(RTP-Nov19)**

Who are the individuals which shall not be capable of becoming a partner of a Limited Liability Partnership?

⇨ Section 6:- Minimum number of partners

(i) Every LLP shall have at least two partners.

(ii) If at any time the number of partners of a LLP is reduced below two and the LLP carries on business for more than six months while the number is so reduced, the person, who is the only partner of the LLP during the time that it so carries on business after those six months and has the knowledge of the fact that it is carrying on business with him alone, shall be liable personally for the obligations of the LLP incurred during that period.

THEORY QUESTIONS

Question 1 **(PEQ-JAN-26-2 Marks)**

Discuss the provisions of the Limited Liability Partnership Act, 2008 relating to the minimum number of partners required and the eligibility criteria for becoming a partner in a Limited Liability Partnership.

⇨ Section 7:- Designated partners

(i) Every LLP shall have at least two designated partners who are individuals and at least one of them shall be a resident in India:

(ii) If in LLP, all the partners are bodies corporate or in which one or more partners are individuals and bodies corporate, at least two individuals who are partners of such LLP or nominees of such bodies corporate shall act as designated partners.

(iii) Resident in India: For the purposes of this section, the term resident in India means a person who has stayed in India for a period of not less than 120 days during the financial year.

Example

1: There is an LLP by the name Indian Helicopters LLP having 5 partners namely Mr. A (Non resident), Mr. B (Non Resident) Ms. C (resident), Ms. D (resident) and Ms. E (resident). In this case, at least 2 should be named as Designated Partner out of which 1 should be resident. Hence, if Mr. A and Mr. B are designated then it will not serve the purpose. One of the designated partners should be there out of Ms. C, Ms. D and Ms. E.

THEORY QUESTIONS

Question 1 **(SM) (RTP- Nov-20 & May21)**

What do you mean by Designated Partner? Whether it is mandatory to appoint Designated partner in a LLP?

CASE BASED QUESTION

Question 1: **(PEQ-SEP-25-6 Marks)**

Five close friends decided to form a Limited Liability Partnership firm 'EDUDED LLP' for educating poor children as non-profit organization. They were Mr. A (Non-resident), Mr. B (Non-Resident), Ms. C (resident), Ms. D (resident) and Ms. E (resident). It was decided that Mr. A and Mr. B will be appointed as designated partners.

With reference to provisions of the Limited Liability Partnership Act, 2008, answer each of the following:

(i) Whether EDUDED LLP can be formed for above purpose?

(ii) Whether Mr. A and Mr. B can be appointed as designated partners in EDUDED LLP?

Answer

(i) According to Section 11 of the Limited Liability Partnership Act, 2008, the essential requirement of forming LLP is carrying on a lawful business with a view to earn profit. EDUDED LLP cannot be formed for educating poor children as a non-profit organization.

In view of the above, a LLP cannot be formed for charitable or non- economic purpose.

(ii) Designated Partners (Section 7 of the Limited Liability Partnership Act, 2008):

Every LLP shall have at least two designated partners who are individuals and at least one of them shall be a Resident in India.

For the purpose of this section, the term Resident in India means a person who has stayed in India for a period of not less than 120 days during the financial year.

As EDUDED LLP cannot be formed because its purpose is for non-profit organization, the question of appointing Mr. A and Mr. B as designated partners does not arise.

Note: However, if the EDUDED LLP can be formed, Mr. A and Mr. B cannot be appointed as designated partners in EDUDED LLP as both are Non-Resident and the condition that at least one designated partner must be a resident in India is not fulfilled. Therefore, one designated partner must be either Ms. C or Ms. D or Ms. E as all three of them are resident.

02 CHARACTERISTIC OF LLP

1. LLP is a body corporate:

Section 2(1)(d) of the LLP Act, 2008 provides that a LLP is a body corporate formed and incorporated under this Act and is a legal entity separate from that of its partners and shall have perpetual succession. Therefore, any change in the partners of a LLP shall not affect the existence, rights or liabilities of the LLP.

Section 3 of LLP Act provides that a LLP is a body corporate formed and incorporated under this Act and is a legal entity separate from that of its partners.

2. Perpetual Succession:

The LLP can continue its existence irrespective of changes in partners. Death, insanity, retirement or insolvency of partners has no impact on the existence of LLP. It is capable of entering into contracts and holding property in its own name.

3. Separate Legal Entity:

The LLP as a separate legal entity, is liable to the full extent of its assets but liability of the partners is limited to their agreed contribution in the LLP. In other words, creditors of LLP shall be the creditors of LLP alone.

4. Mutual Agency:

No partner is liable on account of the independent or un-authorized actions of other partners, thus individual partners are shielded from joint liability created by another partner's wrongful business decisions or misconduct. In other words, all partners will be the agents of the LLP alone. No one partner can bind the other partner by his acts.

5. LLP Agreement:

Mutual rights and duties of the partners within a LLP are governed by an agreement between the partners. The LLP Act, 2008 provides flexibility to partner to devise the agreement as per their choice. In the absence of any such agreement, the mutual rights and duties shall be governed by the provisions of the LLP Act, 2008.

6. Artificial Legal Person:

A LLP is an artificial legal person because it is created by a legal process and is clothed with all rights of an individual. It can do everything which any natural person can do, except of course that, it cannot be sent to jail, cannot take an oath, cannot marry or get divorce nor can it practice a learned profession like CA or Medicine. A LLP is invisible, intangible, immortal (it can be dissolved by law alone) but not fictitious because it really exists.

7. Common Seal:

A LLP being an artificial person can act through its partners and designated partners. LLP may have a common seal, if it decides to have one [Section 14(c)]. Thus, it is not mandatory for a LLP to have a common seal. It shall remain under the custody of some responsible official and it shall be affixed in the presence of at least 2 designated partners of the LLP.

8. Limited Liability:

Every partner of a LLP is, for the purpose of the business of LLP, the agent of the LLP, but not of other partners (Section 26). The liability of the partners will be limited to their agreed contribution in the LLP. Such contribution may be of tangible or intangible nature or both.

Example

3: The professionals like Engineering consultants, Legal Advisors and Accounting Professional are afraid of entering into business due to unlimited liability. Hence the LLP partnership Act provides an avenue for these professionals to Limited Liability Partnership firms which restricts their liability to the agreed amount. This has encouraged Professionals to form LLP.

9. Management of Business:

The partners in the LLP are entitled to manage the business of LLP. But only the designated partners are responsible for legal compliances.

10. Minimum and Maximum number of Partners:

Every LLP shall have least 2 partners and shall also have at least 2 individuals as designated partners, of whom at least one shall be resident in India. There is no maximum limit on the partners in LLP.

11. Business for Profit Only:

The essential requirement for forming LLP is carrying on a lawful business with a view to earn profit. Thus, LLP cannot be formed for charitable or non-economic purpose.

12. Investigation:

The Central Government shall have powers to investigate the affairs of an LLP by appointment of competence authority for the purpose.

13. Compromise or Arrangement:

Any compromise or agreements including merger and amalgamation of LLPs shall be in accordance with the provisions of the LLP Act, 2008.

14. Conversion into LLP:

A firm, private company or an unlisted public company would be allowed to be converted into LLP in accordance with the provisions of LLP Act, 2008.

15. E-Filling of Documents:

Every form or application of document required to be filed or delivered under the act and rules made thereunder, shall be filed in computer readable electronic form on its website www.mca.gov.in and authenticated by a partner or designated partner of LLP by the use of electronic or digital signature.

16. Foreign LLPs:

Section 2(1)(m) defines foreign limited liability partnership "as a limited liability partnership formed, incorporated, or registered outside India which established as place of business within India". Foreign LLP can become a partner in an Indian LLP.

THEORY QUESTIONS

Question 1 **(SM)**

Enumerate the various characteristics of the LLP.

⇨ Advantages of LLP form- LLP form is a form of business model which:

- Is organized and operates on the basis of an agreement
- Provides flexibility without imposing detailed legal and procedural requirements
- Easy to form
- All partners enjoy limited liability
- Flexible capital structure
- Easy to dissolve

THEORY QUESTIONS

Question 1 **(RTP-May18)**

What do you mean by Limited Liability Partnership (LLP)? What are the advantages for forming a LLP for doing business?

Answer :

LLP: A LLP is a new form of legal business entity with limited liability. It is an alternative corporate business vehicle that not only gives the benefits of limited liability at low compliance cost but allows its partners the flexibility of organizing their internal structure as a traditional partnership. The LLP is a separate legal entity and, while the LLP itself will be liable for the full extent of its assets, the liability of the partners will be limited.

LLP is an alternative corporate business form that gives the benefits of limited liability of a company and the flexibility of a partnership.

Since LLP contains elements of both 'a corporate structure' as well as 'a partnership firm structure' LLP is called a hybrid between a company and a partnership.

Advantages of LLP form:

(a) LLP is organized and operates on the basis of an agreement.
(b) It provides flexibility without imposing detailed legal and procedural requirements
(c) It enables professional/technical expertise and initiative to combine with financial risk taking capacity in an innovative and efficient manner.
(d) It is easy to form
(e) In LLP form, all partners enjoy limited liability
(f) Flexible capital structure is there in this form
(g) It is easy to dissolve

03 INCORPORATION OF LLP

⇨ Section 11:- Incorporation document

The most important document needed for registration is the incorporation document.

(1) For a LLP to be incorporated:
  (a) two or more persons associated for carrying on a lawful business with a view to profit shall subscribe their names to an incorporation document;
  (b) the incorporation document shall be filed in such manner and with such fees, as may be prescribed with the Registrar of the State in which the registered office of the LLP is to be situated; and
  (c) Statement to be filed:

there shall be filed along with the incorporation document, a statement in the prescribed form,

- made by either an advocate, or a Company Secretary or a Chartered Accountant or a Cost Accountant, who is engaged in the formation of the LLP and
- by any one who subscribed his name to the incorporation document,

that all the requirements of this Act and the rules made thereunder have been complied with, in respect of incorporation and matters precedent and incidental thereto.

(2) The incorporation document shall—
  (a) be in a form as may be prescribed;
  (b) state the name of the LLP;
  (c) state the proposed business of the LLP;
  (d) state the address of the registered office of the LLP;
  (e) state the name and address of each of the persons who are to be partners of the LLP on incorporation;

(f) state the name and address of the persons who are to be designated partners of the LLP on incorporation;

(g) contain such other information concerning the proposed LLP as may be prescribed.

(3) If a person makes a statement as discussed above which he—

(a) knows to be false; or

(b) does not believe to be true, shall be punishable

with imprisonment for a term which may extend to 2 years and

with fine which shall not be less than Rs.10,000 but which may extend to Rs.5 Lakhs.

⇨ Section 12:- Incorporation by registration

(1) When the requirements imposed by clauses (b) and (c) of sub-section (1) of section 11 have been complied with, the Registrar shall retain the incorporation document and, unless the requirement imposed by clause (a) of that sub-section has not been complied with, he shall, within a period of 14 days—

(a) register the incorporation document; and

(b) give a certificate that the LLP is incorporated by the name specified therein.

(2) The Registrar may accept the statement delivered under clause (c) of sub-section (1) of section 11 as sufficient evidence that the requirement imposed by clause (a) of that sub-section has been complied with.

(3) The certificate issued under clause (b) of sub-section (1) shall be signed by the Registrar and authenticated by his official seal.

(4) The certificate shall be conclusive evidence that the LLP is incorporated by the name specified therein.

THEORY QUESTIONS

Question 1 **(PEQ-Jan-25 – 6 Marks)**

Dyana and Bharti, newly qualified chartered accountants, wish to form a Limited Liability Partnership (LLP) to provide their professional services. They seek information about the provisions of the Limited Liability Partnership Act, 2008, specifically regarding the incorporation document. Additionally, they want to know whether the statement filed along with the incorporation document serves as sufficient evidence that all legal requirements for the incorporation of the LLP have been fulfilled. Explain these aspects to them.

Question 2 **(PEQ-MAY-25 – 3 Marks)**

Raju and his friend Anil have approached you to help them to form a LLP. The object of the proposed LLP is to run a charitable school which provides free education to the poor children. What would be your suggestion in accordance of provisions of the Limited Liability Partnership Act, 2008?

Answer :

The essential requirement for forming LLP is carrying on a lawful business with a view to earn profit. Thus, LLP cannot be formed for charitable or non-economic purpose.

In the instant case, Raju and Anil cannot form LLP to run a charitable school which provides free education to the poor children.

In view of above it is suggested to them that they can form a section 8 company for this purpose.

⇨ Section 13:- Registered office of LLP and change therein

(1) Every limited liability partnership shall have a registered office to which all communications and notices may be addressed and where they shall be received.

(2) A document may be served on a limited liability partnership or a partner or designated partner thereof by sending it by post under a certificate of posting or by registered post or by any other manner, as may be prescribed, at the registered office and any other address specifically declared by the limited liability partnership for the purpose in such form and manner as may be prescribed.

(3) A limited liability partnership may change the place of its registered office and file the notice of such change with the Registrar in such form and manner and subject to such conditions as may be prescribed and any such change shall take effect only upon such filing.

(4) If any default is made in complying with the requirements of this section, the limited liability partnership and its every partner shall be liable to a penalty of ₹ 500 for each day during which the default continues, subject to a maximum of ₹ 50,000 for the limited liability partnership and its every partner.

THEORY QUESTIONS

Question 1 **(PEQ Dec-21-5Marks)**

State the rules regarding registered office of a Limited Liability Partnership (LLP) and change therein as per provisions of the Limited Liability Partnership Act, 2008.

Question 2 **(PEQ-JAN-26-4 Marks)**

According to provisions of the Limited Liability Partnership Act, 2008, State the provisions with respect to registered office of LLP and changes therein. What would be consequences if these provisions are contravened?

⇨ Section 14:- Effect of registration

- Suing and being sued;
- Acquiring owing, holding and developing or disposing of property, whether movable of immovable, tangible or intangible;
- Having a common seal, if it decides to have one; and
- doing and suffering such other acts and things as bodies corporate may lawfully do and suffer.

THEORY QUESTIONS

Question 1 **(SM) (RTP- Nov19)**

What are the effects of registration of LLP?

⇨ Section 15:- Name

(1) Every limited liability partnership shall have either the words limited liability partnership or the acronym LLP as the last words of its name.

(2) No limited liability partnership shall be registered by a name which, in the opinion of the Central Government is

(a) undesirable; or

(b) identical or too nearly resembles to that of any other limited liability partnership or a company or a registered trade mark of any other person under the Trade Marks Act, 1999.

⇨ Section 16:- Reservation of name

(1) A person may apply in such form and manner and accompanied by such fee as may be prescribed to the Registrar for the reservation of a name set out in the application as—
   (a) the name of a proposed LLP; or
   (b) the name to which a LLP proposes to change its name.

(2) Upon receipt of an application under sub-section (1) and on payment of the prescribed fee, the Registrar may, if he is satisfied, subject to the rules prescribed by the Central Government in the matter, that the name to be reserved is not one which may be rejected on any ground referred to in section 15(2), reserve the name for a period of 3 months from the date of intimation by the Registrar.

⇨ Section 17:- Change of name of LLP

(1) Notwithstanding anything contained in sections 15 and 16, if through inadvertence or otherwise, a limited liability partnership, on its first registration or on its registration by a new body corporate, is registered by a name which is identical with or too nearly resembles to—

(a) that of any other limited liability partnership or a company; or

(b) a registered trade mark of a proprietor under the Trade Marks Act, 1999, as is likely to be mistaken for it,

then on an application of such limited liability partnership or proprietor referred to in clauses (a) and (b) respectively or a company, the Central Government may direct that such limited liability partnership to change its name or new name within a period of 3 months from the date of issue of such direction:

Provided that an application of the proprietor of the registered trade marks shall be maintainable within a period of 3 years from the date of incorporation or registration or change of name of the limited liability partnership under this Act.

(2) Where a limited liability partnership changes its name or obtains a new name under sub-section(1),
it shall within a period of 15 days from the date of such change,
give notice of the change to Registrar along with the order of the Central Government,
who shall carry out necessary changes in the certificate of incorporation and
within 30 days of such change in the certificate of incorporation,
such limited liability partnership shall change its name in the limited liability partnership agreement.

(3) If the limited liability partnership is in default in complying with any direction given under sub-section (1),
the Central Government shall allot a new name to the limited liability partnership in such manner as may be prescribed and
the Registrar shall enter the new name in the register of limited liability partnerships in place of the old name and
issue a fresh certificate of incorporation with new name,
which the limited liability partnership shall use thereafter:
Provided that nothing contained in this sub-section shall prevent a limited liability partnership from subsequently changing its name in accordance with the provisions of section 16.

Steps to incorporate LLP-

⇨ Name Reservation

- The first step to incorporate Limited Liability Partnership (LLP) is reservation of name of LLP.
- Applicant has to file e-Form 1, for as ascertaining availability and reservation of the name of a LLP business.

⇨ Incorporate LLP

- After reserving a name, user has to file e-Form 2 for incorporating a new Limited Liability Partnership (LLP)
- e-Form 2 contains the details of LLP proposed to be incorporated, partners'/designated partners' details and consent of the partners/designated partners to act as partners/designated partners.

⇨ LLP Agreement

- Execution of LLP Agreement is mandatory as per Section 23 of the Act.
- LLP Agreement is required to be filed with the registrar in e-Form 3 within 30 days of incorporation of LLP.

THEORY QUESTIONS

Question 1: **(MTP- Nov-19, June-19- 5 Marks)**

State the meaning of Limited Liability Partnership (LLP). What are the relevant steps to incorporate LLP?

Answer:

Meaning: A LLP is a new form of legal business entity with limited liability.

It is an alternative corporate business vehicle that not only gives the benefits of limited liability at low compliance cost but allows its partners the flexibility of organising their internal structure as a traditional partnership.

The LLP is a separate legal entity and, while the LLP itself will be liable for the full extent of its assets, the liability of the partners will be limited.

Steps to incorporate LLP:

(a) Name reservation
- The first step to incorporate Limited Liability Partnership (LLP) is reservation of name of LLP.
- Applicant has to file e- Form 1, for ascertaining availability and reservation of the name of a LLP business.

(b) Incorporate LLP
- After reserving a name, user has to file e-Form 2 for incorporating a new Limited Liability Partnership (LLP).
- e-Form 2 contains the details of LLP proposed to be incorporated, partners'/ designated partners' details and consent of the partners/ designated partners to act as partners/ designated partners.

(c) LLP Agreement
- Execution of LLP Agreement is mandatory as per Section 23 of the Act.
- LLP Agreement is required to be filed with the registrar in e- Form 3 within 30 days of incorporation of LLP.

Question 2 **(SM) (May 18, Nov-18- 5 Marks)**

Explain the essential elements to incorporate a Limited Liability Partnership and the steps involved therein under the LLP Act, 2008.

Answer:

Essential elements to incorporate Limited Liability Partnership (LLP) - Under the LLP Act, 2008, the following elements are very essential to form a LLP in India:

(i) To complete and submit incorporation document in the form prescribed with the Registrar electronically;

(ii) To have at least two partners for incorporation of LLP [Individual or body corporate];
(iii) To have registered office in India to which all communications will be made and received;
(iv) To appoint minimum two individuals as designated partners who will be responsible for number of duties including doing of all acts, matters and things as are required to be done by the LLP. Atleast one of them should be resident in India.
(v) A person or nominee of body corporate intending to be appointed as designated partner of LLP should hold a Designated Partner Identification Number (DPIN) allotted by Ministry of Corporate Affairs.
(vi) To execute a partnership agreement between the partners inter se or between the LLP and its partners. In the absence of any agreement the provisions as set out in First Schedule of LLP Act, 2008 will be applied.
(vii) LLP Name.

Steps to incorporate LLP:

1. Name reservation:
- The first step to incorporate Limited Liability Partnership (LLP) is reservation of name of LLP.
- Applicant has to file e-Form 1, for ascertaining availability and reservation of the name of a LLP business.

2. Incorporate LLP:
- After reserving a name, user has to file e- Form 2 for incorporating a new Limited Liability Partnership (LLP).
- e-Form 2 contains the details of LLP proposed to be incorporated, partners'/ designated partners' details and consent of the partners/designated partners to act as partners/ designated partners

3. LLP Agreement
- Execution of LLP Agreement is mandatory as per Section 23 of the Act.
- LLP Agreement is required to be filed with the registrar in e-Form 3 within 30 days of incorporation of LLP.

04 DIFFERENCES WITH OTHER FORMS OF ORGANISATION

Distinction between LLP and Partnership Firm:

	Basis	LLP	Partnership firm
1.	Regulating Act	The Limited Liability Partnership Act, 2008.	The Indian Partnership Act, 1932.
2.	Body corporate	It is a body corporate.	It is not a body corporate,
3.	Separate legal entity	It is a legal entity separate from its members.	It is a group of persons with no separate legal entity.
4.	Creation	It is created by a legal process called registration under the LLP Act, 2008.	It is created by an agreement between the partners.
5.	Registration	Registration is mandatory. LLP can sue and be sued in its own name.	Registration is voluntary. Only the registered partnership firm can sue the third parties.
6.	Perpetual succession	The death, insanity, retirement or insolvency of the partner(s) does not affect its existence of LLP. Members may join or leave but its existence continues forever.	The death, insanity, retirement or insolvency of the partner(s) may affect its existence. It has no perpetual succession.
7.	Name	Name of the LLP to contain the word limited liability partners (LLP) as suffix.	No guidelines. The partners can have any name as per their choice.

8.	Liability	Liability of each partner limited to the extent to agreed contribution except in case of willful fraud.	Liability of each partner is unlimited. It can be extended upto the personal assets of the partners.
9.	Mutual agency	Each partner can bind the LLP by his own acts but not the other partners.	Each partner can bind the firm as well as other partners by his own acts.
10.	Designated partners	At least two designated partners and atleast one of them shall be resident in India.	There is no provision for such partners under the Partnership Act, 1932.
11.	Common seal	It may have its common seal as its official signatures.	There is no such concept in partnership
12.	Legal compliances	Only designated partners are responsible for all the compliances and penalties under this Act.	All partners are responsible for all the compliances and penalties under the Act.
13.	Annual filing of documents	LLP is required to file: (i) Annual statement of accounts (ii) Statement of solvency (iii) Annual return with the registration of LLP every year.	Partnership firm is not required to file any annual document with the registrar of firms.
14.	Foreign partnership	Foreign nationals can become a partner in a LLP.	Foreign nationals cannot become a partner in a partnership firm.
15.	Minor as partner	Minor cannot be admitted to the benefits of LLP.	Minor can be admitted to the benefits of the partnership with the prior consent of the existing partners.

Distinction between LLP and Limited Liability Company

	Basis	LLP	Limited Liability Company
1.	Regulating Act	The LLP Act, 2008.	The Companies Act, 2013.
2.	Members/Partners	The persons who contribute to LLP are known as partners of the LLP.	The persons who invest the money in the shares are known as members of the company.
3.	Internal governance structure	The internal governance structure of a LLP is governed by contract agreement between the partners.	The internal governance structure of a company is regulated by statute (i.e., Companies Act, 2013).
4.	Name	Name of the LLP to contain the word "Limited Liability partnership" or "LLP" as suffix.	Name of the public company to contain the word "limited" and Pvt. Co. to contain the word "Private limited" as suffix.
5.	No. of members/partners	Minimum - 2 members Maximum - No such limit on the members in the Act. The	Private company: Minimum - 2 members Maximum 200 members

		members of the LLP can be individuals/or body corporate through the nominees.	Public company: Minimum - 7 members Maximum - No such limit on the members. Members can be organizations, trusts, another business form or individuals.
6.	Liability members/partners of	Liability of a partners is limited to the extent of agreed contribution in case of intention is fraud.	Liability of a member is limited to the amount unpaid on the shares held by them.
7.	Management	The business of the company managed by the partners including the designated partners authorized in the agreement.	The affairs of the company are managed by board of directors elected by the shareholders.
8.	Minimum number directors/designated partners of	Minimum 2 designated partners.	Pvt. Co. - 2 directors Public co. - 3 directors

THEORY QUESTIONS

Question 1: **(MTP-Nov18, Nov19- 5 Marks)**

Enumerate any 10 distinction between LLP and a Partnership Firm.

Question 2: **(MTP-June19, May 21-5Marks, Nov18-4Marks, RTP-May18)**

Differentiate between a Limited Liability Partnership and Limited Liability Company.

MULTIPLE CHOICE QUESTIONS

1. Ministry of Corporate Affairs enforced the LLP Act, with effect from-
   (a) 31st March, 2008 (b) 1st April 2008
   (c) 31st March, 2009 (d) 1st April 2009

2. Whether partnership law applies to the LLP-
   (a) Yes (b) No

3. State which of the statement is correct under the Limited Liability Partnership Act, 2008-
   (a) All partners have unlimited liability (b) All partners have limited liability

4. Which of the following cannot be converted into LLP?
   (a) Partnership firm (b) Private company
   (c) Listed company (d) unlisted company

5. The approved name of LLP shall be valid for a period of from the date of approval:
   (a) 1 Month (b) 2 Months
   (c) 3 months (d) 6 months

6. Name of the Limited Liability Partnership shall be ended by:
   (a) Limited (b) Limited Liability partnership or LLP
   (c) Private Limited (d) OPC

7. Which one of the following statements about limited liability partnerships (LLPs) is incorrect?
   (a) An LLP has a legal personality separate from that of its members.
   (b) The liability of each partner in an LLP is limited.
   (c) Members of an LLP are taxed as partners.
   (d) A listed company can convert to an LLP.

8. For the purpose of LLP, Resident in India means:
   (a) Person who has stayed in India for a period of not less than 182 days during the current year.
   (b) Person who has stayed in India for a period of not less than 180 days during the immediately preceding one year.
   (c) Person who has stayed in India for a period of not less than 181 days during the immediately preceding one year.
   (d) Person who has stayed in India for a period of not less than 120 days during the immediately preceding one year.

Answers to MCQs

1.	(c)	2.	(b)	3.	(b)	4.	(c)
5.	(c)	6.	(b)	7.	(d)	8.	(d)